Mazagon Dock (MAZDOCK)

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"Mazagon Dock Shipbuilders Limited
Q4 FY'23 Earnings Conference Call"
June 02, 2023

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING DIRECTOR, ADDITIONAL CHARGE, DIRECTOR FINANCE – MAZAGON DOCK SHIPBUILDERS LIMITED
M R. BIJU GEORGE – DIRECTOR SHIPBUILDING – MAZAGON DOCK SHIPBUILDERS LIMITED
M R. VASUDEV PURANIK – DIRECTOR CORPORATE PLANNING AND PERSONNEL – MAZAGON DOCK SHIPBUILDERS LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Mazagon Dock Ship Builders Limited Q4 FY23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, sir.

Amit Dixit: Yes, thanks, Darwin. Good evening, everyone, and thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management, we have Shri. Sanjeev Singhal, Chairman and Managing Director, Additional Charge, and Director Finance, Shri. Biju George, Director Shipbuilding, and Shri. Vasudev Puranik, Director Corporate Planning and Personnel. Without much ado, I would invite Mr. Singhal for opening remarks, post which we will open the floor for an interactive Q&A session. Over to you, sir.

Sanjeev Singhal: Good afternoon, everybody. This is Sanjeev Singhal, Director Finance and CMD, Mazagon Dock Shipbuilders Limited. I'll just inform everybody as far as Mazagon Dock Shipbuilders is concerned, we started with a small dry dock and this particular year, 2023-24, is a very special year for Mazagon Dock Shipbuilders, being the 250th year of Mazagon Dock Shipbuilders. This company was incorporated in 1934 and was taken over by the Government of India in 1960. Very few corporates would be there across the world who have survived 250 years, it's a massive period. And that indicates the resilience as well as the adaptability of Mazagon Dock Shipbuilders. We are confident to survive many, many more years with the same strength and vigor. As far as the results of 22-23 are concerned, these results are already published on SEBI as well as on our website. The year has been excellent with a 37% growth in top-line, Revenue from Operations, as well as 83% growth in bottom-line, Profit After Tax.

We are executing orders, one is P-75 which is the conventional Scorpene submarines, six in numbers. We have a distinction of delivering five of these submarines between 2017-2022. Even though a substantial portion of this period was marked by COVID, it has not impacted our performance very significantly. One last submarine is still with us and we are targeting delivery either this financial year or early next financial year, depending upon certain equipments which have been taken by Navy on loan basis.

So as and when these equipments, we get back, we'll be installing these and we'll be completing the delivery. As far as Project 15 Bravo is concerned, it comprises of four number Destroyers. Out of these four number of Destroyers, we have already delivered two Destroyers, one in 2021 and another in 2022. We are targeting delivery of the third destroyer sometime this year and the fourth destroyer is targeted for 2024.

The unique feature of this particular project has been that both the earlier deliveries, delivery in

2021 and 2022, both have been within the contractual timelines. The third destroyer, which we believe will be delivered this year, would also be substantially ahead of the timeline. So there is

a significant improvement with respect to the delivery timelines. We have another project, Project 17 Alpha, comprising of four number of stealth Frigates. And the deliveries of these ships would be starting from FY25 onwards. One per year we are expecting.

We are a cash-rich company, a zero-debt company. Our working capital requirements are not there. It's practically zero or negative working capital. All the financial parameters are quite s

trong. With these opening remarks, I look forward to a fruitful interaction with the investors and are ready to take the question-answers or any clarifications which are required. I am accompanied by two of the directors of the company, Director of Shipbuilding, Mr. Biju George, and Director of Corporate Planning and Personnel, Commander Vasudev Puranik.

Moderator: Thank you very much. The first question is from the line of Abhishek Chaurasiya from Voyager Capital. Please go ahead.

Abhishek Chaurasiya: Good evening, sir. My question is starting on the EBITDA margins. If you see, quarter on quarter we have seen a decline. Could you tell me what might be the reason and what will be our outlook for FY24 in terms of revenue and margin?

Sanjeev Singhal: Where did you see a decline?

Abhishek Chaurasiya: In quarter basis.

Sanjeev Singhal: On quarter basis?

Abhishek Chaurasiya: Yes.

Sanjeev Singhal: I think for the fourth quarter also the margins have been improving and we have EBITDA margin of 10.1% which is towards the higher side. So I am not sure whether there is a decline. On an overall annual basis also there is a significant improvement in the margins.

Abhishek Chaurasiya: But I can see here on December 22 the EBITDA margin was around 15 or 16% in the range of that.

Sanjeev Singhal: Yes, on a quarter to quarter, this is not an industry which should be compared on a quarter to quarter basis. These are very long gestation period projects which like the Submarine projects is almost close to 17-18 years. And the Ship building Project 15 Bravo is also awarded in 2011, will be completed by 2024, almost 13 years. So on a quarter to quarter basis this comparison is difficult. However, coming precisely to your query, this was on account of delivery of one destroyer which happened in the third quarter. When we deliver a vessel at that point of time all the costs are closed and reconciled. So that gives a clear picture where we are actually closing a project. So it is quite possible that whatever efficiencies have been there, they are finally captured during the closure of the project. So that has led to a higher margin during Q3. But I still maintain that we are not a company that should be compared on a quarter to quarter basis.

Abhishek Chaurasiya: Okay, and what will be our FY24 output in the terms of revenue and margin?

Sanjeev Singhal: For FY24 also we are targeting one delivery of one Destroyer. So I expect that cost structure should not be very significantly different. So on an annualized basis it should be similar. One

variation that was there in FY23 was we received a LD refund of INR174 crores on one of the Submarines of Project P75. And there are five deliveries which we have already made for Scorpene submarines.

For all these five deliveries we have submitted our Statement of Case for refund of LD. These LDs have been charged by Navy based on the contractual delivery. Although we maintain that the delay is not on account of MDL. And for Scorpene number, submarine number two, the case has been analyzed, firmed up, and Navy has accepted that the delay is not attributable to MDL fully.

A small portion of the delay is attributed to MDL and corresponding to that we have received a refund of INR174 crores. Going ahead, we believe that with respect to submarine number three, submarine number four, submarine number five, for which we have submitted the request for review of LD, these also would be examined by Navy and whatever processing time it takes at the Ministry and the Navy, these LD refunds should also be coming. In case we are getting these LD refunds during FY24, this would have a positive effect on the margins. In case these get shifted to FY25, then normal margin, excluding the LD refund which we have received this year.

Abhishek Chaurasiya: Okay. And another question is regarding on the export sid

e. So I think we have submitted a bid
for the Russian shipyard. So what would be the update for that? So we have submitted some
Russian shipyard orders, right? So could you give the update?
Shri. Biju George: We have given a Techno-Commercial proposal to one of the shipyards in Russia for participating
in their shipbuilding program. So there are two things with which we couldn't progress this
further. One is the geopolitical scenario which we are all aware for depicting people, etcetera.
Secondly, the nature of work which they wanted to execute from us is slightly different from
what we were thinking that we would be able to execute. Because of this, too, it has not gained
much traction. But still we have conveyed to them that we are open for the possibility of
partnering with them.
Abhishek Chaurasiya: Okay. Thanks for that. That's it for me.
Moderator: Thank you. The next question is from the line of Vivek N. from Shanti Financial Services. Please
go ahead.
Vivek N.: So my question is broadly about the history of Mazagon Docks. You spoke about a firm which
has been in existence for…
Management: A bit louder, please.
Vivek N.: So my question broadly is about what differentiates Mazagon Docks from the other shipyards,
given your history and the kind of work you do? What really differentiates you from other
shipbuilding organizations in India and outside? Thank you.
Sanjeev Singhal: I would say that we have a USP and the USP is that we are the only yard who have demonstrated
repeatedly the capability with respect to manufacturing of conventional submarines. We have

manufactured Submarines on two different platforms, German technology as well as French
technology.
The last five Submarines under Project P75, Scorpene Submarines, last five submarines we have
delivered between 2017 to 2022, which would be a record by itself across, globally. So this sets
us apart from any other shipyard. Similarly, we are the only builder of Destroyer class of ships
in India. Nobody else has ever constructed a Destroyer class ship. Destroyer class ships are the
front line ships which the Navy has.
And today majority of the Destroyers which the Indian Navy is having and constitute the cutting
edge of the war platform of Indian Navy have been built, supplied, manufactured by Mazagon
Docks Shipbuilders Limited. So this makes us stand apart. Apart from this whatever smaller
vessels are there, we are capable of manufacturing them, we have manufactured them. But other
shipyards are also there. But these two areas are there where only Mazagon Docks Shipbuilders
have proven, demonstrated capabilities.
Vivek N.: Thank you sir.
Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial
Advisors. Please go ahead.
Dixit Doshi: Yes, first question is regarding, you mentioned that we have conveyed our message for LD
reversal for third, fourth and fifth Scorpene. So for these three, how much LD we must have
provided earlier?
Sanjeev Singhal: This would be roughly in the range of INR600 crores. But at the same time, we will not be able
to commit with respect to what kind of refund is finally accepted by Navy. What kind of delays
they accept are not attributable to MDL. So this is a matter of discussion. We have submitted
our case. As and when the things get finalized, it will be known and taken into books of accounts.
Dixit Doshi: Okay. Now in FY23, how much was the repairs and maintenance revenue and what kind of order
book we have there?
Sanjeev Singhal: Repair and maintenance revenue for FY23 has been pretty small because our major contract with
respect to medium refit and life certification, that is almost coming to a close. We expect the
MRLC of the submarine to be completed and submarine delivered in August 23. Going ahead,
I can say that FY24, we are expecting an order for the second MRLC,

medium refit and life
certification of another German Submarine, which has already been in operation for almost 36
years. And as far as the boat is concerned, the Submarine is concerned, this has already been
delivered to MDL for carrying out the refit and life certification. The formal order we are
expecting should be with us in another maybe 45 to 60 days. So there could be a significant rise
in the repair revenue for FY24 compared to FY23.
Dixit Doshi: Okay. How much it was FY23? I know it is small but if you can…
Sanjeev Singhal: FY23 would be around 3% of the total revenues.

Dixit Doshi: Okay. Now as you mentioned that the submarine is going to be delivered one in this year and one in next year and also Destroyer would be delivered third in this year. And I guess the frigates have also reached a stage where the equipments will be installed. So considering that cycle, what kind of revenue growth we can expect over next couple of years, FY24 and FY25?
Sanjeev Singhal: We will be able to predict more of FY24. We are considering that the growth for FY23 has been very significant over FY22. It is almost 37%. As of now, we are a bit early in the year but a very refined guidance would be difficult. Right now we can say that we would be growing by around 8% to 10% in FY24.
Dixit Doshi: Okay. And last question in terms of order pipeline, what kind of orders we are expecting let us say in next 12 to 18 months and any update on… There was one order where only I think about destroyer where only we and L&T would be the participants. So any update on those orders?
Sanjeev Singhal: The order about which you are talking where MDL and L&T are the only shortlisted players is with respect to Conventional Submarines fitted with Air Independent Propulsion System, six in numbers, that is project P75 India, P75I. As far as this particular tender is concerned, right now the date of submission of bid is 1st of August, 2023.
As far as MDL is concerned, MDL has tied up with TKMS Germany and we have entered into a mutually exclusive agreement that we will be moving ahead in this project together. The discussions and the refinement and firming up of the bid is currently in progress. So both the sides are in discussion and we are trying to stitch up the things so that we are in a position to submit the bid by 1st of August, 2023.
Dixit Doshi: And the size of this order was?
Sanjeev Singhal: Size of this order as far as the published figures are concerned based on the Navy's AON, it is INR43,000 crores. However, because this is a dated figure, so we expect by the time we actually submit the bid, this would be a substantially higher value.
Dixit Doshi: Okay. And any other projects in the pipeline?
Biju George: Apart from this, we have approximately INR3,000 crores worth of vessels we have submitted our bids for the Indian Coast Guard and another INR1,000 crores we are in discussion with some foreign clients. So these are the two sets of low hanging fruits which are there. But it is too premature to tell whether these orders would be making it live.
Dixit Doshi: Okay. And this P75I, do you expect that the order finalization will happen in this financial year FY24 or it may take time?
Sanjeev Singhal: P75I would take certain time for evaluation because there are certain field evaluation tests involved once the bids are submitted. So it would be a process which would be taking around 18 months post submission of the bids.
Dixit Doshi: Okay. Okay. Fine. That's it from my side.

Moderator: Thank you. The next question is from the line of Vivek N. from Shanti Financial Services. Please go ahead.
Vivek N.: Yes. The order book of INR38,000 odd crores, this will get executed in what time frame so that we know the trajectory of the top line? Thank you.
Sanje

ev Singhal: This would be sometime FY26 or could be 26- 27.
Vivek N.: Another 3 years.
Sanjeev Singhal: 3 to 4 years.
Vivek N.: So just these orders if executed will mean an average of around INR12,000 crores of top lines for the next 3 years.
Sanjeev Singhal: Yes, if you simply divide it.
Vivek N.: Yes, if I simply divide it. So we are at 7,800 odd. So trajectory is at least 30% on average. 20% to 30% growth.
Sanjeev Singhal: We would not put that because this shipbuilding is not a very linear kind of a process. It follows the S curve and it would depend. We are expecting the peak revenues sometime in 24- 25. Even post delivery we have certain obligations. Warranty obligations are there which goes even beyond the delivery of the projects.
Vivek N.: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Yes, hi. I have a few questions. The first one is that, you know, while you mentioned that the order took up INR38,500 crores.
Management: Can you be a bit loud, Amit?
Amit Dixit: So, while you mentioned in the answer that the current order took up INR38,500 crores is expected to be FY27, FY26. Is it possible to mention that what would be the peak cash generation

case given that we are at an advanced stage of the process?
Moderator: Sorry to interrupt, sir, but the line for you seems to be breaking up, Breaking?
Management: Not able to get you.
Moderator: Sir, we are not able to hear you still.
Amit Dixit: Hello?
Sanjeev Singhal: No, Mr. Amit, you are not audible. Can we move to the next question? We can come back to the gentleman again.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer: Congratulations, sir, on a good set of numbers. My question is on this MRLC of the submarine that you have taken the order, right? What is the usual timeline for the execution of this?
Sanjeev Singhal: The execution timelines are 33 months.
Vignesh Iyer: For the MRLC, right?
Sanjeev Singhal: Yes, for the MRLC, which is likely to come in another 45 to 60 days. So, we have received the submarine, the formal order is expected in another 45 to 60 days.
Vignesh Iyer: Okay. And if I am not wrong, a few quarters back, you had guided that for any maintenance or related work other than the shipbuilding, the margin profile is more on the lines of 15, 16, or 10. Does it stand at the same levels now?
Sanjeev Singhal: W hat we had mentioned was there are two categories of orders. One is where it is on nomination basis, and another is where we get the orders on competitive basis. Now, this order is also on nomination basis. So, on the nomination basis orders, the margins are broadly pegged, 7.5% to 8%. Where the orders are based on competitive basis, it again has two components. One is the new builds and another is the repair and maintenance. And here I indicated that in case of competitive orders, repair and maintenance segment is one segment where comparatively better margins are expected.
Vignesh Iyer: Okay. Okay. If I am not wrong, I mean, a few quarters back, you did say about this 18 in numbers corvette of INR33,000 crores, we were expecting some RFP to come out. Is it still on or there has been some change to it?
Biju George: No, I don't think the numbers are 18. There was Next Generation Corvettes which are expected. They are on six numbers, but that RFP is not in the horizon right now.
Vignesh Iyer: Okay. I mean, there is some significant delay or I mean like it's just a normal delay.
Biju George: No, it goes to the approval process known as the approval of necessity, etc. So, since the election year is coming, we do not know which are the projects which will gain traction initially. So, as of now, we don't have much information about that.
Vignesh Iyer: F

air enough. Just one request on my side would be one of your peer companies which is listed. They usually, I mean, if asked for, they do give at what percentage progression that a ship or a submarine or a frigate is, you know, at the end of a specific quarter. I mean, it would be really helpful for us to understand if you could integrate that part of the data in your presentation from the next quarter just to get us more understanding on what percentage of the execution it stands at the end of the quarter, if possible.
Sanjeev Singhal: We will examine that and if feasible, we will incorporate this information.
Vignesh Iyer: Okay. Thank you. That was my side. All the best, sir.

Sanjeev Singhal: However, still I would like to clarify as far as the industry is concerned, this physical progress in terms of percentage may not give a fair idea with respect to the progress on ground or the financial progress.
Vignesh Iyer: That is true. I mean, just to, I mean, as in this industry as a whole is very new to the, I mean, you know, people who are analyzing the company or overall, but we do get the understanding that a certain percentage of, I mean, the execution in the early execution of the ship, it takes, you know, lower range of revenue gets recognized. And as the ship builds over the period of time, more revenue is recognized. But then we'll have a better idea as to, for our internal estimates to be made. And I mean, not just to, I mean, you know, just to get an idea, fair idea so that we can have our internal estimates made. Nothing else. I mean, it is just. Thank you, sir. Thank you.
Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Yes. Hi. Thanks for giving me opportunity again. So my first question is that, you know, you indicated that the current order book of 38,500 crores is expected to be executed by FY26 to

FY27. So based on your current plan of delivery, when will we see the peak cash generation of peak revenue? Will it be in FY25 or 26 or 27?
Sanjeev Singhal: As per the projections available right now, we are expecting FY25. But at the same time, in case a couple of major equipments delivery is delayed, that it may shift to early 26. But we are hopeful of achieving the peak in FY25.
Amit Dixit: Okay. So the second question is that we were expecting actually that there would be, there could be a repeat order of destroyer. However, if we look at the standing committee of defense report and they have indicated the orders by platform for till FY25, well, there is no mention of either submarine or destroyer. So what is your take on that, given that our peak cash generation or revenue will be in FY25? And these are typically long gestation projects. Do you see a possibility of our profitability taking a serious step?
Sanjeev Singhal: I would put it that as per your statement itself, as far as the defense report is concerned, there is no mention of further submarines. But at the same time, the RFP is already in place. Quite substantial water has already flown. And currently the date of submission of the bid is 1st of August, 2023. So I don't see much of an alignment between these. As far as the repeat order of project 17, Alpha Frigates is concerned, this also is in discussion. We will not be able to time it right now, by what time this can be expected. But at the same time, there is a serious discussion going on. And these decisions are always dynamic, depending upon the geopolitical situation, which everyone of us is aware of. So there is a definite requirement as far as the Indian Navy is concerned. And the government is also fully aware of this requirement. So I don't, being in the line of the business, we don't see any kind of a holdback or restrictions. So the equipments would be required, these platforms are required. Something or ot

her would definitely be cropping up.
Amit Dixit: Another question is that over a period of time, those who have looked at the company have seen that your EBITDA margin has improved progressively. If you talk about last 7-8 years back, it used to be 3.5%, 5%. Now it is almost 10% in Q4 FY23. So I understand there are some

sustainable cost drivers for the same, such as efficiency, or because we have been able to deliver well in time. So if you could just highlight two or three drivers for the same that we can keep a track on while projecting our numbers.
Sanjeev Singhal: I think you have already captured the major one, that the deliveries have been in time. Whenever the deliveries are in time, it definitely has a significant positive effect on the margins. Because as far as the contract value is concerned, contract value remains fixed. So we don't get anything more, but my costs definitely go up in maintaining the platform and other facilities in case there are delays in the delivery.
Secondly, what I would say is that this industry operates on the cost to completion principle, whereby the cost of completion of the platform is assessed on an annual basis. And till the time the entire equipment, services orders have not been placed, there is some kind of conservatism or uncertainties do prevail. So as we move towards the completion of the project, these clarities are better.
Third point is that, particularly in case of shipbuilding contract, there is a variable component of around 50%, and equal balance 50% is a fixed component. As far as the variable component is concerned, on the nomination-based orders, we get a fixed margin of 7.5% to 8%. Whereas in case of fixed component, the scope and the price is fixed. So in case there are any efficiencies, the yard definitely gains, but this visibility also emerges when the ship is more matured towards delivery.
In case there are any inefficiencies or delays, the margins get adversely impacted. So as we progress towards the execution of the project, these issues are much more clear. And we can, like I said, in case of the deliveries are being made, this year also a higher profit was booked at the time of delivery, because we know now the costs, we are in a position to close them. So these kind of variations can be there.
Amit Dixit: So basically what I hear from you is that this EBITDA margin, what we are looking at, it is sustainable, and EBITDA margin can go up further, because there would be some learning from your past experiences that you will apply going ahead?
Sanjeev Singhal: Apart from other factors which I mentioned, like refund of LD, which would not be dependent on the production directly, but if inflows are there on account of refund of LD, they will have a positive impact on the margins.
Amit Dixit: And on this LD, do you expect some decision in this year or how it is expected to be?
Sanjeev Singhal: We are positive at least for one or two submarines it should be within this year, 2023-2024, because the statement of case has already been submitted. Now I believe that, considering that Navy has already agreed and approved for the second submarine, the template is available and well established. So we also know what kind of queries are there and to the best of our

knowledge, we have already catered for them while submitting the statement of case. So there should not be a significant delay.

Amit Dixit: Okay. Sir, one of your peers indicated during the con call that they are participating in upcoming RFPs of next generation corvettes, interceptor boats, patrol vessels, etc. Would you also be interested in any of these?
Biju George: Yes, we are. As I said to answer to another question, we are submitting bids, we are participating in tenders and we are open for all kinds of ships which we

have capability to build. So we are bidding for those projects.
In addition, I would like to just, for the benefit of the audience, we have currently we have a capacity of building 11 submarines simultaneously and 10 warships simultaneously. So as far as the capacity is concerned, there is no constraints with respect to capacity. Post delivery of the third destroyer this year, we will be left with five ships. So five more can be accommodated at any point of time, any order which is materializing now, by the time it actually starts occupying my facilities, it would be another two to three years down the line.
By which time we would have delivered some of the current ships further. And similar is the status for submarines. Right now we are having one submarine which is a new build and one submarine which is repair and life certification. So we have capacity for another nine submarines which can be accommodated. So even if we get an order for six Project 75I, there is enough scope for any kind of a follow on order or any kind of an additional order.
Amit Dixit: Okay, sir. This bidding will be done through you directly or it will be through Goa Shipyards?
Sanjeev Singhal: No, directly MDL.
Amit Dixit: Okay. Okay. Okay. So the last question I have is, is it possible to split the cash balance between the advances and your own cash in the book?
Sanjeev Singhal: Our own cash would be around INR1800 crores.
Amit Dixit: Okay. Fair enough. Okay, sir. Great. That's it from my side. Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Amit Dixit. Over to you, sir.
Amit Dixit: Yes. So good evening, everyone. And again, thanks for participating in the call. And thanks, sir, for answering the questions very patiently. I would like to pass it on to you for any closing remarks that you might have.
Sanjeev Singhal: Yes, we always look forward to these kind of interactions with the investors. And we believe that the investors have a significant degree of confidence in the Mazagon Dock Shipbuilders Limited and its fundamentals. We believe that we are the strongest shipyard in India, capable of delivering any kind of platforms which the country is capable of making. These conferences also lead to a lot of learning on our side and what are the investors' expectations. And we believe and the endeavor would be that we continue to deliver as per the investors' expectations. Thank you.
Moderator: Thank you. And on behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

"Mazagon Dock Shipbuilders Limited Q1 FY24
Conference Call"

August 11, 2023

MANAGEMENT : SHRI. SANJEEV SINGHAL - CHAIRMAN AND MANAGING DIRECTOR (ADDITIONAL CHARGE AND DIRECTOR FINANCE), MAZAGON DOCK SHIPBUILDERS LIMITED
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MODERATOR : MR. AMIT DIXIT - ICICI SECURITIES

Moderator: Ladies and gentlemen, greetings and welcome to the Mazagon Dock Shipbuilders Limited Q1 FY24 Conference Call hosted by ICICI Securities.

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I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, sir.

Amit Dixit: Thanks, Ryan. Good evening, everyone and thanks for joining the call today. At the outset, I would like to thank the Management for giving us an opportunity to host this call.

From the management, we have today Shri. Sanjeev Singhal - Chairman and Managing Director (Additional Charge and Director Finance), Shri. Biju George – Director (Shipbuilding) and Shri. Vasudev Puranik – Director (Corporate Planning and Personnel).

Without much ado, I would invite Mr. Singhal for "Opening Remarks" post which we will open the floor for an interactive Q&A session. Over to you, sir.

Sanjeev Singhal: Thank you, Amit. Good afternoon all the participants to this meeting. Glad to inform that as far as Q1 is concerned, Mazagon Dock Shipbuilders performance has been fairly stable. Our revenues compared to CPLY as well as with the last quarter of the previous financial year are quite comparable. The profits are on the higher side, taking the other income into consideration and execution progress is as per the plan. We are targeting delivery of the third ship of project 15 Bravo that is a missile destroyer, sometime end of second quarter this year or early third quarter this year. We have already delivered 2 vessels, one in 2021 and 2022 and continuing with the same trend that these two vessels were delivered prior to the contractual delivery date, the third vessel is also expected to be delivered four to five months prior to the delivery date.

In addition, as the audience may be aware, we have received an order for MRLC of one number of submarine. This is German make submarine, which was pressed into service some 36 years ago. It has come to Mazagon Dock Shipbuilders Limited for a medium refit and life certification. The total order value is approximately Rs. 2,700 crores. So, the company is doing well. We have submitted a price bid for six number of AIP fitted submarines under project P75I. As we proceed, I am sure that there would be questions on that and as per the questions, we will submit the clarifications. So, I propose that we can move ahead with the questions of the participants.

Moderator: Thank you. Ladies and gentlemen, we will now be conducting a question and answer session.
Our first question is from the line of Jayesh Shah with Yes Securities. Please go ahead.

Jayesh Shah: Good results and clearly in line with what the management had guided to earlier. I just had a couple of questions, sir. So, one you did mention the bid has been submitted for 6 submarines which would be fitted with AIP. So, that has been in tie up with TKMS, correct, sir?
Sanjeev Singhal: Yes, this is in collaboration with TKMS, Germany.
Jayesh Shah: Seconds sir, any guidance on the three submarine orders which has been in the news and Prime Minister Modi when he visited France, there was a lot of discussion, but nothing concrete in terms of the order flow, which will finally happen to Mazagon Dock. So, any guidance you would want to give on that?
Sanjeev Singhal: Order flow does not happen so fast because these are very high value orders although this is a part of the same platform, Scorpene submarines. But considering that a significant time has elapsed between the previous o

rder and these three submarines, which are called additional submarines or add-on submarines, so these are not exactly the same submarines. Lot many equipment would be changing in these submarines, these platforms are likely to be more potent. Some discussions have to be there. Navy is also in the process of finalizing the equipment and some discussions would be held with the Mazagon Dock Shipbuilders and our collaborator Naval Group. So, as far as the order is concerned, yes, that would be coming to Mazagon Dock, but it would be taking up some amount of time. At present, it would be difficult to quantify but we can expect maybe in four to six months things should be in place.
Jayesh Shah: And last question sir from my side. There was Mazagon Dock also tied up with the Warship Design Bureau. I mean, can you throw light on what is the tie-up for and what is the likely outcome? I believe this is for P76, but request if you can throw some light on that tie-up. That was the last question.
Sanjeev Singhal: Warship Design Bureau, we have entered into a MoU. This is with respect to the indigenization of these equipment of Scorpene fleet. We have already delivered 5 submarines, the 6th one is targeted to be delivered this year by March 24 and we are also bidding for additional 3 submarines. So, this requires that this fleet of submarines is maintained for next 30 to 40 years, which would require a significant dependence on the foreign collaborators. To avoid that, MDL has been undertaking a very ambitious program with respect to indigenization of almost 8,000 components of what goes into this submarine. In addition, Warship Design Bureau is also working towards the indigenization of submarine under the Project P76. So, we are in discussion with Warship Design Bureaus, to explore how these efforts of indigenization, which WDB is looking at and which MDL is targeting can be mutually beneficial for both the program as well as MDL. That is the current Scorpene program as well as the P76 program. So, we will be working on these aspects jointly.
Moderator: Thank you. Our next question comes from the line of Rohit Natarajan with Antique. Please go ahead.

Rohit Natarajan: Sir, could you quantify the number of vessels and any technology aspect like will it be AIP, will it be diesel-electric, what kind of technology are we thinking about at this point in time?
Sanjeev Singhal: Are you talking with respect to the additional submarines?
Rohit Natarajan: Yes, sir.
Sanjeev Singhal: Yes, additional submarines we are also not very clear at this point of time. Whether this would be with AIP or without AIP, all the options are open, in fact, because indigenous AIP marine version is still not developed. But at the same time, we understand there would be a certain time by which time we deliver the first of these additional 3 submarines. So, I believe there would be certain options that in case the marinised version of AIP is ready then what would be the scope with integration of AIP and in case the AIP version is not ready then what would be the scope without the AIP. So, these options we believe would be there but the contours of the final contract are yet to be finalized.
Rohit Natarajan: Sir, my second question is on the retrofit or maybe life extension program for the old submarines that we have at this point in time. So, all the Sindhughosh class of submarines, I believe lot of them were commissioned, but do you think is there a scope for them to come back to you in terms of the life extension certificate programs like similar order what we have won?
Vasudev Puranik : At the moment, we have done MRLC of the first submarine of the SSK class life certification. The second one, as bought up by the chairman; it is already in progress. So, we expect that this 3rd and 4th will also come to MDL only because we have built thses submarine an

d…
Sanjeev Singhal: As far as 3rd and 4th is concerned, they were built at MDL.
Vasudev Puranik: They were built at MDL. So, it will come to MDL only. So, similarly for the other Scorpene program, there is talk already in progress that we will be doing retrofitting of this office with an AIP during their normal refit that will happen on every submarine, all the six submarines basically. So, this is the plan of flow. So, these submarines will come into a refit after about six years or seven years of their operation in service.
Sanjeev Singhal: Considering that the first submarine of Scorpene class was delivered in 19. As per the provisional timelines, we are targeting the refit of the first submarine to be somewhere in the middle of 25.
Moderator: Thank you. Our next question comes from the line of Dixit Doshi with Whitestone Financial Advisors. Please go ahead.
Dixit Doshi: First question is regarding this submarine in tie-up with TKMS Germany, what would be the size of this project? And secondly, on the Scorpene submarines with the France, the size of that project as well?

Sanjeev Singhal: As far as the size of the AIP fitted 6 number submarines for which we have already submitted the price bid on 1st of August as per the AON the cost involved is Rs. 43,000 crores. I would not be able to discuss this, considering that the price bids have been submitted both by Mazagon Dock Shipbuilders Limited as well as by L&T, it would not be appropriate for me to come out with any numbers. I can only say that we expect that the pricing compared to AON would be significantly higher. And similarly, with respect to the additional submarines, as I said the scope is yet to be finalized. So, we are expecting those discussions to start shortly. And what kind of options are there, whether with the AIP, without AIP or both the options are there so the pricing would depend on that. But broadly the database is available both with the Navy as well as with MDL because this is a platform which has been under execution for quite some time. We have already delivered 5 submarines. The 6th one is slated t for delivery in March 24th. So, broadly the items and the prices are known, so depending upon the additional scope, this should not be very different.
Dixit Doshi: And this Rs. 43,000 crore order where L&T is also competition, is there a split between the two players or whoever wins gets the entire order?
Sanjeev Singhal: As per the RFP structure as it stands now, there is no split envisaged, either it is 0-6 or 6-0.
Dixit Doshi: And the order which we have received for refit and life certification, this will be executed over how much time?
Sanjeev Singhal: Over 33 months.
Dixit Doshi: 33 months.
Sanjeev Singhal: We have received on 30th of June, the time period as per the contract is 33 months.
Moderator: Thank you. Our next question comes from the line of Amit Dixit with ICICI Securities. Please go ahead.
Amit Dixit: The first question is one the P75I itself for which you and L&T have submitted the bid. There was another name doing Hanwha or this South Korean company. So, have they also submitted their bid, or is it only two of you?
Sanjeev Singhal: No, MDL was trying to tie-up with DSME Korea around a year back when they had shown interest in tying-up with MDL. Subsequently, we understand that DSME Korea has been taken over by Hanwha. And after this takeover, they have withdrawn from the project. So, they have confirmed to us in writing that they are no more interested in the project and accordingly, MDL tied up with the TKMS.
Amit Dixit: Okay, so they are no longer involved in the project?
Sanjeev Singhal: No.

Amit Dixit: Okay. Last time you indicated that there are several other orders for Naval platforms for which you would be bidding. S

o, one of them was of course the Rs. 36,400 crores Corvette order. So, any update on that?
Biju George: The Corvette order, they have not issued the RFP. So, we are expecting by end of this year. So, that is the update on that.
Moderator: Thank you. Our next question comes from the line of Dixit Doshi with Whitestone Financial Advisors. Please go ahead.
Dixit Doshi: Couple of more questions. Firstly, in this Rs. 232 crore other income, was there any one of like any LD write-back or anything?
Sanjeev Singhal: No. As far as quarter one is concerned, there is no LD write-back. In quarter 4 of 22-23, there was one LD write-back of Rs. 173 crores, but that was also part of the revenue from operations.

Dixit Doshi: Okay, this quarter there was no write-back?
Sanjeev Singhal: No write-back, but just for the benefit of the participants, as far as LD is concerned, this LD has been withheld and levied by Navy on all the submarines which we have delivered. All the five submarines and we have received a refund with respect to the first submarine. So, with respect to other four submarines also we have put up our case to Indian Navy which is under process. And we expect that with time, these also would be refunded.
Dixit Doshi: Okay and I think this is around Rs. 600 crore, right, in the last call you have made.
Sanjeev Singhal: Yes, approximately Rs. 150 crores to Rs. 175 crores refund for each submarine. So, for five vessels, it would be around Rs. 700 crores - Rs.750 crores approximately or Rs. 800 crores. One, we have already received, so for balance 4 vessels.
Dixit Doshi: And last question. So, what you guide is, generally we see the margins considering the other income. Now if I see last year full year, our PBT margin was around 16% and even this quarter it is around 16%. So, just wanted to understand one thing, so as we will move ahead and the project let us say, P15 Alpha Frigates and all those comes at the end of their life in terms of project execution. That time the advances from customers will be lower. What kind of margins, we can sustain on the downside ?
Sanjeev Singhal: Considering that, this is a revolving kind of a cash balance and we are expecting fresh orders during the intervening period, as of now, we do not envisage any significant impact on the margins, including the other income. In addition, as I have been maintaining that during the execution of a project, we maintain slightly on a conservative side because the cost structure may not be discovered fully. But if a platform gets delivered prior to the contractual date, it definitely has a positive impact on the overall profitability as regards that ship. So, we did deliver two ships ahead of schedule. The third ship is also slated to be delivered ahead of schedule by

four to five months. So, whenever we are making a delivery prior to the contractual delivery date, what we have observed is there is a definite positive impact on the profitability. So, third ship is also likely to be delivered four to five months early. So, let us see if that effect would be captured either in quarter two or quarter three.
Moderator: Thank you. Our next question comes from the line of Col. Sarjeet Yadav with Mount Intra Finance. Please go ahead.
Col. Sarjeet Yadav: Sir, one question. When we talk about the order book like you said Rs. 43,000 crores, so does that include the cost of the platforms which are going to be there on the frigates? And if that be so, then what is the percentage of those platforms?
Sanjeev Singhal: I did not get you very clearly. Our order book right now is Rs. 39,000 crores comprising of three platforms, Project 15 Bravo, which is approximately Rs. 17,000 crores. Another Project 17 Alpha which is 4 numbers of Frigates, which would be another Rs. 18,000 crores and Rs. 4,000 crores for the last Submarine Project P75. In addition, approxi

mately Rs. 2,700 crores for the
MRLC which we have received recently. So, this is the broad breakup of Rs. 39,000 crores.
Col. Sarjeet Yadav: My question was the project includes the cost of the platforms?
Sanjeev Singhal: I did not get it. This is the platform cost.
Col. Sarjeet Yadav: Sir my question was that does the project include the cost of the platforms?
Sanjeev Singhal: What do you mean by platform? The platform is the, project comprises of ships.
Biju George: What we call as platform is the ship itself, so there are the entire residual order book comprises of the equipment cost, to be installed on the platform, yard efforts and own plant usage, so many costing elements. If I understand your question is what could be the percentage of equipment in the residual order book is that your question?
Col. Sarjeet Yadav: Yes. So, equipment like the kind of radars which are going to be there or the weapon platforms are going to be there, does the cost included in that platform?
Biju George: Yes, it includes. It does include that, yes.
Col. Sarjeet Yadav: And what could be the percentage of the.
Biju George : See the shipbuilding is like a construction industry, not like a mass production. So, at every quarter it can fluctuate. But generally, it fluctuates between 50% to 65%. Remaining will be the labor and other.
Biju George: Own plant usage services.

Biju George : Own plant usage services, subcontracting expenditures, all that.
Moderator: Thank you. Our next question comes from the line of Rohit Natarajan with Antique Stock Broking Limited. Please go ahead.
Rohit Natarajan: So, my question is on the receipt of P17A and the possibility of AoN for NGD, Next Generation

Destroyer. Any color on that?
Sanjeev Singhal: We expect positive movement in both these projects as far as Next Generation Destroyers is concerned as per the discussions what the information we have is that earlier the discussion was 6 number of Next Generation Destroyer. Now, the number has been increased to 8 in two phases of four numbers and with respect to 17 Bravo, the follow-on ships of 17 Alpha Frigates, there are also positive movement is definitely there. So, we expect the number to be on similar lines, 7 numbers. And MDL continues to be a very strong contender for both these platforms. As well as Destroyers are concerned, nobody else has constructed the Destroyers and towards capability enhancement as informed earlier we have placed an order for a Floating Dry Dock which can accommodate the Next Generation Destroyer. This is a CAPEX costing around Rs. 500 crores. This order has been placed in the month of June.
Rohit Natarajan: Sir, just to touch on the Goa shipyard part, any color on what could be their execution target for this year given that they also have a very exceptionally strong order backlog?
Sanjeev Singhal: Actually, we do own a 47% equity in the Ship yard, but there is no management control or board representation on GSL, so they operate totally independently. Only the profit figures of Ship yard and net worth have an impact on Mazagon Dock Shipbuilders Limited. But otherwise we are not involved in their management or execution or other details.
Moderator: Thank you. Our next question comes from the line of Rahul, an Individual Investor. Please go ahead.
Rahul: I just wanted to know that we have such a strong order book. So, do you feel any skill set or do we have the required skill set to deliver these orders on time and execution? And we see that there is a little slip in the revenue. So, we have a strong order book on one hand and there is a little slippage on the revenue front. So, how is that kind of working together?
Sanjeev Singhal: I have been explaining this thing yes. As far as the shipbuilding industry is concerned, this is not an industry which can be compared on a quarter-to-quarter basis. In fac

t what we see is that the company has been growing at a very healthy pace. 22-23, we saw a revenue increase of 35%. Of course that kind of a performance cannot be repeated on a year-to-year basis. But we definitely see a growth of maybe 10% to 12% or higher that picture would emerge better by the end of middle of third quarter, I would say. But we are on the right track and our quarter-to-quarter basis minor slips cannot be taken into consideration.

Vasudev Puranik: No issues with respect to the skill set or the manpower. We have capacity to build 11 submarines and 10 warships simultaneously. So, we can take 21 vessels simultaneously compared to that right now we have only six ships and 2 submarines with us.
Moderator: Thank you. Our next question comes from the line of Amit Dixit with ICICI Securities. Please go ahead.
Amit Dixit: I have a couple of questions. One is that we have recently developed a midget submarine. So, if you could just throw some light on that, the orders that we expect out of that and the time frame thereof and whether there would be other competitors also for this.
Sanjeev Singhal: This is a research and development project undertaken by MDL, primarily for the purpose of indigenization of submarine. And this would be a multi role submarine, which can be deployed for special operations, as well as for oceanography, as well as for tourist purposes, as well as it can be used in rivers also. We have recently successfully tested the pressure hull. And as per the timelines, we are expecting that this submarine should be testing waters by somewhere end of 24. To our knowledge, we are not aware of anybody else who is right now into the construction of an indigenous submarine within the country. This could be a game changer once successful.
Amit Dixit: It is fully indigenous, everything, all components are indigenous in this?
Sanjeev Singhal: Yes, all components are being indigenized, being sourced through indigenous sources.
Amit Dixit: What would be the cost of submarine?
Sanjeev Singhal: It is evolving. Right now, we will not be committing. But it is a cost which we feel it is the right cost for research and development.
Amit Dixit: The second question is essentially the question of the previous participant. Just wondering that, last time when we started building submarine then it was long time back. Now if this P75I order comes to us and the P75 repeat order, I mean the three submarines that is being contemplated it comes to us. But can we still build 11 submarines simultaneously or our some of the people have retired and therefore we need to search for, I mean, on engineering side particularly do we need to search for more people? And therefore the simultaneous building could be impeded.
Sanjeev Singhal: No, we do not see any such constraints as far as the skill set is concerned. We have a healthy skill set of both executives as well as non-executive staff available. A lot of outsourcing sources have also been developed during the meantime. And in any case, as far as these projects are concerned, of course we continue to maintain that we have the capability and capacity to take 11 submarines simultaneously. But just as a matter of clarification, as far as the additional

submarines are concerned we expect that this should be finalized fairly early. Whereas the AIP fitted 6 submarines this would involve certain technical evaluations, certain field evaluation tests at both the places by an Indian Navy both at MDL TKMS and L&T is Navantia Spain. And

certain discussions and finalization of equipment fit, so this would be a while away. So, in any case, by the time the specifications are frozen, so there would not be, these two orders coming simultaneously, that kind of a scenario is not likely to happen. But yes some overlap wo

uld be
there for which the yard is quite capable along with the refits and the repairs of the Scorpene Platforms as and when they come.

Vasudev Puranik: Skill set we will not lose because we have a mixed bag of workers. They are permanent and there is on contract. So, as these permanent guys are retiring this contract people are getting inducted as permanent. So, basically there is continuity is there as far as skill sets are concerned.

Amit Dixit: Sir, here just again a follow from here, in 1999 there was the plan that okay we will have some 24 submarines by 2024. And if I really look at it, then only P75, that too 5 submarines are there out of those 24 and the old submarines that we have, I mean, I do not know how much refit we can do to these submarines essentially. So, where I am coming from is that there is an urgent need for us to actually manufacture this submarine. So, in this scenario, you still think that a split in the order is not possible at this stage.

Sanjeev Singhal: Split in the order does not work out technically because there is a technology transfer involved. The RFP has not been designed in a manner where the foreign collaborator would be willing to transfer the technology to two players. It does not work out to be cost effective. So, had the technology transfer not involved then it is a different case altogether but considering the nuances of the RFP and the platform itself we do not envisage any kind of a split is feasible.

Vasudev Puranik: There will be a cost both the collaborative cost will have to say both the sides, actually hike up this project cost quite a lot.

Amit Dixit: The last question from my side, before I turn it to again the queue. Is that there was a media article suggesting that maybe might think of taking some 10 submarines on rent by the time you know diesel-electric submarines again by the time actually we build these submarines under either P75I or P75 extension. Is it true or is it just media speculation?

Sanjeev Singhal: We would not be able to comment on this.

Vasudev Puranik: Because its secret, confidential information. So, I do not think, they do not share it with us. We will not be able to comment. But maybe we can think of such things. But this life extensions which we are doing to the submarine that is actually filling the gap to some extent that in certifying another 10 years. See, the submarines are normally 30 years life. So, giving it another lease, new lease of 10 years. So, that is one way of putting it because the designer always has certain safety margin when he designs. So, that assessment is done after service life is over.

Moderator: Thank you. Our next question comes from the line of Marutinandan Sarda an individual Investor. Please go ahead.

Marutinandan Sarda: My question is regarding the topline. So, last year we completed 7,800 approximately the topline what we have delivered and currently.

Sanjeev Singhal: No, 7,500.

Marutinandan Sarda: And currently we are having unexecuted orders for work around Rs. 39,000 crores, right?

Sanjeev Singhal: Yes.

Marutinandan Sarda: And I am just assuming that the bid which we have filed where L&T is also participating. If we get that particular project as well, the value will be around Rs. 40,000 crore for that project, right?

Sanjeev Singhal: Rs. 43,000 crores is the AON value. I said we are expecting a significantly higher order value.

Marutinandan Sarda: Okay, so let say Rs. 45,000 or Rs. 47,000 crores. So, if we combine these two figures, which is the value which we are already having as unexecuted project, Rs. 39,000 crore plus the Rs. 47,000 crore, the ballpark number will be around Rs. 80,000 crores. So, these projects will be executed over what tenure in terms of number of years? It can be a ballpark number I do not expect concrete number, just to get an idea that is what area we can

go our topline.

Sanjeev Singhal: I will break this into couple of parts, like if you talk of Rs. 39,000 crores, comprises of right now we have 2 ships of 15 Bravo. One we are targeting for delivery this year by September-October and the last ship of 15 Bravo we will be delivering middle of 24 next year. Then another project is there which is 17 Alpha which comprises of four number of Stealth Frigates. We target the first delivery of Frigates in middle of 24 next year and then subsequently 1 ship each year. Our project being the six submarines of P75, which we are targeting for March 24 or maybe early '24-25. With that, this project would be over. So, considering these the existing in addition the MRLC project would be somewhere around '26-27. So, considering this, I see the current book to be exhausted by '28, then including the base and depots spares and the liquidation of guaranteed effects another one year, so by '29. And considering as far as six submarines of with AIP fitted project P75I is concerned, this order placement would take approximately 18 to 24 months. So, taking two years and the build period for the first submarine, I believe the first submarine is required to be delivered in next 6 years and then subsequently one submarine each year. So, that would be a project from today of around 10-12 years. So, you can very safely consider if we are in 23 today by 34-35 if these orders are there, so this would be liquidated by 34-35. In addition, we are also expecting orders from the pie of Next Generation Destroyers as well as follow on with respect to the Frigates that is the 17 Bravo. So, these orders will be in addition to the, what we have discussed just now.

Marutinandan Sarda: And what is the value for these orders?

Sanjeev Singhal: Next Generation Destroyers, all 8 could be in the range of more than Rs. 80,000 crores and 17 Bravo, we have the existing order which is around Rs. 26,000 crores – Rs. 27,000 crores. So, considering for four numbers and if we consider similar four numbers, Project 17 Bravo, I am told that instead of seven numbers, which was four by MDL and three by GRSE, the 17 Bravo Navy is considering for 8 numbers. So, the total order size was Rs. 45,000 crore in 2015. So, eight years have elapsed, so there would be normal escalation. So, this 8 numbers should be in the range of Rs. 60,000 crores.

Marutinandan Sarda: So, hearing all this, I think it will be prudent to assume that we can grow our topline 15% to 20% CAGR over next 10 years.

Sanjeev Singhal: Yes, if the order flow is smooth, we are confident that the topline would be growing in a healthy manner.

Moderator: Thank you. Our next question comes from the line of Avinash, an Individual Investor. Please go ahead.

Avinash: There is a company called Avantel which got an order from Mazagon Dock. So, having won that is it outsourcing that is what I understand. So, will it have any impact on the profit margin?

Sanjeev Singhal: As far as outsourcing is concerned, outsourcing is a normal part of our operations. The core operations are being handled directly by Mazagon Dock Shipbuilders Limited, but many of our operations are outsourced. So, that is a part of our execution strategy. So, definitely it does not have any negative impact. But at the same time I am not sure with respect to Avantel the name which you are taking, I do not think we have outsourced.

Biju George: Making small orders or something , it is not a major order.

Sanjeev Singhal: I do not think any major order has been outsourced to Avantel.

Moderator: We will move on to our next question, which is from the line of Satadru Chakraborty with Chakraborty Family Office. Please go ahead.

Satadru Chakraborty: Let me start with a couple of bookkeeping questions. The employee benefits expenses, is it fair to say that this is a bit frontloaded in the first quarter

because you have annual bonuses that we pay out. And is this generic year-over-year or is this not something which has some seasonality to it?

Sanjeev Singhal: There is nothing like front loading the employee expenses in the first quarter, nothing of that sort.

Satadru Chakraborty: And then the follow up question that I have also on this is the subcontract costs. This one, I think we had a lot of conversation on that today. So, my question really is, I mean, this cost has been gradually increasing over the last two financial years, which is fine. But is this really strategy

wise the best play that a defense company can do? Because I mean, on the one hand, costs are driven out so profit margins are better, but on the other hand you also have a lot of expertise which probably is not within the company. I just wanted to say on a strategic side, how do you feel or how do you think subcontracting should be done? Should it be more non-technical? Should it be more operational and should the strategy component still stay in house or just how do you think about it in general?

Sanjeev Singhal: I can assure you as far as all the core operations are concerned they are being directly executed by MDL. And we have been able to manage and deliver the platforms at a faster rate and within time by a judicious mix of what we execute ourselves and what we outsource. So, this strategy

is likely to continue, considering that the timelines are being compressed and this is the requirement of the day that the platforms are delivered faster and at the earliest. But at the same time, this does not jeopardize or impact in any way MDL's capabilities or profitability adversely.
Vasudev Puranik : See, when we subcontract, we know the activity, we have to qualify the subcontractor. It is not that we do not know what the subcontract is doing. We actually teach them how to do it. So, there is no loss of any skills or any knowledge or something. We will be getting it done more cost effective method.
Satadru Chakraborty: I think the other operational pieces are quite in place. So, I do not have a lot of questions on that. One last question that I had really is on the shareholding pattern. I think the Government of India state right now so MoD is around 84.83% I am not mistaken, there is just a mandate that publicly listed companies have to bring it down to 75%. So, my question really is, is there an exception that we think will happen for MDL or do you in future plan to go for some sort of equity dilution? Or maybe this is too early to ask that question already?
Sanjeev Singhal: Actually, as far as the CPSEs are concerned, there is a separate ministry altogether and a separate administrative office DIPAM, which takes care of the disinvestments. So, they look at the right time when the disinvestment should take place when further investments should and disinvestment should take place. And in case any exemptions are required, so it is DIPAM who would be processing or who would be advising us on this behalf. So, as a company, we are not concerned or controlling any kind of decision with respect to further disinvestment.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Biju George : Thank you for this opportunity given us to interact and also thank you for all the good wishes and the well-wishing which we have garnered from the market and the investors. Thank you so much.
Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

“Mazagon Dock Shipbuilders Limited
Q2 FY’24 Earnings Conference Call”
November 09, 2023

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING DIRECTOR (ADDITIONAL CHARGE) AND DIRECTOR FINANCE
C DR JASBIR SINGH ,IN(RETD) DIRECTOR SUBMARINE AND HEAVY ENGINEERING
M R. BIJU GEORGE – DIRECTOR SHIPBUILDING
C DR VASUDEV PURANIK,IN(RETD) DIRECTOR CORPORATE PLANNING AND PERSONNEL

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Mazagon Dock Shipbuilders Limited Q2-FY24 conference call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, Amit.
Amit Dixit: Yes, thanks, Malcolm. Good afternoon, everyone, and thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host the call. From the management side, we have Shri Sanjeev Singhal, Chairman and Managing Director, Additional Charge and Director Finance, Commander Jasbir Singh, Indian Navy, Retired, Director Submarine and Heavy Engineering, Shri Biju George, Director Shipbuilding, and Commander Vasudev Puranik, Director Corporate Planning and Personnel. Without much ado, I would invite Mr. Singhal for opening remarks on company's performance and outlook, post which we will open the floor for an interactive Q&A session. Over to you, sir.
Sanjeev Singhal: Yes, thank you Amit, and good afternoon everybody who is present over there. Wish you a very, very happy Diwali and the related festivities. As regards Mazagaon Dock Shipbuilders Limited, I believe all the investors are fully aware that as a yard we started with a small dry dock in 1774 and were nationalised in the year 1960. And since then, we have constructed 802 vessels, out of which 28 have been warships from advanced Destroyers to Missile boats, etc., and seven have been submarines on two different platforms. Mazagaon Dock Shipbuilders Limited is the India's only shipyard with a proven track record of building Destroyers as well as Conventional Submarines for the Indian Navy.
Between 2017 and 22, although the period also witnessed and a substantial portion of it was impacted by COVID, corresponding oxygen shortage, and subsequently global shortage of chips, in spite of that, between 2017 and 2022, Mazagaon Dock Shipbuilders delivered five submarines to Indian Navy.
In addition, from 2014 to 2023, if we consider this period, during these nine years, Mazagaon Dock Shipbuilders has delivered six number of Destroyers, which are the most advanced warships to the Indian Navy, this amounts to an average delivery rate of one destroyer every 18 months. This would favorably compare with the best shipyards globally, in spite of an inferior auxiliary infrastructure available within India.
In addition, we are proud to inform that the last three destroyers of Project 15 Bravo, we have delivered over a period of three years, one in October 21, which was delivered as per the

scheduled timelines, another in November 22, which was delivered almost three months ahead of the delivery timelines, and recently on 20th of October 23, which is almost five months before the contractual timelines. So, this is something which is unheard of in this industry, these kind of complicated and large platforms, where the telescopic design concepts are there, and the

design keeps undergoing change, delivering platforms before the contractual timelines is a very significant milestone.

As far as the financials are concerned, I believe the financials are available with you, and we will be discussing about the financials in detail. In addition, I would like to inform that recently on 17th of October, Mazagon Dock Shipbuilders has signed a contract with Indian Coast Guard, a small contract of INR310 crores with respect to construction of one number Cadet

training
ship.

In addition, against a tender for six number next generation offshore petrol vessels, again from Indian Coast Guard, MDL has been declared L1, and currently we are in the process of finalizing the contract, and we expect to sign this contract by this month end. This will be around INR1,400 crores. In addition to this, what has been informed to SEBI earlier, we have received a LOI with respect to an export order from a European client, and this also we expect the finalization within next two months.

These together would be in the range of around INR2,000 crores-INR2,500 crores, all these orders, but this also provides us a very significant foothold in the export market, and we believe going ahead, this can be a significant opportunity. With this, I would like to hand over to Mr. Amit Dixit back again to take the things forward.

Amit Dixit: Yes, hi Malcolm, maybe you will open for Q&A.

Moderator: Surely, sir. Thank you very much. The first question we have is from the line of Arvind from ValueQuest Investment Advisors Private Limited. Please go ahead.

Arvind: Fantastic, sir. Congratulations on a good set of numbers and best wishes for the festive season. A few questions from my side. First of all, sir, in terms of orders and execution, what would be our order book as of present? What was executed in this quarter, if you are able to tell that?

Sanjeev Singhal: As far as order book is concerned, as on 30th September, the order book stands at 37,500 crores. With respect to the execution on a quarter to quarter basis, we do not give any numbers. We have indicated earlier that we expect a 12% to 15% increase in the top line over 2022-23. For the present, we continue to maintain this guidance, although there are certain challenges post the issues relating to Israel, but still, we are hopeful and we are working on it that we maintain this guidance.

Arvind: Yes, sir. You have told the revenue guidance, sir. Regarding the Navy side, the P-75(I) or destroyers' side, sir, some color on that? For some new destroyers, there was always some talks of P-15 Bravo follow-ups would be announced. Any developments on that side, sir, or we are still awaiting clarity from the Navy on that?

Sanjeev Singhal: You have raised two issues. One is with respect to destroyers and another is with respect to submarines.

Arvind: Yes, sir.

Sanjeev Singhal: So, I request my director shipbuilding to clarify on the destroyers. And our director submarine and heavy engineering commander Jasbir Singh, he will give the details with respect to the submarines.

Arvind: Yes, sir.

Sanjeev Singhal: Mr. Biju George.

Biju George: Yes. For the destroyers, there is no project in the pipeline as a follow-on order. Navy is considering a follow-on for P-17A that is not yet crystallized, that is still at the discussion stage in the naval headquarters. And the destroyers, it is the next generation destroyers which are there, that is still not in the horizon. So, right now, we are unable to say anything unless it is firmed up.

So, these are the expectations which are in Navy's pipeline for new Builds. Navy wants to increase their force levels. And these are the projects in the pipeline for which we are strong contenders. That is what we can say at this moment in time.

Arvind: Very good, sir.

Sanjeev Singhal: The information that is available, we are not in a position to assign any kind of timelines. But

yes, we expect eight number of destroyers, maybe likely to be divided on two shipyards, four each. And on a similar line, a follow-on project of P-17A as P-17B, again eight number of frigates expected to be divided over two shipyards. So, considering that MDL has a proven track record with respect to destroyers and MDL is executing the project of P-17A, we are quite hopeful with respect to both these orders as and when they materialize.
A

rvind: Yes, sir.
Sanjeev Singhal: I would request Commander Jasbir Singh to elaborate.
Jasbir Singh: There are two projects that are in the pipeline. One is the P(75I), which is in collaboration with the foreign OEM.
Arvind: Right, sir.
Jasbir Singh: Already made a bid for that, six submarines. On the 1st of August, we have given the bid to Navy. Now, it will take a certain amount of time for them to complete the technical evaluation and thereafter, they will proceed on to the commercial part. So, this is likely to happen sometime next year, if all goes smoothly. That is one.
Arvind: Who is our partner on this, sir? Sorry, to butt in. Who is our partner on this?
Jasbir Singh: TKMS Germany.
Arvind: Very well. Thank you, sir. Thank you.

Jasbir Singh: And the project which is there, for which we have received a letter from the Navy for three additional Scorpene submarines.
Arvind: Right.
Jasbir Singh: We are preparing the proposal and within a month's time we plan to hand over the proposal to the Navy for further work on their part to work out the negotiations and then IN would come out with the order.
Arvind: Very well, sir. Thank you. Just one last thing, sir. This quarter especially, margin performance was exceptionally good. What were the margin levels? Any guidance whether these margin levels can sustain? That is essentially the last question from my side sir, thank you. So the drivers of the margin this time they were very good. Some clarity or some color on that if possible. Thank you.
Sanjeev Singhal: I have mentioned earlier also in our interaction with the public that the margins earlier on the submarines, this six submarines of Scorpene project, five we have already delivered and as per the contractual delivery date there were certain delays on account of which Navy had deducted the liquidated damages for delay which was contested by MDL that the delays are not attributable to MDL and there are various reasons including the changes in the design, so as such the delays are not attributable.
MDL's request has been analyzed and with respect to two of the submarines, submarine number two and submarine number three. Navy has accepted MDL's contention and only a nominal delay has been attributed to MDL and whatever LD was deducted beyond this nominal delay that has been refunded to MDL. So on one of the submarine, number two, we had received the LD refund in the fourth quarter of 2023 and for the third submarine we have received the LD refund in the last quarter.
So that has contributed significantly towards the higher margins. In addition, as I have already indicated that we have delivered the third destroyer five months ahead of the schedule. So whenever the deliveries we are able to, we are in a position to make any delivery ahead of the schedule, it has a positive impact on the costs and a positive impact on the profit as well. But contractually our margins remain what they are, between 7% to 8%.
Arvind: Right sir, right, got it sir. Thank you very much. If there's anything further, I'll come back at the back of the queue again.
Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique. Please go ahead sir.
Rohit Natarajan: Thank you. Thank you for this opportunity. Sir, if I understand it correctly, this refund of LD per submarine, it's almost like INR160, INR170-odd crores. So what is that accounting looking like in this quarter? What is that amount provision reversal that you did and which line item is that contributing to?

Sanjeev Singhal: The line item is ‘Other Operating Income’ and the approximate amount is INR162 crores for quarter ended 30th September. In addition, I would like to add that our request with respect to delivery number four and delivery number five, i.e, submarine number

four and five, this is also
under active consideration and we expect that these two also would get decided in favor of MDL
anytime.
Rohit Natarajan: Okay. Okay. My second question is on the P75 Scorpene part, the price submission which will be submitted in the month of December, how long would the Indian Navy take the call to finalize the order? I mean, I know it's not in your domain as such, but still from your expertise, you could possibly guess the tentative timeline when can this particular order get translated?
Jasbir Singh: It could take the negotiations, as the earlier experience goes, could take up to six months also.
Rohit Natarajan: Okay. Kind of timeline
Jasbir Singh: Because yes, six months and above, usually that is the timeline, but we don't know. I mean, there are a lot of variables.
Sanjeev Singhal: A lot of variables are there, so difficult to assign any specific timeline. This can happen really fast also because this is a follow-on, these are follow-on submarines of an existing platform.
Rohit Natarajan: Okay.
Sanjeev Singhal: And a number of agencies would be involved which are beyond MDL.
Rohit Natarajan: Okay. My third question is on this NGO PV orders. I understand that you are doing marquee orders like destroyers and frigates. Why do we have to confine ourselves to something like a patrol vessel? Is there a strategic rationale for this?
Sanjeev Singhal: This is not confining to a lower category vessel. We are definitely, we are the only one who manufacture destroyers and large vessels, but at the same time, there could be periods where the orders for the large vessels are not there. So simply keeping the yard idle and the facilities idle do not make sense and it is always better to have multiple customers and multiple products in your portfolio, which always aids in a better top line and a better bottom line as well.
Rohit Natarajan: Sure. Sir, my final question will be on the, we understand that the Next-Generation Corvettes RFP is not yet out. AoN for 8 NGD is also not yet determined as such. So what gives that picture ahead as in how do we say that, yes, we will get this order Corvette maybe by next year and NGD by technically you are qualified to do that because you have already done destroyer. So what gives that confidence that these things will probably translate in a year or two?
Biju George: Yes, see, the Navy has assessed our capacities to build this and also on the capability, there is no question mark. So now the decision has to be taken for the AoN etc. So that is not in our direct control. So all requisite inputs, whenever it is sought, we are transmitting to the naval headquarters and MOD and it has to get processed there. So right now as CMD mentioned earlier, we are unable to put any firm timelines by when we will get this order. So we are ready to receive the order. Our capacities and capabilities are in place.

Moderator: Sir, I am sorry to interrupt you, but could you speak a little louder or closer to the mic because your voice is sounding at a distance.
Biju George: Yes, so what I was saying is that, see, the timeline we are unable to commit at this point when we will get the NGC or when we will get the NGD. And NGC is of course by competition. So we have to commercially compete with other shipyards. So we will put our best foot forward in this project and our expectation is that some of these orders will come to us.
Rohit Natarajan: Got it, sir. But if I have to look at from a realistic timeline perspective, maybe by FY '26, Corvette will be awarded. Is that the right way to look at it or is there much more color to it?
Sanjeev Singhal: Actually, we would not like to be speculative. That the strength based on which we are able to say that these orders are there in the pipeline is that number of steps are involved. As Director of Shipbuilding has already mentioned,

there is an assessment which has been taken by the
Indian Navy with respect to yards which are capable of constructing these kind of vessels.
So this capability -- capacity assessment has been done with respect to MDL also. So based on this assessment and based on other steps about which we are privy, we have a fair assessment that these projects are there in the pipeline. Timeline is dynamic and dependent on many factors including the geopolitical situation and the government priorities which keep on fluctuating as per the requirements.
Rohit Natarajan: Got it, sir. I will get back into the queue. Thank you for answering it.
Moderator: Thank you very much. The next question is from the line of Dipen Vakil from InCred Equities. Please go ahead.
Dipen Vakil: Thank you for the opportunity, sir and congratulations on a good set of numbers. Sir, my first question is on the line of, sir, can you broadly share the breakup of our current order book and its execution period?
Sanjeev Singhal: Yes, as far as the current order book is concerned, out of the project 15 Bravo which comprises

of four destroyers, we have already delivered three. So only one more destroyer remains to be delivered which we are targeting to deliver by sometime next year. The balance order book is around INR12,000 crores, INR13,000 crores. As far as 17 Alpha stealth frigates are concerned, MDL is entrusted with four number of stealth frigates. We will be starting the delivery of the first vessel next year and subsequently one vessel each year. The approximate value is INR17,500 crores.

With respect to Scorpene submarines, the balance value with respect to the last Scorpene submarine, which we are targeting for delivery sometime within this financial year or early next financial year, would be around INR4,000 crores and Medium Refit with Life Certification, the major order which we received this year in the month of June, '23, is around INR2,500 crores. So total is INR37,500-odd crores.

Dipen Vakil: Okay. Thank you so much, sir. So my next question on the line of, sir, you mentioned Israel-Hamas war has impacted your execution to some level. So can you give us a little more detail

around which product is, which platform is impacted because of which and what is, what will, what do you expect going ahead?

Sanjeev Singhal: Mitigation measures are in place. We are not sure whether, exactly whether the impact will be there or not. This is with respect to 17 Alpha frigates. So considering the sensitivity of the issue, we may not like to discuss it in detail. For the current financial year, we believe that we'll be able to maintain the guidance and going ahead also in between, alternate measures will be developed which can take care of the requirements.

Dipen Vakil: Got it, sir. So from the order pipeline that you shared earlier, so which ones are the ones that you expect to realize in this financial year?

Sanjeev Singhal: I didn't get you clearly. Can you come back again, please?

Dipen Vakil: Yes. Sir, I mentioned that from the order pipeline that you mentioned to an earlier participant, what will -- what, which are the orders that you expect to realize in this financial year in the second half?

Sanjeev Singhal: I already detailed it out in my introductory opening remarks. We are expecting another order with respect to six number Next Generation OPVs from Coast Guard, approximately INR1,400 crores. And most probably one export order from a European client, around INR600 crores to INR700 crores, maybe another two months. So total one order of INR310 crores we have received this financial year, INR1,400 crores from Coast Guard by this month and another INR700 crores export order by December and INR2,700 crores MRLC which we received in June-July this year. So this would take approximately, INR5,000 crores of orders for this financial year.

Dipen

Vakil: That's very encouraging, sir. Thank you so much for answering my questions and all the best.

Moderator: Thank you. The next question is from the line of Mr. Amit Dixit from ICICI Securities. Please go ahead, sir.

Amit Dixit: Yes, thanks very much for taking my questions. Sir, three or four questions, if I may. The first one is that since we have delivered platforms ahead of time, so the INR37,500 crores order book that you have, when do you expect it to get exhausted? And when can we expect the peak revenue? Will it be FY ‘25 or FY ‘26?

Sanjeev Singhal: It could be FY ‘25. It could be, depending upon if there are any equipment delays, it could be FY ‘26. We are currently expecting FY ‘25 to be the peak revenue year. And as far as the breakup is concerned and the execution timelines is concerned, for the previous query, I have already detailed it out in full details with respect to what are the pending orders and by what time we plan to execute them.

Amit Dixit: Yes, sure, sir. That's taken. The second question is essentially on P-75(I). So what are the components or subcomponents that we are looking to indigenize in this? That would be, I mean, that would be different from P-75, or over and above P-75?

Jasbir Singh: As far as indigenization for submarines is concerned, our target is to aim for equipment indigenization of as many equipment as possible. Now there are total 165 equipment if you map all the 8,000 components onto the -- of the submarine. Of those 165, we have already indigenized more than 30. And balance, there are a few of them which will be -- which are high or critical technology equipment for which there are tie-ups already happening between the foreign OEMs and Indian partners.

And those would be manufactured in India. In addition, I've been assured there are many items that those are being manufactured in India. So overall, we'll be reaching more than about – about 60%. That is the target.
Amit Dixit: And in P75, it was?
Jasbir Singh : About 30%, 32% right now.
Amit Dixit: So, sir, between 32 and 60, if you can just outline two or three critical high-value components that we are looking to indigenize, that would be great?
Jasbir Singh : Yes. Indigenization of combat system is on the anvil, which comprises the complete set of integrated combat system, the attack periscope, the search optronic mast, sonar, and nav equipment, communication equipment. So these are the ones which are being indigenized. I mean, these are slated for indigenization. Major components, since you asked. In addition to that, there is HP air compressor, which is a critical item for the submarine that is being targeted. So then, these are the major ones.
Amit Dixit: Okay. And these are expected to be indigenized from the first submarine itself, or it will take like time?
Management: It should be from – I mean, the target is to ensure that they are, you know, indigenized from the first submarine. But as we go by, more and more critical items will also be indigenized. There will be – that is how – I mean, it will be on an – what do you call – increasing scale as we go across submarines. So – but we aim to do it from the first submarine onwards.
Amit Dixit: Okay. And in this submarine, since we are taking the QIP system from Thyssenkrupp, so what would be the margins, you know, whether margins would be different for this submarine compared to P-75?
Jasbir Singh : Margins are according to government regulations. So that is according to DAP. And so we are always at about 7.5%.
Amit Dixit: Okay. So margins won't be different from your submarines. Okay. Now, coming to…
Jasbir Singh : And also, you see, we have the other project that we are talking of, additional Scorpene. So that is slightly – if you ask me, slightly ahead of P-75i. So I'm talking in relation to that also.
Amit Dixit: Okay. Okay. Regarding t

he Frigate that we have, P-71A, now are we deploying Shakti system in this or we still have some way to go?

Biju George: EW Shakti is there. The electronic warfare is there.
Amit Dixit: So that has been deployed on all the frigates. That will be deployed on all the frigates. That will go, potentially. Okay. So one more question. So, you know, till the time we really get the big orders, I mean, destroyers and all, they might take their own sweet time. There are many RFPs for, you know, small platforms like interceptor boats, patrol vessels, etcetera. So are we going to participate in some of them?
Sanjeev Singhal: Yes, we do intend to participate. And we have been participating in submitting bids almost against all the orders, all the tenders with respect to shipbuilding.
Amit Dixit: And this MRLC, is it a sort of recurring, revenue that we will get every year or, there is like, there might be times when there would be a little bit of lumpiness in this?
Sanjeev Singhal: There is a cycle of normal refit, which is approximately six years from the commissioning of the submarine. So considering that our first Scorpene submarine was commissioned in 2017, we expect the normal refit somewhere in 2025. And between 2017 to 2022, we have delivered five submarines. So there would be a cycle where almost one submarine should be coming for a normal refit every year starting from 2025.
In addition, there is a proposal for retrofitting these submarines with air independent propulsion system also, depending upon the success of the same by DRDO. So in case the AIP system is available, so these submarines will also be refitted with AIP.
Amit Dixit: But these will be fitted with AIP deployed by DRDO, not by TKMS?
Sanjeev Singhal: This would, no TKMS role is not there for AIP. AIP would be by DRDO. Maybe some equipments may be manufactured by other manufacturers. And the refitting part and integrating in the submarine would be the responsibility of MDL.
Amit Dixit: But for considering the fact that, you know, we might be executing these refits while we get, let us say, P-75i or even the repeat order of P-75. So are we fully equipped to do all these simultaneously or something will be delayed or given to preference over the other?
Jasbir Singh: As you must be aware, we have got a capacity for building 11 submarines concurrently. And we have, so we would be moving ahead concurrently on all the projects.
Sanjeev Singhal: Right now, we have two submarines. One is the new construction, the sixth submarine of P-75 and two MRLCs. The first MRLC is the target we are targeting for delivery by this year end.
And the Scorpene submarine, sixth submarine, we are targeting by last quarter of this financial year or first quarter of next financial year. So this essentially leaves us with only one MRLC. So

as such, we do not see any capacity constraints, even if P-75i additional submarine and refits start coming together.
Amit Dixit: And there are no constraints with respect to manpower also. We have the skilled manpower in place.
Jasbir Singh: Yes.

Amit Dixit: Okay. The last question from my end essentially would be that in exports, apart from this, you know, letter of intent that has been signed with the European country, are we also trying to get some more export orders or collaboration like we had with one Russian naval yard? And also, if you can highlight the key aspects of this master ship repair agreement that we have recently executed with US, when we can expect revenue from there?
Biju George: Yes, for export orders, we have been making consistent efforts in the past couple of years. And this is the first order that is almost come to be materialized. Now, we have also explored the export market and we are in touch with a number of clients. So at present, agai

n, as I said, we
are unable to predict, forecast whether any order will materialize. But we have given some techno-commercial bids to some of the clients. And depending upon our capacity, we may have to go for a combination of building it in house and through subcontracting if those orders materialize.
And as far as the MRSA is concerned, we have been registered as one of the repair yards in the country, along with Larsen & Toubro. And we will get the future tenders whenever it is getting floated. As of now, they have not given anything. So, and they have also not indicated when the next repair is likely to come.
Moderator: Thank you. The next question is from the line of Arvind from ValueQuest Investment Advisors Private Limited.
Arvind: Hello. Sorry for coming back on. Just one question, sir. At present in our revenues, what would be the breakup between new build versus ship repair? If you can give us some clarity on that, if it is possible.
Sanjeev Singhal: Currently, the repairs is a small fraction only. It is primarily the new builds. The only repair which we are undertaking right now is the medium repeat and life certification, which is in order of INR2700 odd crores. As far as this quarter is concerned, there has been a very small contribution from the repairs.
Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Sir, just one last question, actually. So, the thing is that, can you split the cash balance between advances and our own cash?
Sanjeev Singhal: Our own cash would be to the tune of INR2,400 crores.
Amit Dixit: And this is the, and it is expected to remain at a similar level. I mean, this is the sustainable level of cash that will remain on the balance sheet?
Sanjeev Singhal: Not necessarily. It would depend, the dividend pay out brings it down, if any capex plans are there, it brings it down. Of course, we keep on earning also on a quarter to quarter basis, but this is a fluctuating figure. So, it cannot be a stable or stationary figure that we go on INR2,400 crores.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Amit Dixit for closing comments. Please go ahead, sir.
Amit Dixit: Yes. Thanks, Malcolm. Thanks, everyone, for sparing your time this afternoon for this call. And I would especially like to thank management for very patiently answering the questions of participants. Thank you, sir. And I would like to turn the call to Mr. Singhal for any closing remarks, sir.
Sanjeev Singhal: It's always a pleasure to interact with the investors and clarify their issues. And we also get to learn many things and what is the market expectations. We can only state that the company has been doing good and going ahead, we expect the company to do better. So, this is the only assurance to the investors. I once again wish a very happy Diwali to all. Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Sub: Disclosure in terms of Regulation 30(6) & Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015 pertaining to the uploading of the Audio or video recordings and transcripts of investors update calls.

Dear Sir/Madam,

With respect to the captioned subject the Investor Update Call Transcript which transpired during Q3 FY24 Investor Earnings Call organized by ICICI Securities on Wednesday the 14 February 2024 at 1730 hours to discuss the financial results for the quarter ended 31 December 2023, has been uploaded on the website of the Company namely https://mazagondock.in . The said transcript is also enclosed herewith.

The Link for accessing the said transcript is:
https://mazagondock.in/Transcript.aspx

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

(Madhavi Kulkarni)
Company Secretary & Compliance Officer
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Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
NSE Symbol: MAZDOCK

[redacted]
MAZAGON DOCK SHIPBUILDERS LIMITED
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(A Govt. of India Undertaking)
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Certified: ISO 9001-2015

[redacted] :
Ref :
[redacted] :
Date : 21 February 2024

"Mazagon Dock Shipbuilders Limited Q3 FY24
Earnings Conference Call"

February 14, 2024

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING
DIRECTOR, ADDITIONAL CHARGE AND DIRECTOR
FINANCE
COMMANDER JASBIR SINGH – INDIAN NAVY RETIRED
DIRECTOR (SUBMARINE AND HEAVY ENGINEERING)
MR. BIJU GEORGE – DIRECTOR SHIPBUILDING
COMMANDER VASUDEV PURANIK – INDIAN NAVY
DIRECTOR (CORPORATE PLANNING AND PERSONNEL)
MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Moderator: Ladies and Gentlemen, Good day and welcome to Mazagon Dock Shipbuilders Limited Q3 FY24 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing “'*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, sir.

Amit Dixit: Thank you Manuja. Good evening everyone and thanks for joining the Call today. At the outset, I would like to thank the Management for giving us an opportunity to host this call.

From the Management we have Shri Sanjeev Singhal – Chairman and Managing Director Additional charge and Director Finance, Commander Jasbir Singh Indian Navy Retired Director Submarine and Heavy Engineering, Shri Biju George – Director Shipbuilding and Commander Vasudev Puranik Indian Navy Director Corporate Planning and Personnel. Without much ado, I would invite Shri Singhal for opening remark post which we will open the floor for an interactive Q&A session. Thanks, and over to you, sir.

Sanjeev Singhal: Good evening everybody. First of all, my huge thanks to all the Investor Community for reposing your consistent faith in Mazagon Dock Shipbuilders and I assure you that going forward also the Company will continue to perform the way it has been performing. This quarter also has been a good quarter for us and in fact we have recorded the highest-ever quarterly profit and highest ever 9 months profit.

Of course, a couple of reasons have been there for the good performance which I have indicated earlier also that in case of P-75 submarines we have delivered 5 submarines between 2017 to 2022 and as per the contract as all these submarines were beyond the contractual timelines, liquidated damages penalty was levied on MDL. However, MDL has taken up the case with Indian Navy giving the justifications why the delay is not attributable to MDL and the applications have been considered favorably.

So, in the last quarter also we have received the refund with respect to third submarine and second submarine we have received earlier, third submarine we have received in third quarter, and we also expect with respect to fourth submarine also we expect positive results. So, may be it could be in this quarter. So, this has been one of the features which has contributed to the profit of the company.

In addition whenever we deliver the platforms prior to the delivery schedule or as per the contractual schedule it always has a sobering effect on the costs and a positive effect on the profits because in case of delay of any platform, even if the delay is not attributable to MDL and

finally the liquidated damages penalty is not levied on MDL, the maintenance of that platform and the utilization of labor and other resources of the company over the extended period of time adds up to the costs and eats into the profits.

So, the third destroyer which we delivered in the month of October 23. This destroyer was delivered almost 5 months ahead of schedule. So, whenever the deliveries are made ahead of schedule there is a consistent and a significant saving in terms of costs which adds to our profits.

So, with these opening remarks I look forward to your queries and anything which the investors would like to know.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.
Rohit Natarajan: So, my first question is on the nominated 3 add-on submarines. What is the stat

us of it? Will the model code of conduct be a deterrent to get it awarded or should we expect it by June? Could you talk something on the timeline, the cost structure that would be really helpful?
Jasbir Singh: As you are aware we have already submitted the bid almost 2 months ago to the Navy and the procedure has already started and this procedure as I understand will continue and there are lot of activities in between that is the cost committee has to complete their benchmarking, then they have to call us for PNC and after PNC contracts will be exchanged. So, it will take a certain amount of time . So, with respect to your question of model code of conduct, I think this project will be, according to us, be processed parallelly.
Rohit Natarajan: Sir, the realistic timeframe in which this letter of award can be issued, is there something that we have in mind?
Jasbir Singh: We as MDL are hoping that the order comes earliest and so we are putting all efforts, we have all organization in place. We are interacting as quick and promptly as required with the government as well as Indian Navy. However, how much time the government procedures would take we won't be able to comment on that. It could be any time, let's say, 4 months to 8 month's time.
Rohit Natarajan: My second question is about the P-75I AIP. There are some talks about the German partners making approaches to the government straight and saying that they could rework on the timeline on a nomination order. Any color on those aspects as far as what is the current status of the technical assessment that's going on?
Jasbir Singh: The Technical assessment is there with the Indian Navy so I'll answer that question first. They are progressing with the technical assessment, and we know that it has not concluded as it also includes the Field Evaluation Trial which is part of the technical assessment. So, that is going to happen in a few months from now. However, as regards whether the German Government is

interacting with the Indian Government we don't have any idea about that. We are aware of our input that we received from the Navy for moving ahead with the technical negotiations and the technical assessment part.
Rohit Natarajan: Sir, any timelines in which this could get completed and new awarding could possibly happen, any picture on those aspects?
Jasbir Singh: That timeline as I think the government is also in a way bound as well as we are bound to give our inputs as according to the defense acquisition procedure DAP 2020 based on which there is a timeline which requires about 8 months to 10 months to conclude.
Rohit Natarajan: So, my final question is on the slowdown in terms of acceptance of necessities for new vessels and even the ones which have got AoN hasn't moved into that building stage, any color on that especially on next generation corvettes and the prospect next generation destroyer.
Biju George: The next generation corvettes is still in the pipeline. It's not very clear when we will get the opportunity to participate in the RFP, but it is expected shortly. As far as the next generation destroyers are concerned that is also in a very preliminary stage of processing, but as far as the Navy's force levels are concerned this large combat vessels are as part of the plan for their augmentation.
So, we are definitely a contender for next generation destroyers considering our experience in building combat platforms here. So, at this moment we are unable to forecast any clear dates when that order is going to become a reality.
Moderator: Thank you very much. The next question is from the line of Vignesh Iyer from Sequent Investment. Please go ahead.
Vignesh Iyer: Sir, I would like to know if any major delivery that is going to happen from our side for quarter 4 and any delivery that is expected in FY25?
Sanjeev Singhal: As far as the deliv

eries are concerned, I just informed that we have delivered one large platform, i.e., the third destroyer Imphal in October 23 and under 15 Bravo we have already delivered three destroyers. The fourth destroyer we are targeting for delivery in 2024-25 sometime, may be in second quarter or early third quarter.
In addition, with respect to 17A frigates also we would be targeting the delivery of the first vessel first frigate in 2024-25 before December this year.
Vignesh Iyer: CY 24 if I get it correct?
Sanjeev Singhal: Yes.

Vignesh Iyer: And what is the total value of this destroyer frigate the total project value?
Sanjeev Singhal: Project value for 15 Bravo destroyers is roughly 32,000 crores and for the frigates, 4 number of frigates, it is around 27,000 crores.
Vignesh Iyer: Sir, I just want to know what is the total cash balance with us as on 31st December and how much of that cash balance actually is ours I mean minus advance that we have received?
Sanjeev Singhal: Yes, minus the advances the cash which belongs to the company is slightly in excess of 3,000 crores.
Moderator: Thank you very much. The next question is from the line of Amit Vora an Individual Investor. Please go ahead.
Amit Vora: My question is regarding the improvement in margins, the margins have improved this quarter and as compared to last quarter what would you attribute it to?
Sanjeev Singhal: I think in my opening remarks itself I very categorically stated the reasons for the better margins. One is the refund of the liquidated damages for the one number of submarine in quarter 3 and second our delivery of the third destroyer almost 5 months ahead of schedule. So, these two have been the major factors which have contributed to better margins.
Going ahead, we expect one more refund of the LD with respect to one submarine in quarter 4 and depending upon the delivery of the fourth destroyer which again we are trying for early delivery, there also, there could be better margins.
Amit Vora: You think sir this margins can be sustainable for at least the next two or three quarters?
Sanjeev Singhal: Yes, this would depend upon the deliveries, but as of now we are expecting that.
Amit Vora: And one more question sir regarding this there is this MDL has signed a contract with European clients regarding 3 units of 7,500 DWT. So, this order is apart from the 38,000 order I'm sure it is that way only the 38,389-crore order?
Sanjeev Singhal: It is a part of the total order book.
Amit: And even along with this ONGC order also is a part of the total order book?
Sanjeev Singhal: Yes.
Moderator: Thank you very much. The next question is from the line of Sriharsha K J an Individual Investor. Please go ahead.

Sriharsha K J: In your opening remarks you told that you have received LD amount in Q324 and there is a possibility of also receiving LD in Q4. Is it possible to quantify the amount of LD which you have received in this quarter and the amount which you probably going to receive in Q4 of 24?
Sanjeev Singhal: Yes, Q3 is approximately 160 crores and Q4 it would depend upon the assessment of the, finally what is assessed by the Navy. The delay attributable to MDL, but we are expecting a similar range 150 crores to 160 crores.
Sriharsha K J: And then your order book for 31st December was 38,389 crore, possible to give the break up or by what time you will be liquidating that order backlog?
Sanjeev Singhal: Right now the list of orders is slightly longer. So, breakup of each of the orders will be slightly difficult, but as far as the liquidation is concerned, 15 Bravo we have already delivered 3 destroyers, fourth destroyer we target to deliver sometime in second quarter or third quarter of FY25.
So, this would be closing 15 Bravo broadly and 17 alpha friga

tes we plan to start the deliveries.
It is 4 frigates. So, we plan to deliver the first frigate by December of 2024-25. This would be continuing for another 3 years or so approximately and the balance deliveries with respect to the Coast Guard ships and the export orders these would be spread over the next 3 years, 3.5 years.
Moderator: Thank you very much. Next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: I would just plug in a few questions before the line gets actually populated. So, my question is more on the strategic view. If you look at the budget allocation for naval fleet in the interim budget then the allocation is very, very static. I understand that there are deliveries to be made, so most of this budget allocation could be towards the committed liabilities.
Now since there is no increase compared to last year's revised estimate, is it reasonable to expect that some of this ordering that we are expecting might be pushed to next financial year?
Sanjeev Singhal: The order actually materializing, in the sense as far as our experience is concerned, there is no relation to funds, there has not been any constraint with respect to the funds and whatever allocation has been made, as you rightly said, it is with respect to the expenditure which is already committed.
So, even if the orders are getting finalized the expenditure would be flowing in over next couple

of years. So, during this particular financial year or Financial Year 2025 we don't expect a significant buildup of expenditure. So, the budget would not be a constraint in that regard.

Amit Dixit: The second question is essentially if I look at your order inflow for this year now this has been pretty impressive in fact compared to other shipbuilders if we look at it, so do we expect some more orders in the remaining part of the FY24 or we are mostly done for this year?
Sanjeev Singhal: As far as FY24 is concerned if you really look at it for the last couple of years Mazagon Dock Shipbuilders has not booked any fresh orders. The last major order was in 2015 that is with respect to frigates and then one MRLC in 2017-18.
Apart from this there has not been any major order booking. So, as far as FY23-24 is concerned there have been substantial booking up to December we have booked orders more than 6,000 crores, including January we have already booked orders more than 7,000 crores and if we go into the detailing of these orders, these orders are from the coast guard, these orders are from ONGC and these orders are also from the export segment.
And in fact, there are some small orders from Nepal also. So, there is diversification in all the directions. So, we are exploring all these markets and all these segments. FY24 we are almost only 1.5 month is remaining so difficult to say whether any further fresh order booking would be there in FY24, but going ahead yes we are open to all segments, we'll be exploring them.
Amit Dixit: Sir, on the ONGC order just wanted to understand that this one is a kind of different kind of order as compared to what you normally do. So, can we expect better margins in this order?
Jasbir Singh: As regards ONGC order, as of now we are making inroads into an area where we were there about 20 years ago. It will take a while, and we are competing against the people who have been earlier already quoting. So, I mean the margins are similar to what the government gives right now and more so it's from PSU so there is no higher margin available than what government is giving.
Sanjeev Singhal : I can say we are keeping our fingers crossed with respect to the execution of this particular project because right now the emphasis is on the successful and timely execution , as far as the margins are concerned in case we are able to execute it in a timely manner. There should not be a

much of a concern with respect to margins.
Amit Dixit: And on margins only sir if I look at your margins over last let us say 10 quarters, 12 quarters I mean, these have been quite high compared to the other shipbuilders in the country, at least listed ones that we are aware of.
Now you have rightly highlighted some of it has to do with the LD refund, some of it has to do with the early delivery. Now early delivery is something that we have been seeing in quite a few platforms we have delivered in the recent past. So, is it reasonable to expect that and you also indicated that destroyers also you are making all possible endeavors to deliver it ahead of time.

So, is it reasonable to expect that now for us the margin profile has shifted up or we can expect that the government will come and the next orders will again pull you down to the similar kind of margins as stated in the regulations?
Sanjeev Singhal: As far as this is concerned this will always be a cat and mouse game. If on nomination basis once you execute an order the figures are out in the open, but at the same time with the experience, with the skills gain, with the experience gain and with the improvement in processes you also improve your cost structure.
So, it will always be very situational and different from each project. Some of the projects like P-75 Scorpène submarines have been a cost-plus project with certain ceilings with respect to expenditure on different heads. The other two contracts which we have been executing, they have been hybrid contracts 15 Bravo and 17A.
Going ahead with respect to the export order, with respect to the coast guard orders, with respect to ONGC orders, they are by and large fixed price contracts. So, depending upon the segment from which we are getting the order, depending upon the nature of the contract, depending upon what kind of experience we have already gained.
So, there will be a lot of factors which will be having a bearing on profitability. It's difficult to say that there would be, with certainty, that there would be stability in the profits at times they can be more, at times they can be a bit under strain also.
Amit Dixit: But if I look at it the EBITDA margins have been thankfully consistently better. I mean they have been about the conventional range that we have been used to seeing. So, these cost efficiencies as I hear from you are there to stay at least?
Sanjeev Singhal: Projects which have been continuing for a while. So, now these projects would be culminating

15 Bravo would be culminating P-75 would be culminating this year, 17 alpha only would be continuing for next maybe around 3 years.
So, with respect to fresh projects it would depend upon whether they are on nomination basis, they are on competition basis. What kind of a pricing we are able to get, what kind of timelines are there.
So, had these projects been continuing yes it is more possible to say that similar margins would continue, but as the overall order book profile changes, there could be certain shifts in the profit margins also both upwards, downward.
Amit Dixit: Another question the data point question essentially what would be the contract liability at this stage?

Sanjeev Singhal: Contract liabilities they are taken care by the advances so not much of a concern, they are almost similar. Whatever contract liabilities are there approximately 9,000 crores to 10,000 crores would be there. Corresponding to that, there is a work in progress also. So, on a net basis there would not be any significant amount.
Moderator: Thank you very much. The next question is from the line of Rahul an Individual Investor. Please go ahead.
Rahul: Sir few weeks back or a month back I think we heard about some OFS by the government, is there any progress or how is t

hat moving, or would you like to comment on that?
Sanjeev Singhal: Actually, if you can come back again your voice is not very clear. We couldn't get the query.
Rahul: Sir, there was an OFS, so if you have any update on that.
Sanjeev Singhal: Actually, as a government company there is a separate ministry under the Ministry of Finance. there is a separate department, the DIPAM- Department of Investment Planning and Asset Management which looks into these aspects. So, we would not be privy to their planning and their requirements. They have certain targets, I would not know what all companies they are targeting for divestment or further OFS.
Moderator: Thank you very much. The next question is from the line of Prabir from Ratnabali Investment Private Limited.
Prabir: Sir, I have two questions. As you are in frigates, destroyers, in submarine, so is there any plan you have to diversify into aircraft carrier segment this is number one and number two is I understand that you are waiting for the next set of submarine. Now I wanted to know one thing like because India roughly has as per my understanding around 15, 18 submarines whereas our adversaries has much more than that.
So, India must have a long-term plan to acquire more number of submarines. So, can you throw some light that how many submarines you're looking at and or a span of how many years so that we can understand the scope of opportunity for MDL?
Sanjeev Singhal: You have two queries with respect to the aircraft carrier, I would like to clarify that Mazagon Dock Shipbuilders is not looking at aircraft carrier. As per our understanding the requirement of these platforms is very few in numbers. Recently one number has been delivered by Cochin Shipyard Limited and we don't expect in the near future more than one more may be required.
So, the kind of facilities which are already available at the CSL there is no reason to replicate such facilities where the business volumes are very, very low. With respect to the submarines, we are aware Navy must be having their own plans, but as far as the MDL is concerned MDL is privy to two projects. One is the additional submarines 3 in numbers Scorpène Class, of which

we have already delivered 5 and sixth one we are targeting delivery this year and another 6 submarines under project P-75I with AIP and lithium-ion batteries for which MDL has submitted the bid last year August. So, both these are under evaluation right now and it would take some time before the things are finalized, which Director Submarine and Heavy Engineering has already replied to a previous query.
Prabir: Sir, I have another question as you are into this frigates and destroyers, so you said that in this call only you said MDL have an advantage in destroyer, but not corvettes. So, is there any specific capacity required for manufacturing corvettes or if you do not have that capacity so whom do you think that edge has to get this kind of order?
Biju George: In fact, we have not made that statement where we have any capacity constraint as far as corvettes is concerned. What I was trying to convey was that right now we are not sure when the next generation corvettes will materialize.
As far as corvettes are concerned, in the order of complexity, the first one is destroyers then comes the frigates then comes the corvettes. So, in terms of capability here we have made

corvettes in the past also. So, absolutely there is no deficit in terms of capability. In terms of capacity since these are vessels of lower dimensions that also can be very well handled within our premises.

Sanjeev Singhal: Basically, when we are saying that MDL is the only shipyard which has the experience of constructing destroyers. So, destroyers is the most complicated naval war platform amongst the ships. Corvettes come two notches below. Below destroyer and below frigate

s. So, these are not that complicated vessels.

We are very much capable of building corvettes capacity-wise, capability wise there are no constraints. In fact, for corvettes there could be other yards also who would be capable, we have built corvettes earlier.

Moderator: Thank you very much. The follow up question from Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: My question is more to do with the fleet of submarines that we have almost like 5 to 6 units which could possibly fit the decommissioning way. When do you expect any Medium Refits Life Certification for those vessels?

Jasbir Singh: Could you kindly repeat your question?

Rohit Natarajan: So, my question is from the existing fleet of submarines, do you expect the Medium Refits Life Certification extension program?

Jasbir Singh: Yes, the Navy has already approached us to give a plan for Medium Refit Life Certifications as well as normal refits for Scorpène submarines which is due from 2025. So, there will be a consistent flow of submarines for refit to MDL. I mean we hope in that way, and Medium Refit cum Life Certification is going on for the second SSK submarine, German submarine.

Third one is slated after this finishes and thereafter the fourth one, parallelly we will be getting the other the Scorpène submarines normal refits. We're hoping to get those starting 2025.

Rohit Natarajan: Sir my final question is on the P-76 your plans with Warship Design Bureau, what is the plan over there or in the current status?

Jasbir Singh: P-76 is a program which is not being steered by MDL. As you rightly said it is by the Warship Design Bureau. So, that we won't be able to tell you much about P-76.

Moderator: Thank you very much. The follow up question from Vignesh Iyer from Sequent Investment. Please go ahead.

Vignesh Iyer: Sir, this question I remember few quarters back, I mean you did say that there is a 37 acres of land in Nhava Sheva your plans for that and another project being Floating Dry Docks. So, I just wanted to understand what is the plan ahead. I mean is there a plan to develop that infrastructure over that piece of land?

Biju George : So, we have plans to develop the Nhava yard in the long term and at the same time for short term development we have already initiated action. The Floating Dry Dock, which is a floating asset, will be constructed and launched from Nhava yard that activity has already started. Seven ships for Coast Guard also will be constructed in Nhava yard that also is just getting started.

By October this year, as far as the Floating Dry Dock is concerned, we will see full-fledged activity in Nhava yard and as you already know we have bagged the three projects from the Indian Coast Guard out of that 7 vessels we intend to construct and launch from Nhava yard using the Floating Dry Dock which is expected to be ready in October 25, i.e, next year.

So, Nhava yard is going to witness full-fledged activity in the coming days. We have to develop some hard stands, that also we are it's already tendered out and we'll be placing the order shortly.

Vignesh Iyer: What would be the size of this order that you're talking above?

SAnjeev Singhal: Floating Dry Dock is approximately 500 crores and as far as the investment at Nhava is concerned right now it is within our CAPEX of approximately 300 crores we are targeting a CAPEX including a Nhava yard which could be on a stage wise, but at the same time a full-fledged plan with respect to development of Nhava yard as an independent shipyard that also is in the pipeline. So, once the costs are firmed up that can be mentioned.

Vignesh Iyer: So, if I get it right you said the 300 crore is for the Floating Dry Dock the total expenditure that would be needed?

Sanjeev Singhal: 500 c

rores is for the Floating Dry Dock over almost around 2.5 years, 32 months and in addition including this there is an expenditure of approximately 300 crores, 350 crores on a per annum basis for various infrastructures at Nhava yard including the Floating Dry Dock and maintenance

CAPEX at existing facilities.
Vignesh Iyer: Sir just from your earlier comment if I got it right P-15 B the destroyer that one delivery pending that would get delivered you are expecting that you could deliver that in FY25 if I'm right over here, right?
SAneev Singhal Absolutely correct.
Vignesh Iyear: So, I just wanted to know so we have got one more P-75 Kalvari submarines to be delivered that would happen when?
Jasbir Singh: It is planned to happen this year in 2024.
Moderator: Thank you very much. The next question is from the line of Tarjan Nonia an Individual Investor. Please go ahead.
Tarjan Nonia: We have seen in recent years India has now in different sectors especially India is now more looking into the export part, we have already exported Brahmos and all, especially in southeastern countries.
So, are we also looking to export our frigate or something to South Eastern countries like Philippines and Vietnam and Malaysia?
Biju George: We had made efforts to export some of these products, but what these countries their defense budget is low because they're all developing countries, and the nature of their warfare is also different they are not in the blue water Navy.
So, the maximum what they require is offshore patrol vessels. To some of the countries we have given therefore proposals have been given for offshore patrol vessels not only in the Far East even in some of the Latin American countries, African countries etc, but there also it is a long drawn process because the ministry and in many of these countries it has to operate through lines of credit and banks also needs to be involved. So, it's a slightly long drawn process, but we are making efforts for this.
Moderator: Thank you very much. Due to time constraint, that was the last question. I would now like to hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit: Yes, I would like to thank the management for sparing their valuable time this evening and thanks to all the participants for attending this call. Before we conclude, I would like to turn the call back to Shri. Singhal for his closing comments if any. Over to you, sir.
Sanjeev Singhal: It's always a pleasure to interact with the investors and in fact it gives a lot of insight to the company management also what is the understanding of the market and what expectations are there with respect to various projects and other areas which can be looked by MDL. So, this has been a very interactive session and we enjoyed it thoroughly. Thank you very much. All the best and wish you all a good day.
Moderator: On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

“Mazagon Dock Shipbuilders Limited
Q4 FY’24 Earnings Conference Call”
May30, 2024

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING
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FINANCE – MAZAGON DOCK SHIPBUILDERS LIMITED
M R. BIJU GEORGE – DIRECTOR SHIPBUILDING –
MAZAGON DOCK SHIPBUILDERS LIMITED
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CORPORATE PLANNING AND PERSONNEL – MAZAGON
DOCK SHIPBUILDERS LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Mazagon Dock Shipyard's Q4 and FY24 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixitfrom ICICI Securities Limited. Thank you and over to you, sir.
Amit Dixit: Thanks, Neha. Good evening, everyone and welcome to the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call.
From the management, we have today Shri Sanjeev Singhal, Chairman and Managing Director Additional Charge and Director Finance, Shri Biju George, Director Shipbuilding, and Commander VasudevPuranik, Director Corporate Planning and Personnel. Without much ado, I would invite Shri Singhal for opening remarks, post which we will open the floor for an interactive Q&A. Thanks and over to you, sir.
Sanjeev Singhal: Good afternoon everybody, and welcome to all the participants for this meeting. As far as Mazagon Dock Shipbuilders is concerned, I think the results are already available with you and it has been a good performance. In fact, the best ever performance since inception.Incidentally, this was our 250th year. So on 14th of May, 2024, we have celebrated our 251st Foundation Day. This has been a long and phenomenal journey, starting from a small dry dock in 1774 and today, reaching to these heights, when our revenue from operations is significantly higher than $1 billion. So this has been a quite interesting and exciting journey for all of us, and I believe for the investors also. Without taking much time, we can straight away go to the question and answers.Whatever clarifications the participants are looking at, we will be more than happy to satisfy their queries.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohit from Aditya Birla Sun Life Insurance, please go ahead.
Rohit: Thank you for this opportunity. My first question is more to do with the liquidated damages provision write back that we have been doing for almost the last few years. Is this come to an end?And what is the status here, sir? Is there any more additional write backs we are expected to do in FY25? And the margin, do we expect it to normalize to, say, 7.5%?I'm talking about the EBITDA margin.
Sanjeev Singhal: With respect to the LD, we have total supplied 5 boats, i.e, 5 submarines to the Indian Navy till date. We have received LD refund corresponding to 1 submarine in 2022-23 and corresponding to 2 submarines in 2023-24. So as such, for balance 2 submarines, which have been already supplied to the Indian Navy, the cases are still under examination.And at least one of the cases, I believe, has come to a maturity stage. So that LD refund should be coming any time soon. And with respect to one last boat, it is still under analysis.Difficult to commit the timelines.
Rohit: If you could quantify that number, how much is the LD provision write back earmarked so far?

Sanjeev Singhal: The total LD approximately deducted against these 2 boats, which is pending, would be around approximately INR300 crores. What would be the refund? It would depend upon the decision finally taken by the Indian Navy with respect to the delay attributable to MDL and what is not attributable to MDL.
Rohit: My second question is more to do with the P-75 add-on submarines, where you were at the cost benchmarking stage last time when we had the discussion.

What is the stage at which they are now?
Sanjeev Singhal: The cost discussions are still going on, not yet finalized. It would take some more time. But I think it is likely to be finalized soon.
Rohit: Further, any update on 75I technical completion?
Sanjeev Singhal: 75I, as far as the field evaluation trials are concerned, corresponding to the bid submitted by MDL in collaboration with TKMS, we understand that the field evaluation trials have been successful. With respect to the other bid submitted by L&T along with Navantia, we are not aware with respect to the status of the field evaluation trials as of now.
Rohit: Thank you, sir. I will get back in the queue.
Moderator: Thank you. The next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.
Sagar Gandhi: Sir, my question is a follow-up question on the three add-on submarines with AIP.Sir, possibly, will it close in FY25?
Sanjeev Singhal: Yes, we very much believe so.
Sagar Gandhi: And the P75 I project will be FY'26 or FY'27?
Sanjeev Singhal: FY'26. In the normal course, it should be in FY'26. If it goes beyond, then we feel it is delayed.
Sagar Gandhi: And sir, our pending execution of the Destroyer project is close to INR32,000 crores.
Sanjeev Singhal: No, pending execution is INR11,216 crores. The order value was INR32,081 crores. We have already delivered three.
Sagar Gandhi: Yes, I am sorry. INR11,216 crores. So, because this is likely to get delivered in FY'25, a substantial portion of this will be booked in this year only. Is that understanding correct or wrong?
Biju George: It will move to the next year also, partly, because at delivery, our warranty obligations are not getting fully liquidated. And B&D spares, that is, base and depot spares also need to be procured and handed over to the Navy. So, there are various kinds of expenditure which go beyond delivery period also. So, the entire thing will not get liquidated at delivery.

Sagar Gandhi: And sir, regarding the Destroyer project, which was, I think, roughly INR34,000 crores, INR36,000 crores, that will be post FY'27 only. Is that understanding correct?
Biju George: Yes. So, that right now it is at a very preliminary stage. In the Navy, the naval side also, it is not crystallized fully. So, at this point in time, we cannot draw any conclusions as to when we are likely to get an order. We are in preliminary discussions with the Navy. Navy also intends to take it forward.
Sagar Gandhi: Thank you so much.
Moderator: Thank you. The next question is from the line of Pranav Furia from Antique Stock Broking. Please go ahead.
Pranav Furia: Sir. I just wanted to confirm, like, have we booked any liquidated damageswrite back in this quarter particularly, Q4?
Sanjeev Singhal: Yes, Q4, we have booked liquidated damages write back corresponding to one submarine.
Pranav Furia: Sir, could you quantify the amount, sir?
Sanjeev Singhal: Approximately INR141 crores.
Pranav Furia: Okay, sir. That would be very helpful. Thank you.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: So, my first question is that, so, you have given the pending execution for your destroyer. If you can just tell, what is the pending execution for one of the first, the 17A frigates, which is going to be delivered in FY'25? I think that is a INR27,000 crores project.
Sanjeev Singhal: Yes, we are targeting delivery of the first frigate during this financial year. If they are going as per plan, then maybe two frigates within this financial year. Otherwise, one this financial year and subsequently one more in next financial year.
Yash: And so, approximately how much revenue would we be booking out of that, of the two of the

frigates then?
Sanjeev Singhal: When we are delivering, the ships are not fully complete. They are accepte

d by the Navy with
certain riders and certain deficiencies, which are completed during the course of time.
Assigning a figure right now, that may not be feasible with respect to revenues.
Yash: So, because I am just trying to understand, because we have got so much execution going on, in FY'25 with so many deliveries. So, do you believe that overall, broadly, we will see a large revenue recognition in FY'25, broadly INR14 crores, INR15,000 crores? Because we have already got the destroyer, in this year. Then we have got the first of the frigates this year. And this is apart from your other, export orders and everything. So, what would you believe about FY'25, revenue guidance?

Sanjeev Singhal: Without assigning any figures, I can only say that by 2022, 2023, 2024, our revenues have been increasing every year. And we believe that the same trend is likely to continue for FY'25. But right now, we have not made a deeper analysis with respect to the concrete figures. So, I would not be assigning any numbers right now.
Yash: And so, in FY'25, what would be the order book at the end of this year, given the execution that you are, planning and the new order bids that you have submitted? So, broadly, you think we will have about INR40,000 crores, INR50,000 crores of order book by the end of this year or the number can be much higher?
Sanjeev Singhal: It depends upon the materialization of the orders. Smaller orders, we do seek, but they don't make much of a difference. Additional submarine is one order, one big order, which we are eyeing at and believing that if this gets finalized during this financial year, the order book should see a substantial increase. Post execution, of course, some liquidation would be there during the year, but there should be a big addition.
Yash: Could you, sir, quantify, like, how much, when you say big, you think 25%-30% jump on the existing order book broadly?
Sanjeev Singhal: We have submitted our price, which is currently under discussion. So, I will not be able to elaborate it further on this.
Yash: Okay. Got it, sir.Thank you.
Moderator: Thank you. The next question is from the line ofSwechha Jain from Whitestone Financial Advisors. Please go ahead.
Swechha Jain: Hi, sir. Thanks for giving this opportunity. So, I just had a follow-up.I just wanted to understand on the current order book. You know, first of all, the current order book, if we execute, you know, over the next two or three years. And so, I wanted to understand, you know, which year is it likely for us to reach, like, a peak revenue, you know, because some of the deliveries will, you know, coincide in the same year, right, for frigate and for destroyer. So, you know, having that, if you could just give a broad sense as to, will FY25 will be the year where we are going to reach the peak revenue on the current order book or FY26, or you think it can be FY27 also?
Sanjeev Singhal: As far as the current order book is concerned, FY25, clearly we are poised for the, maybe the highest revenue.Yeah, we will be delivering one frigate and one destroyer.Because we are targeting three deliveries during this year, one destroyer, one frigate, as well as one submarine.With the addition of the fresh orders, in future also higher revenues can be very much there.
Swechha Jain: Right, right, right. But on the current order book, FY25 will likely be our peak revenue, right? Okay.And so, just another follow up was this additional submarine order that we are, you know, trying to get. Could you quantify the order book size for it and how many submarines, sir? I think I may have missed that number somewhere.

Sanjeev Singhal: Additional submarines, we are in discussion for three additional submarines.
Swechha Jain: Okay, and what would be the order book, sir, like the order value

for this?
Sanjeev Singhal: I just said we have submitted the prices, which are under discussion. Beyond this, we will not be able to discuss on this right now.
Swechha Jain: Okay, okay. And so, just one last question. In terms of our bidding pipeline, is there any other, you know, ships that we are planning to bid for apart from these additional submarines?And,

you know, what kind of bidding pipeline do you already have in terms of value?
Sanjeev Singhal: We have under discussion the next generation destroyers. We also have under discussion the follow on frigates for under Project 17 Bravo. So, there are projects which are under discussion at various stages apart from P-75I, six submarines.So, these are the projects which are at various stages of discussion and maturity. So, they would be taking certain time, but I believe considering the geopolitical situation, the projects need to be finalized by Indian Navy.
Swechha Jain: Okay, okay. And so, would you able to even give a broadly sense that what this three together would quantify into order book if we get these?
Sanjeev Singhal: I can only say as far as 75I is concerned, what is available in public domain, that is the AON cost, which is INR43,000 crores, which was published in 2018. So, it is six years dated cost. So, as on date, maybe you can add certain escalations on that.
With respect to destroyers, our existing destroyer order is INR34,000 crores approximately for four destroyers, which was 2011 order. So, that is approximately INR8,500 crores per destroyer in 2011. So, any next generation destroyer, which is likely to be a significantly larger and more complex, more weapon intensive and with the escalations.So, maybe you can take a view with respect to the magnitude in terms of costs.
Swechha Jain: Okay, okay. Okay, sir. That is it from my side.Thank you so much.
Moderator: Thank you. The next question is from the line of Viraj Patel from JK Global's LLP. Please go ahead.
Viraj Patel: Okay. My question is, what is the status on the order of three submarines worth INR20,000 crores by the government that you were waiting for approval?
Sanjeev Singhal: As I said, it is with respect to the additional three number submarines, which is under discussion?
Viraj Patel: That you have mentioned earlier in the con call?
Sanjeev Singhal: Yeah, we have submitted some prices and which are being examined and are under discussion currently. As informed during my previous reply in today's con call itself, we expect that the order is likely to be finalized during this financial year.
Viraj Patel: Okay. Thank you.

Moderator: The next question is from the line of Rohit from Aditya Birla Sun Life Insurance. Please go ahead.
Rohit: Thank you for this follow up. Sir, if I strip off this liquidated damages write back, your margin is actually still very high. So, how should we really appreciate the existing work or the pending work to be done?What kind of margins, excluding the provision write back, we can conclude at?
Sanjeev Singhal: There is also approximately INR400 crores of income on account of additional interest income during 2023-24 compared to 2022-23 on account of improved rates of interest and higher deposits. So, this also is a non-operating kind of an income, not related to production. Apart from this, what we have indicated earlier also, whenever we are in a position or when we deliver a platform ahead of schedule that has a very positive impact on the costs because the costs for the period are saved which is a very significant chunk.
We did three deliveries, three destroyers during three years, one in ‘21, one in ‘22 and another in ‘23 calendar years. Destroyer which we delivered in ‘23, October ‘23, this was delivered almost five months ahead of schedule. The corresponding schedule was March ‘24, we delivered in October. So, this has a significant soberi

ng effect on the costs which contributes to a better margin.
Going ahead, as far as fourth destroyer is concerned, we are again targeting to deliver it significantly ahead of schedule. As per the contractual schedule, the delivery date is February ‘25. We would like to deliver it early. As far as frigate is concerned, this being the first of the class, first of the project 17 alpha, the endeavour is that we should be able to deliver it in time. This itself would be a big achievement. And going ahead, we can look for deliveries prior to the scheduled date of the contract. These have been, some of the factors which have been responsible for better margins, going ahead, it would always depend on the physical performance on ground.
Rohit: Got it, sir. That was really helpful. From a MOU, excellent with government rating perspective in FY’25, what would be your revenue target or margin target? Any colour on that?
Sanjeev Singhal: For excellent rating, the revenue target, I expect to be something around close to INR10,000 crores-INR10,500 crores.
Rohit: And any colour on margins, sir? PBT margins or something of that…
Sanjeev Singhal: Margins should remain in the similar range, maybe slight increase the government may propose.

Rohit: But this will be X of that liquidated damages write back and some cost increases or is it you maintain the same?
Sanjeev Singhal: Normally, the targets are not assigned with so much detailing. Targets are normally on gross level.

Rohit: Okay. Thank you, sir. That's it from my side.
Moderator: Thank you. The next question is from the line of Bhavesh an Individual Investor. Please go ahead.
Bhavesh: Good afternoon, sir. Congratulations on a great set of numbers. Just wanted to get an update on the ONGC pipeline order which was supposed to get executed this month. So, is it on track?
Sanjeev Singhal: Yeah, the order is still under discussion. We were expecting by May this will be finalized but I think some delay is there. So, un-likely by tomorrow. But the discussions are in place.
Bhavesh: So, it's still under discussion and it's not started yet?
Sanjeev Singhal: No.
Bhavesh: Because in your PPT, slide number 15, it says that project worth INR1142 crores are still pending. I thought that it is the ONGC order project but it's not, right? It's a different project.
Sanjeev Singhal: Are you referring to the…
Bhavesh: Slide number 15, order book. So, in that there is a section heavy engineering and in that there is a subsection of others. So, you have mentioned INR1142 crores as some…
Sanjeev Singhal: This is the order which we received in the month of December last year which is under execution currently.
Bhavesh: The ONGC one?
Sanjeev Singhal: It's ONGC. I thought you were discussing with regard to the second order which is under discussion.
Bhavesh: No, no. This is not in the public domain.
Sanjeev Singhal: So, there is a certain delay in that, likely to materialize anytime soon.
Bhavesh: Okay, but the first order…
Sanjeev Singhal: First order is under execution.
Bhavesh: So, it will get executed this month? Like you will get the money, like the money will be realized in this quarter, INR1100 crores?
Sanjeev Singhal: This financial year.
Bhavesh: This financial year, okay. Alright. And sir, you have cash around INR15,000 crores plus. So, how do you plan to utilize such a large amount? Like you are the second defense company which has more than 14,000. Like the first is HAL, then comes Mazgaon and the third is Bharat Electronics. So, you are positioning yourself on second in terms of cash and cash balances. How do you plan to utilize that cash?

Sanjeev Singhal: A substantial amount of this cash which is visible in our balance sheet belongs to Navy against the project. So, this is not free cash. Free cash which belongs to

MDL would be around INR4000 crores. We have recently acquired a 15-acre piece of land adjacent to the existing premises of MDL where we would be incurring a significant amount of capex over next two-three years including we will also be incurring significant capex on the development of Nhava yard.
So, these two areas would be making MDL future proof with respect to the infrastructure constraints whatever are there today. Although we have capacity to construct 11 submarines and 10 warships simultaneously at the existing premises but considering that the future platforms are likely to be larger in dimensions with a deeper draft, we would be investing significantly in capacity addition.
Bhavesh: Great, great. That's it sir from my side. All the best.
Moderator: Thank you. The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.
Sagar Gandhi: Yeah, so my question pertains to the order pipeline. You mentioned about P-17B project. So, this is what quantity, what number of frigates?
Biju George: P-17B is also likely to be like a repeat order, seven ships shared between maybe couple of yards. So, the total requirement is seven.
Sagar Gandhi: Okay, and the order value will also be, I mean last order value plus…
Biju George: So, that you can extrapolate because you know for four how much it was and when the order

was placed.
Sagar Gandhi: No, no, I understood that. Instead for destroyers, what is the quantity that is likely to come?
Biju George: For the next generation destroyer?
Sagar Gandhi: Yes, yes. Yeah, so that is four.
Sagar Gandhi: So, that is four. And sir, apart from these two orders, ship repair pipeline and this additional order that you mentioned about ONGC. So, can you give us some colour about what is likely to come over the next 1-1.5 years?
Sanjeev Singhal: There would not be -- we are not privy to any plans regarding ONGC. So, whatever the requirements are there, they come out by way of a tender. So, only then we come to know what is the requirement. So it would be difficult to assign any kind of a number to that what would be their requirement in future.
With respect to Navy, yes, they come out with their perspective plan what requirements are there. So based on this we have indicated the next generation destroyers is there in pipeline, 17 Bravo frigates are there, follow-on frigates are there, 75I submarines are there, additional submarines are there. In addition, there would be requirements which as and when they come

out requirements from other agencies like Coast Guard. And we are also scouting for the export orders.
So we are in discussion with various countries including Malaysia, Brazil, Indonesia, UAE.
We have in fact we have invested considerable time, energies and resources in these areas over the past few years. So it takes time before these naval orders materialize. We expect some positive responses in future.
Sagar Gandhi: Yes so sir in this respect I am not asking you the type of vessel, but broadly will it be a large opportunity half a billion dollars or something like that?
Sanjeev Singhal: No, as far as the export orders are concerned it will be primarily commercial. We do not expect to be anywhere comparable to the destroyer or submarines or frigates. But at the same time this would be strategically important to establish our strong foothold in the export market also.
Sagar Gandhi: Okay. And, sir regarding our peak revenue in FY25, I mean, sir these three additional submarines that we are likely to get, their execution timelines will be lower than our previous experience of executing submarines.
SanjeeevSinghal: Yes definitely.
Sagar Gandhi: Sir in that case say maybe one year there may be some dip in revenues, but post that again execution will start for the submarine then we can again...
Sanjeev Singhal: Yes overall timelines w

ill definitely be lower, but granular breakup financial yearwiseit will be difficult right now unless and until the order and the specifications are actually crystallized and received. What kind of preparation is involved, what kind of equipments, what is the indigenization content, how much is a repeat kind of a thing and how much is new and detailing and designing etc it would depend on that.
Sagar Gandhi: Okay. But you believe 5 years is a reasonable timeline for execution for submarine?
SanjeevSinghal: 5 years to 7 years. They are depending upon the requirements. Okay. If there is a significant change in the requirements it may entail a higher timeline, but if it is a plain repeat order then yes 5 years is good enough.
Sagar Gandhi: Okay. And sir my last question is on capex that you highlighted. So capex plan will be for how much rupees and over how many years?
Sanjeev Singhal: We expect INR3,000 crores over next 3 years to 4 years.
Sagar Gandhi: INR3,000 crores?
Sanjeev Singhal: Yes INR2,500 to INR3,000 crores.
Sagar Gandhi: Okay. Initially sir when during the IPO time we had mentioned that NhavaShevaYard which we are likely to develop that will entail a capex of INR1,000 crores. So you are saying additional INR1,500 crores over...

Sanjeev Singhal: For the additional land which has been acquired recently 15 acres we would be developing that plot also.
Sagar Gandhi: And that will have capacity to…
Moderator: Sorry to interrupt you sir. I request you to come back for a follow-up question.
Sagar Gandhi: Sure I'll do that. Thank you.
Moderator: Thank you. The next question is from the line of GaganThareja from ASK Investments

Manager. Please go ahead.
GaganThareja: Yes. Good evening. Am I audible?
Sanjeev Singhal: Yes. Please go ahead.
GaganThareja: Yes. Sir regarding the deliveries for next year you indicated that warranties and certain spares the revenue booking will spill over in the year after FY25. Generally what is the proportion of warranties and spares on an average in any order for delivery?
Biju George: Yes. So this is not the absolute value.
GaganThareja: I am looking at a percentage of generally as a percentage of any order?
Biju George: Yes. So for example in a INR27,000 crores order INR3,500 would be spares.
GaganThareja: And warranties would be how much?
Biju George: Yes see we are unable to quantify. I'll put the thing in perspective. For example post-delivery during the warranty period these ships are deployed in, for example, in the Red Sea. We do not know what would be our liabilities. So that is why the future expenditure is also there.
GaganThareja: I get that sir, but Red Sea is like an exceptional event. I am saying in the normal course of your history, deployment, post-deployment what has been your experience on average warranty costs?
Biju George: Yes. So we have two kinds of warranties. One is the warranty getting extended with the firm up during the guarantee period. Then it's during the guarantee period of the platform all the equipment and systems certain things we are not covering warranty, but it will be like on need basis. So that is how we cover the warranty for the equipment and systems.
So it has not been a uniform kind of warranty requirement because as you know system A may be absolutely all right in the first ship. Second ship, it is another system which will be demanding a warranty attention. Third ship, it is a different set of equipment. So there is no uniform kind of statistics available.
GaganThareja: Yes, but there would be a median. I know that it will vary, but there will be a median and average. If the variability is too high perhaps you could give a median rather than a mean.

Biju George: Yes. So definitely there is a mean, but it has been fluctuating. That's what I was…
GaganThareja:

Yes, but would it be possible for you to enumerate or give the numerical value of the mean?
Biju George: That I have not calculated this thing what will be the percentage of the total value, etc.
GaganThareja: And on the P75I, will the orders be given to -- will the orders be split between the two bidding entities or will it go to one entity as a whole?
VasudevPuranik: One entity as a whole.
GaganThareja: Ok Alright SirAnd regarding the sizable capexes that you are undertaking, if you could help us understand give us more context into are these for ship building, are you expanding capacity for submarines also? You signed a master repair agreement with US Navy. Are you therefore looking at building up ship repair facilities also? It would help to understand where exactly all of this capex is going into.
Biju George: Yes, so we have our expansion plans as regards to the capex in two locations, as CMD mentioned. One is in the adjacent land which we have recently acquired, as well as in our NhavaSheva facility. Both these facilities will have a cross-functional kind of arrangement where one can act as a feeder to the other and vice versa also.
And it is for ship building and ship repair so that we are primarily looking. Submarines we are able to handle with the existing facility for the future workload. So, with this expansion, we will be able to take higher vessels of larger dimensions and we also will be able to repair bigger vessels both from the naval assets as well as commercial vessels.
GaganThareja: Thank you, sir. I will get back in the queue. Thanks for taking my questions.
Moderator: Thank you. The next question is from the line of ParimalMithani from Credential Investments. Please go ahead.
ParimalMithani: Hello. Good evening, sir. Thank you for the opportunity. All my questions are answered. And congratulations for a wonderful set of numbers . Thank you.
Sanjeev Singhal: Yes, please continue.
Moderator: Yes, thank you. The next follow-up question is from the line of Swechha Jain from Whitestone Financial Advisors. Please go ahead.
Swechha Jain: Hi, sir. I just have a couple of follow-ups. So, one, I wanted to know, once we complete this capex on both the two facilities if you could give some sense, I know you did mention in the earlier answer that we will be able to take bigger vessels both on the ship building and the repair side. But if you could give some sense once both of this capex are done how many ships can we build at the same time or how many can we repair parallelly including these two facilities?

Biju George: Now, we will be giving, so we have a broad definition in place. And based on that, we will be appointing a consultant who will be assessing the facility, looking at the businesses that is in the horizon and map that to the infrastructure development.
Swechha Jain: Okay. And if you could give some sense as to…
Biju George: It depends on what is the size of the ship and what is the number of ships will come in an order and what is the delivery timelines. So, there is an inter-ship gap between two ships, what is the gap available. So, we would have at least doubled our capacity when the three facilities are in place.
Swechha Jain: Okay. And sir, in terms of ship repair revenue some broader sense as to say after four or five years down the line, what percentage do we envisage our ship repair revenue to be as a part of the total revenue?
Biju George: Yes, that will be very miniscule, in the next four years, only the infrastructure will be -- For development of the infrastructure itself, it will take three to four years -- Revenue from ship repair, it's maybe 6%, 5% to7%.
Sanjeev Singhal: Actually, in spite of repairs having a shorter cycle, primarily we are a yard for new build. So, this is -- Our focus area remains on the new build. We don't expect a revenue share of more than

5% to7% from the repair segment. And we have only one dock in which we are undertaking repairs now.
Swechha Jain: Okay. And sir, my last follow-up is the bidding pipeline that we talked about the next-gen destroyer, follow-up P-17 and the P-75I. Just wanted a clarification that we have not bid for these, right? We will be bidding for these going ahead?
Sanjeev Singhal: The tenders for the next-generation destroyers or 17 Bravo are still not out. 17 Bravo, we expect a repeat order kind of a thing, quite possible on nomination. And next-generation destroyers also, depending upon the capability and capacities of the existing yards, so that contours are still not known whether it will be on nomination basis or multi-yard or on a purely competitive basis. The tenders are still not out but the discussions are there. With respect to the requirement.
Swechha Jain: Okay. And for P-75I?
Sanjeev Singhal: P-75I, we have already submitted the bids. Last year, August, we have submitted the bids. Currently, it is under evaluation. The field evaluation trials with respect to MDL, TKMS combined have been successful. The field evaluation trials with respect to Navantia and L&T, we understand, are underway. It will take some time for the evaluation and other things to be crystallized.
Swechha Jain: Okay. And so what I understand is you said that this will be…
Moderator: I request you to come back for a follow-up question. Thank you. The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi: Sir, the new capex that you mentioned to accommodate larger vessels, will it also accommodate aircraft carriers?
Sanjeev Singhal: We are floating a tender to assess the total land area and the sea area available and what kind of water depth is available. So, the consultant will be coming out with a full plan with what kind of vessels, what max dimensions, what max draft can be accommodated. So, that would provide a better clarity.
Sagar Gandhi: Okay. Thank you. That is it from my side.
Moderator: Thank you. The next follow-up question is from the line of Viraj Patel from G K Globas LLP. Please go ahead.
Viraj Patel: Sir, another question is that what are your expectations of budget expenditure on defence and what percentage of growth are you expecting in next five years due to the budget allocation?
Sanjeev Singhal: We have never been focused with respect to the defence budget or defence allocation because the budgets have never been a constraint as far as defence requirements are concerned or naval requirements are concerned.
So, what we understand is that the requirements are there and as and when the requirements are crystallized at the level of navy and the orders are placed the funds would be provided for. Taking the geopolitical situation into account, we believe that there is a significant requirement. The total length of the Indian coastline is 7500 kilometers, the geopolitical situation. So, we foresee significant development in future.
Viraj Patel: Okay, sir.

Moderator: Thank you for your question. The next follow-up question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: Thanks again for the opportunity. I just want to confirm a couple of data points. Could you confirm if your capex is INR2500 crores to INR3000 crores for the next three years?
Sanjeev Singhal: Yes, next approximately three to four years depending upon the crystallization of all the reports and the placement of orders with respect to execution.
Yash: I wanted better clarity on the pending order execution. So, you said that for the destroyer project, we have INR11,200 crores pending order. How much would it be for the frigate?
Sanjeev Singhal: Frigate would be approximately INR17,000 crores.
Yash: And for the Submarine, the one Submarine that we will be delivering this year?

Sanjeev Singhal: That is Submarine and spares, etc. Approximately INR3000 crores. The coast guard vessels also INR3000 crores. And the foreign order, export order is INR350 crores with respect to medium refit and life certification of the submarine, approximately INR2000 crores and others, INR 1000-1,500 crores.

Yash: So, broadly, if I get the math right, so INR11,200 crores plus about INR17,000 crores plus your INR3000 crores for the Coast Guard, another INR3000 crores for your Submarine. And how much you said for the export, sir?
Sanjeev Singhal: MRLs, medium refit and life certification INR2000 crores, exports INR350 crores and others approximately INR1000 crores to INR1500 crores, total INR38,000 crores.
Yash: So, this is broadly order book right now as a Q4?
Sanjeev Singhal: Yes.
Yash: And you intend to maintain that run rate for the next couple of years?
Sanjeev Singhal: As far as the execution rate is concerned, we can say with respect to the execution rate, with respect to the order booking, it will, there are a number of factors on which it would depend. If I get a large value order today, this order book would shoot up immediately.
Yash: Got it, sir. Thank you.
Moderator: Thank you. The next follow-up question is from the line of GaganThareja from ASK Investment Managers. Please go ahead.
GaganThareja: Sir, are landing platform docks also in the pipeline? It's, been something which has been spoken for a very long time but not happened. But of late, your peer companies also seem to talk about it as potentially there in, the next near future?
Biju George: Yes, we are not in the fray for LPD.
GaganThareja: Are you there in the fray for next generation corvettes and survey vessels?
Biju George: Yes, See, NGC, the RFP is out, we are there for the next generation corvettes.
GaganThareja: But not for the survey vessels?
Biju George: Sorry?
GaganThareja: Survey vessels, next generation.
Biju George: Yes, that, as far as I know, that will take more time. NGC RFP is out.
GaganThareja: And basis is the Navy's long-term perspective plan, over a 10 year time frame, or maybe perhaps a 10 years, 15 year time frame. What is the potential sort of procurement by value that Navy could order, between now and the next 10 years?
Biju George: As a shipyard, we are not privy to the maritime capability perspective plan. That is an internal document of the Navy. But whatever projects we have decided is what has been, that is there in the public domain also. That's all we also know about it.

GaganThareja: And, sir, coming on to, the three deliveries that you have planned for next year. In fact, you said two frigates, possibly, if you can get it done on time. That alone could be, on an average, one frigate would be INR6,000 crores to INR7,000 crores basis, the order size and number of frigates. So two frigates would be, something around 13, 14. One pending delivery of Bravo is around INR11,000 crores.
So that's, a very sizable number of more than INR20,000 crores plus the Submarine. So you're talking of almost INR25,000 crores. And even if I knock out, spares, which you indicated was roughly 15%, and perhaps warranties of another 5%, 10%, even 10%. You're still talking of three-fourths of almost INR24,000 crores, which is, almost INR17 crores, INR18,000 crores, theoretically possible sales invoicing next year. Is the math very wrong, what I'm talking about?

Sanjeev Singhal: What you are talking about is the gross value of these assets, whereas all these assets are at a certain level of completion even today. So revenue booking corresponding to these milestones has already taken place. I will not be booking entire revenue during the year of delivery.
GaganThareja: Okay, I understand, sir. Is it possible to enumerate how much would already have been booke

d
out of, what you'll deliver next year?
Sanjeev Singhal: That would be slightly difficult, individual vessel-wise, how much revenue booking has already been done. Those figures would be available. These are not readily…
GaganThareja: But sir, when your presentation mentions the pending value of what needs to be booked, right? So if the pending value is INR3,500 crores and INR11,000 crores, Submarine and P17 Bravo, then by default, the pending value alone is INR14,000 crores, INR15,000 crores there, and one frigate pending delivery, the two frigates pending delivery, the value itself, pending value is how much of the total frigates that you're left with?
Sanjeev Singhal: Right now, if we discuss with respect to frigates, the order value for the four frigates is INR27,000 crores, of which INR10,000 crores has already been booked as revenue.
GaganThareja: How much?
Sanjeev Singhal: Approximately INR10,000 crores has already been booked as revenue. None of the frigates have been delivered. Balance of INR17,000 crores represents the balance of all the four frigates, and this would also include certain components towards base and depot spares, towards warranty obligations. Similarly, for 15 Bravo destroyer, although only one destroyer remains to be delivered, this INR11,000 crores does not reflect the balance pending value for one destroyer.
This also reflects the value of the base and depot spares for the entire project, the warranty obligations for the entire project. So this need not culminate on the delivery of the fourth destroyer. Similar would be the case with respect to the Submarine. The INR3,500 crores I am not going to book on delivery of the last submarine.
GaganThareja: Correct. I get you. Sir.

Sanjeev Singhal: Depending on activities, Which may take time, maybe a year or more.
GaganThareja: Agreed. What I'm simply saying is, if the pending value of frigates is 17,000, they might all be at different stages of execution. But for hypothesis sake, if I assume they are all at the same stage of execution, then for two out of this was for how many? For six?
Sanjeev Singhal: Frigates is four.
GaganThareja: Four. Right. So, two is roughly half of the pending value. I'll knock out the warranty and, the spare. So just for the sake of counting, right, 11 plus -- I take half of 16, let's say 8. 11 plus 8 is 19. 19 plus 3 and a half is 22,500. I knock out at least 20% for warranties and spares out of that. So I'm knocking out 2,000 for conservatism.
Sanjeev Singhal: You are knocking out 20% of the balance value, whereas it would be 20% of the project value. 15% is for base and depot spares. In addition, the warranty guaranteescharges. So it's not 20% of the value which is visible now. It would be in the range of 12%-15% of the total project cost.
GaganThareja: Agreed. So we'll then adjust accordingly. And then can we say that whatever figure we come to is a possible invoicing for Mazagon in the coming years?
Sanjeev Singhal: We have not calculated in that fashion. I would not be able to say that your assumptions are valid. We have not worked out in that manner.
GaganThareja: Okay. All right, sir. Thank you. Thank you for at least helping us understand this in a little more detail. It was very helpful. Thank you. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Jayesh, an individual investor. Please go ahead.
Jayesh: Thanks for the opportunity, sir. Just wanted to confirm slash clarify on a couple of things. One, there was a news item that the Navy has come out with a revised RFP for P75I for INR60,000 crores. The revised RFP was for 43, but there has been a revision in the terms and it has come out recently. I just thought I'd check with you if that is the case or that is not the case?
Sanjeev Singhal: We are not aware of this.
Jayesh: So that's one. Second is, if you can

just indicate, what is the liquidated damages for FY ‘24? I heard that in the last quarter it was INR150 crores, INR149 crores. But how much is it for the full year?
Sanjeev Singhal: Approximately INR300 crores.
Jayesh: So it's 150 crores per ship, broadly for the 2 ships. And there is 2 more which will come through in FY ‘25, assuming the Navy approves it.

Sanjeev Singhal: One is nearly crystallized. Regarding the second one, I cannot state it right now.

Jayesh: And then again, the third question, of course, again, pertaining to P75I, there has been a discussion that the entire process may get delayed by around 6-9 months because the Spain slash NavantiasAIPstill is not ready. I mean, one of the conditions of the RFP was a fullAIP .
Sanjeev Singhal: We would not be able to comment on that. We are only aware that the field evaluation trials of MDL and TKMS, they have been successful.
Jayesh: Correct.
Sanjeev Singhal: Beyond this, we would not be able to comment.
Jayesh: Sure. Those were my questions. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities Limited. Please go ahead.
Amit Dixit: Yes. Hello. Thanks for taking my question. I have just two questions. The first one is essentially that over a period of time, we have seen margin improvement. Now, even if I exclude the impact of refund of LDs and all, there has been an improvement in terms of margins, which used to be 5%, 6%. Now, we have seen it at a much higher level. Now, some of it has to do, of course, with the before time delivery. And this thing will kind of persist. So, just wanted to understand from you, what kind of sustainable margins should we take going ahead? Because the operational improvement, I think, will stay with you.
Sanjeev Singhal: One thing we need to understand that the contracts which we are executing currently, these are on nomination basis. As far as additional submarine is concerned, that is, again, on nomination basis. With respect to next generation destroyers, with respect to follow-on ships of 17 Bravo frigates, these contours are not visible right now, whether these will be on nomination basis or on competitive basis.
Both have a totally different scenario with respect to how many players are there in competition or if the order is on nomination, then the margins are predefined. So, lot many factors would come into play when these orders actually crystallize. Secondly, considering that these projects take a significantly long period for execution, a better clarity with respect to costs and margins emerges towards the later part of the project execution.
So, even during the initial stages of the project execution, a clear picture would not emerge with respect to what kind of costs I am going to incur. So, there would be certain measures, certain conservative vision during the initial stages of the project with respect to profit booking. As and when the project progresses substantially, there is a level of comfort whereby you can book profits which are more clearly visible.
Amit Dixit: Got it, sir. The second question I have is if we look at the budget, I mean, of course, the interim budget only. So, if I look at this, what I find that the spending for naval fleet is pretty constant if I compare it with last year. Now, given that most of the ships in your case, as well as some of your peers, are in advanced stage of revenue booking. So, should we expect that

there would be an ordering in FY ‘25 or given the static nature of the event that is contemplated, it will only happen in FY ‘26?
Sanjeev Singhal: I didn't get your question clearly.
Amit Dixit: No, the question is that we are talking about, you know, that in FY ‘25, we are hopeful of getting this P75-I. 3. submarine order. With the ord

er, you will also maybe get 5% advance.
Now, when I look at the spending that has been budgeted, it is very, very constant.
Sanjeev Singhal: Budgets are not a constraint. Budgets are not a constraint, whatever would be required. Budgets have never been a constraint. In fact, funds have never been an issue. As per requirement, the funds are being made available.
VasudevPuranik: And what you see, the budget is outflow of that year. And this budget plans that we will get, it will have its cash flows over 4-5 years.
Sanjeev Singhal: He is talking of this 5% advance payment which will flow, whether that will flow or not. But our experience is that cash flow has never been a constraint or never been an issue with respect to any of the projects.
Amit Dixit: Got it, sir. Thank you so much and all the best.
Sanjeev Singhal: Thank you.
Moderator: Yes, sir. Ladies and gentlemen, we will take this as the last question. And I will hand the conference over to the management for closing comments.

Biju George: So, I will take this opportunity to thank all the esteemed investors who have participated in this call. And we hope that we have clarified all your queries. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

Sub: Disclosure in terms of Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015 pertaining to the uploading of the Audio or video recordings and transcripts of investors update calls on the website of the Company.

Dear Sir/ Madam,

With respect to the captioned subject the Investor Update Call Transcript which was transpired during Q4FY24 Investor Earnings Call organized by ICICI Securities on Thursday, the 30 May 2024 at 1630 hours to discuss the Financial Results for the quarter and year ended 31 March 2024, has been uploaded on the website of the Company namely https://mazagondock.in . The said transcript is also enclosed herewith.

The link for accessing the said transcript is:
https://mazagondock.in/Transcript.aspx

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

(Madhavi Kulkarni)
Company Secretary & Compliance Officer

Encl: as above
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai– 400 001
Scrip Code: 543237

To
National Stock Exchange of
India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
NSE Symbol: MAZDOCK

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MAZAGON DOCK SHIPBUILDERS LIMITED
(Formerly known as MAZAGON DOCK LIMITED)
CIN: L35100MH1934GO1002079
(A Govt. of India Undertaking)
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Dockyard Road, Mumbai 400 010
Certified: ISO 9001-2015

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Ref : SEC/BSENSEDISCL/14/2024-25
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Date : 05 June 2024
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Madhavi Vishwanath Kulkarni Date: 2024.06.05 18:14:17 +05'30'

“Mazagon Dock Shipbuilders Limited
Q4 FY’24 Earnings Conference Call”
May30, 2024

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING
DIRECTOR, ADDITIONAL CHARGE, DIRECTOR
FINANCE – MAZAGON DOCK SHIPBUILDERS LIMITED
M R. BIJU GEORGE – DIRECTOR SHIPBUILDING –
MAZAGON DOCK SHIPBUILDERS LIMITED
C OMMANDER VASUDEVPURANIK – DIRECTOR
CORPORATE PLANNING AND PERSONNEL – MAZAGON
DOCK SHIPBUILDERS LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Mazagon Dock Shipyard's Q4 and FY24 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixitfrom ICICI Securities Limited. Thank you and over to you, sir.

Amit Dixit: Thanks, Neha. Good evening, everyone and welcome to the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call.

From the management, we have today Shri Sanjeev Singhal, Chairman and Managing Director Additional Charge and Director Finance, Shri Biju George, Director Shipbuilding, and Commander VasudevPuranik, Director Corporate Planning and Personnel. Without much ado, I would invite Shri Singhal for opening remarks, post which we will open the floor for an interactive Q&A. Thanks and over to you, sir.

Sanjeev Singhal: Good afternoon everybody, and welcome to all the participants for this meeting. As far as Mazagon Dock Shipbuilders is concerned, I think the results are already available with you and it has been a good performance. In fact, the best ever performance since inception.Incidentally, this was our 250th year. So on 14th of May, 2024, we have celebrated our 251st Foundation Day. This has been a long and phenomenal journey, starting from a small dry dock in 1774 and today, reaching to these heights, when our revenue from operations is significantly higher than $1 billion. So this has been a quite interesting and exciting journey for all of us, and I believe for the investors also. Without taking much time, we can straight away go to the question and answers.Whatever clarifications the participants are looking at, we will be more than happy to satisfy their queries.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohit from Aditya Birla Sun Life Insurance, please go ahead.

Rohit: Thank you for this opportunity. My first question is more to do with the liquidated damages provision write back that we have been doing for almost the last few years. Is this come to an end?And what is the status here, sir? Is there any more additional write backs we are expected to do in FY25? And the margin, do we expect it to normalize to, say, 7.5%?I'm talking about the EBITDA margin.

Sanjeev Singhal: With respect to the LD, we have total supplied 5 boats, i.e, 5 submarines to the Indian Navy till date. We have received LD refund corresponding to 1 submarine in 2022-23 and corresponding to 2 submarines in 2023-24. So as such, for balance 2 submarines, which have been already supplied to the Indian Navy, the cases are still under examination.And at least one of the cases, I believe, has come to a maturity stage. So that LD refund should be coming any time soon. And with respect to one last boat, it is still under analysis.Difficult to commit the timelines.

Rohit: If you could quantify that number, how much is the LD provision write back earmarked so far?

Sanjeev Singhal: The total LD approximately deducted against these 2 boats, which is pending, would be around approximately INR300 crores. What would be the refund? It would depend upon the decision finally taken by the Indian Navy with respect to the delay attributable to MDL and what is not attributable to MDL.

Rohit: My second question is more to do with the P-75 add-on submarines, where you were at the cost benchmarking stage last time when we had the discussion.

What is the stage at which they
are now?
Sanjeev Singhal: The cost discussions are still going on, not yet finalized. It would take some more time. But I think it is likely to be finalized soon.
Rohit: Further, any update on 75I technical completion?
Sanjeev Singhal: 75I, as far as the field evaluation trials are concerned, corresponding to the bid submitted by MDL in collaboration with TKMS, we understand that the field evaluation trials have been successful. With respect to the other bid submitted by L&T along with Navantia, we are not aware with respect to the status of the field evaluation trials as of now.
Rohit: Thank you, sir. I will get back in the queue.
Moderator: Thank you. The next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.
Sagar Gandhi: Sir, my question is a follow-up question on the three add-on submarines with AIP.Sir, possibly, will it close in FY25?
Sanjeev Singhal: Yes, we very much believe so.
Sagar Gandhi: And the P75 I project will be FY'26 or FY'27?
Sanjeev Singhal: FY'26. In the normal course, it should be in FY'26. If it goes beyond, then we feel it is delayed.
Sagar Gandhi: And sir, our pending execution of the Destroyer project is close to INR32,000 crores.
Sanjeev Singhal: No, pending execution is INR11,216 crores. The order value was INR32,081 crores. We have already delivered three.
Sagar Gandhi: Yes, I am sorry. INR11,216 crores. So, because this is likely to get delivered in FY'25, a substantial portion of this will be booked in this year only. Is that understanding correct or wrong?
Biju George: It will move to the next year also, partly, because at delivery, our warranty obligations are not getting fully liquidated. And B&D spares, that is, base and depot spares also need to be procured and handed over to the Navy. So, there are various kinds of expenditure which go beyond delivery period also. So, the entire thing will not get liquidated at delivery.

Sagar Gandhi: And sir, regarding the Destroyer project, which was, I think, roughly INR34,000 crores, INR36,000 crores, that will be post FY'27 only. Is that understanding correct?
Biju George: Yes. So, that right now it is at a very preliminary stage. In the Navy, the naval side also, it is not crystallized fully. So, at this point in time, we cannot draw any conclusions as to when we are likely to get an order. We are in preliminary discussions with the Navy. Navy also intends to take it forward.
Sagar Gandhi: Thank you so much.
Moderator: Thank you. The next question is from the line of Pranav Furia from Antique Stock Broking. Please go ahead.
Pranav Furia: Sir. I just wanted to confirm, like, have we booked any liquidated damageswrite back in this quarter particularly, Q4?
Sanjeev Singhal: Yes, Q4, we have booked liquidated damages write back corresponding to one submarine.
Pranav Furia: Sir, could you quantify the amount, sir?
Sanjeev Singhal: Approximately INR141 crores.
Pranav Furia: Okay, sir. That would be very helpful. Thank you.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: So, my first question is that, so, you have given the pending execution for your destroyer. If you can just tell, what is the pending execution for one of the first, the 17A frigates, which is going to be delivered in FY'25? I think that is a INR27,000 crores project.
Sanjeev Singhal: Yes, we are targeting delivery of the first frigate during this financial year. If they are going as per plan, then maybe two frigates within this financial year. Otherwise, one this financial year and subsequently one more in next financial year.
Yash: And so, approximately how much revenue would we be booking out of that, of the two of the frigates then?
Sanjeev Singhal: When we are delivering, the ships are not fully complete. They are accepte

d by the Navy with
certain riders and certain deficiencies, which are completed during the course of time.
Assigning a figure right now, that may not be feasible with respect to revenues.
Yash: So, because I am just trying to understand, because we have got so much execution going on, in FY'25 with so many deliveries. So, do you believe that overall, broadly, we will see a large revenue recognition in FY'25, broadly INR14 crores, INR15,000 crores? Because we have already got the destroyer, in this year. Then we have got the first of the frigates this year. And this is apart from your other, export orders and everything. So, what would you believe about FY'25, revenue guidance?

Sanjeev Singhal: Without assigning any figures, I can only say that by 2022, 2023, 2024, our revenues have been increasing every year. And we believe that the same trend is likely to continue for FY'25. But right now, we have not made a deeper analysis with respect to the concrete figures. So, I would not be assigning any numbers right now.
Yash: And so, in FY'25, what would be the order book at the end of this year, given the execution that you are, planning and the new order bids that you have submitted? So, broadly, you think we will have about INR40,000 crores, INR50,000 crores of order book by the end of this year or the number can be much higher?
Sanjeev Singhal: It depends upon the materialization of the orders. Smaller orders, we do seek, but they don't make much of a difference. Additional submarine is one order, one big order, which we are eyeing at and believing that if this gets finalized during this financial year, the order book should see a substantial increase. Post execution, of course, some liquidation would be there during the year, but there should be a big addition.
Yash: Could you, sir, quantify, like, how much, when you say big, you think 25%-30% jump on the existing order book broadly?
Sanjeev Singhal: We have submitted our price, which is currently under discussion. So, I will not be able to elaborate it further on this.
Yash: Okay. Got it, sir.Thank you.
Moderator: Thank you. The next question is from the line ofSwechha Jain from Whitestone Financial Advisors. Please go ahead.
Swechha Jain: Hi, sir. Thanks for giving this opportunity. So, I just had a follow-up.I just wanted to understand on the current order book. You know, first of all, the current order book, if we execute, you know, over the next two or three years. And so, I wanted to understand, you know, which year is it likely for us to reach, like, a peak revenue, you know, because some of the deliveries will, you know, coincide in the same year, right, for frigate and for destroyer. So, you know, having that, if you could just give a broad sense as to, will FY25 will be the year where we are going to reach the peak revenue on the current order book or FY26, or you think it can be FY27 also?
Sanjeev Singhal: As far as the current order book is concerned, FY25, clearly we are poised for the, maybe the highest revenue.Yeah, we will be delivering one frigate and one destroyer.Because we are targeting three deliveries during this year, one destroyer, one frigate, as well as one submarine.With the addition of the fresh orders, in future also higher revenues can be very much there.
Swechha Jain: Right, right, right. But on the current order book, FY25 will likely be our peak revenue, right? Okay.And so, just another follow up was this additional submarine order that we are, you know, trying to get. Could you quantify the order book size for it and how many submarines, sir? I think I may have missed that number somewhere.

Sanjeev Singhal: Additional submarines, we are in discussion for three additional submarines.
Swechha Jain: Okay, and what would be the order book, sir, like the order value for this?
Sanjeev Singhal: I just said we have submitted the prices, which are under discussion. Beyond this, we will not be able to discuss on this right now.
Swechha Jain: Okay, okay. And so, just one last question. In terms of our bidding pipeline, is there any other, you know, ships that we are planning to bid for apart from these additional submarines?And, you know, what kind of bidding pipeline do you already have in terms of value?
Sanjeev Singhal: We have under discussion the next generation destroyers. We also have under discussion the follow on frigates for under Project 17 Bravo. So, there are projects which are under discussion at various stages apart from P-75I, six submarines.So, these are the projects which are at various stages of discussion and maturity. So, they would be taking certain time, but I believe considering the geopolitical situation, the projects need to be finalized by Indian Navy.
Swechha Jain: Okay, okay. And so, would you able to even give a broadly sense that what this three together would quantify into order book if we get these?
Sanjeev Singhal: I can only say as far as 75I is concerned, what is available in public domain, that is the AON cost, which is INR43,000 crores, which was published in 2018. So, it is six years dated cost. So, as on date, maybe you can add certain escalations on that.
With respect to destroyers, our existing destroyer order is INR34,000 crores approximately for

four destroyers, which was 2011 order. So, that is approximately INR8,500 crores per destroyer in 2011. So, any next generation destroyer, which is likely to be a significantly larger and more complex, more weapon intensive and with the escalations.So, maybe you can take a view with respect to the magnitude in terms of costs.

Swechha Jain: Okay, okay. Okay, sir. That is it from my side.Thank you so much.

Moderator: Thank you. The next question is from the line of Viraj Patel from JK Global's LLP. Please go ahead.

Viraj Patel: Okay. My question is, what is the status on the order of three submarines worth INR20,000 crores by the government that you were waiting for approval?

Sanjeev Singhal: As I said, it is with respect to the additional three number submarines, which is under discussion?

Viraj Patel: That you have mentioned earlier in the con call?

Sanjeev Singhal: Yeah, we have submitted some prices and which are being examined and are under discussion currently. As informed during my previous reply in today's con call itself, we expect that the order is likely to be finalized during this financial year.

Viraj Patel: Okay. Thank you.

Moderator: The next question is from the line of Rohit from Aditya Birla Sun Life Insurance. Please go ahead.

Rohit: Thank you for this follow up. Sir, if I strip off this liquidated damages write back, your margin is actually still very high. So, how should we really appreciate the existing work or the pending work to be done?What kind of margins, excluding the provision write back, we can conclude at?

Sanjeev Singhal: There is also approximately INR400 crores of income on account of additional interest income during 2023-24 compared to 2022-23 on account of improved rates of interest and higher deposits. So, this also is a non-operating kind of an income, not related to production. Apart from this, what we have indicated earlier also, whenever we are in a position or when we deliver a platform ahead of schedule that has a very positive impact on the costs because the costs for the period are saved which is a very significant chunk.

We did three deliveries, three destroyers during three years, one in ‘21, one in ‘22 and another in ‘23 calendar years. Destroyer which we delivered in ‘23, October ‘23, this was delivered almost five months ahead of schedule. The corresponding schedule was March ‘24, we delivered in October. So, this has a significant soberi

ng effect on the costs which contributes to a better margin.

Going ahead, as far as fourth destroyer is concerned, we are again targeting to deliver it significantly ahead of schedule. As per the contractual schedule, the delivery date is February ‘25. We would like to deliver it early. As far as frigate is concerned, this being the first of the class, first of the project 17 alpha, the endeavour is that we should be able to deliver it in time. This itself would be a big achievement. And going ahead, we can look for deliveries prior to the scheduled date of the contract. These have been, some of the factors which have been responsible for better margins, going ahead, it would always depend on the physical performance on ground.

Rohit: Got it, sir. That was really helpful. From a MOU, excellent with government rating perspective in FY’25, what would be your revenue target or margin target? Any colour on that?

Sanjeev Singhal: For excellent rating, the revenue target, I expect to be something around close to INR10,000 crores-INR10,500 crores.

Rohit: And any colour on margins, sir? PBT margins or something of that…

Sanjeev Singhal: Margins should remain in the similar range, maybe slight increase the government may propose.

Rohit: But this will be X of that liquidated damages write back and some cost increases or is it you maintain the same?

Sanjeev Singhal: Normally, the targets are not assigned with so much detailing. Targets are normally on gross level.

Rohit: Okay. Thank you, sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Bhavesh an Individual Investor. Please go ahead.

Bhavesh: Good afternoon, sir. Congratulations on a great set of numbers. Just wanted to get an update on the ONGC pipeline order which was supposed to get executed this month. So, is it on track?
Sanjeev Singhal: Yeah, the order is still under discussion. We were expecting by May this will be finalized but I think some delay is there. So, un-likely by tomorrow. But the discussions are in place.
Bhavesh: So, it's still under discussion and it's not started yet?
Sanjeev Singhal: No.
Bhavesh: Because in your PPT, slide number 15, it says that project worth INR1142 crores are still pending. I thought that it is the ONGC order project but it's not, right? It's a different project.
Sanjeev Singhal: Are you referring to the…
Bhavesh: Slide number 15, order book. So, in that there is a section heavy engineering and in that there is a subsection of others. So, you have mentioned INR1142 crores as some…
Sanjeev Singhal: This is the order which we received in the month of December last year which is under execution currently.
Bhavesh: The ONGC one?
Sanjeev Singhal: It's ONGC. I thought you were discussing with regard to the second order which is under discussion.
Bhavesh: No, no. This is not in the public domain.
Sanjeev Singhal: So, there is a certain delay in that, likely to materialize anytime soon.
Bhavesh: Okay, but the first order…
Sanjeev Singhal: First order is under execution.
Bhavesh: So, it will get executed this month? Like you will get the money, like the money will be realized in this quarter, INR1100 crores?
Sanjeev Singhal: This financial year.
Bhavesh: This financial year, okay. Alright. And sir, you have cash around INR15,000 crores plus. So, how do you plan to utilize such a large amount? Like you are the second defense company which has more than 14,000. Like the first is HAL, then comes Mazgaon and the third is Bharat Electronics. So, you are positioning yourself on second in terms of cash and cash balances. How do you plan to utilize that cash?

Sanjeev Singhal: A substantial amount of this cash which is visible in our balance sheet belongs to Navy against the project. So, this is not free cash. Free cash which belongs to

MDL would be around
INR4000 crores. We have recently acquired a 15-acre piece of land adjacent to the existing premises of MDL where we would be incurring a significant amount of capex over next two-three years including we will also be incurring significant capex on the development of Nhava yard.
So, these two areas would be making MDL future proof with respect to the infrastructure constraints whatever are there today. Although we have capacity to construct 11 submarines and 10 warships simultaneously at the existing premises but considering that the future platforms are likely to be larger in dimensions with a deeper draft, we would be investing significantly in capacity addition.
Bhavesh: Great, great. That's it sir from my side. All the best.
Moderator: Thank you. The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.
Sagar Gandhi: Yeah, so my question pertains to the order pipeline. You mentioned about P-17B project. So, this is what quantity, what number of frigates?
Biju George: P-17B is also likely to be like a repeat order, seven ships shared between maybe couple of yards. So, the total requirement is seven.
Sagar Gandhi: Okay, and the order value will also be, I mean last order value plus…
Biju George: So, that you can extrapolate because you know for four how much it was and when the order was placed.
Sagar Gandhi: No, no, I understood that. Instead for destroyers, what is the quantity that is likely to come?
Biju George: For the next generation destroyer?
Sagar Gandhi: Yes, yes. Yeah, so that is four.
Sagar Gandhi: So, that is four. And sir, apart from these two orders, ship repair pipeline and this additional order that you mentioned about ONGC. So, can you give us some colour about what is likely to come over the next 1-1.5 years?
Sanjeev Singhal: There would not be -- we are not privy to any plans regarding ONGC. So, whatever the requirements are there, they come out by way of a tender. So, only then we come to know what is the requirement. So it would be difficult to assign any kind of a number to that what would be their requirement in future.
With respect to Navy, yes, they come out with their perspective plan what requirements are

there. So based on this we have indicated the next generation destroyers is there in pipeline, 17 Bravo frigates are there, follow-on frigates are there, 75I submarines are there, additional submarines are there. In addition, there would be requirements which as and when they come

out requirements from other agencies like Coast Guard. And we are also scouting for the export orders.

So we are in discussion with various countries including Malaysia, Brazil, Indonesia, UAE. We have in fact we have invested considerable time, energies and resources in these areas over the past few years. So it takes time before these naval orders materialize. We expect some positive responses in future.

Sagar Gandhi: Yes so sir in this respect I am not asking you the type of vessel, but broadly will it be a large opportunity half a billion dollars or something like that?

Sanjeev Singhal: No, as far as the export orders are concerned it will be primarily commercial. We do not expect to be anywhere comparable to the destroyer or submarines or frigates. But at the same time this would be strategically important to establish our strong foothold in the export market also.

Sagar Gandhi: Okay. And, sir regarding our peak revenue in FY25, I mean, sir these three additional submarines that we are likely to get, their execution timelines will be lower than our previous experience of executing submarines.

SanjeeevSinghal: Yes definitely.

Sagar Gandhi: Sir in that case say maybe one year there may be some dip in revenues, but post that again execution will start for the submarine then we can again...

Sanjeev Singhal: Yes overall timelines w

ill definitely be lower, but granular breakup financial yearwiseit will be difficult right now unless and until the order and the specifications are actually crystallized and received. What kind of preparation is involved, what kind of equipments, what is the indigenization content, how much is a repeat kind of a thing and how much is new and detailing and designing etc it would depend on that.

Sagar Gandhi: Okay. But you believe 5 years is a reasonable timeline for execution for submarine?

SanjeevSinghal: 5 years to 7 years. They are depending upon the requirements. Okay. If there is a significant change in the requirements it may entail a higher timeline, but if it is a plain repeat order then yes 5 years is good enough.

Sagar Gandhi: Okay. And sir my last question is on capex that you highlighted. So capex plan will be for how much rupees and over how many years?

Sanjeev Singhal: We expect INR3,000 crores over next 3 years to 4 years.

Sagar Gandhi: INR3,000 crores?

Sanjeev Singhal: Yes INR2,500 to INR3,000 crores.

Sagar Gandhi: Okay. Initially sir when during the IPO time we had mentioned that NhavaShevaYard which we are likely to develop that will entail a capex of INR1,000 crores. So you are saying additional INR1,500 crores over...

Sanjeev Singhal: For the additional land which has been acquired recently 15 acres we would be developing that plot also.

Sagar Gandhi: And that will have capacity to…

Moderator: Sorry to interrupt you sir. I request you to come back for a follow-up question.

Sagar Gandhi: Sure I'll do that. Thank you.

Moderator: Thank you. The next question is from the line of GaganThareja from ASK Investments Manager. Please go ahead.

GaganThareja: Yes. Good evening. Am I audible?

Sanjeev Singhal: Yes. Please go ahead.

GaganThareja: Yes. Sir regarding the deliveries for next year you indicated that warranties and certain spares the revenue booking will spill over in the year after FY25. Generally what is the proportion of warranties and spares on an average in any order for delivery?

Biju George: Yes. So this is not the absolute value.

GaganThareja: I am looking at a percentage of generally as a percentage of any order?

Biju George: Yes. So for example in a INR27,000 crores order INR3,500 would be spares.

GaganThareja: And warranties would be how much?

Biju George: Yes see we are unable to quantify. I'll put the thing in perspective. For example post-delivery during the warranty period these ships are deployed in, for example, in the Red Sea. We do not

know what would be our liabilities. So that is why the future expenditure is also there.
GaganThareja: I get that sir, but Red Sea is like an exceptional event. I am saying in the normal course of your history, deployment, post-deployment what has been your experience on average warranty costs?
Biju George: Yes. So we have two kinds of warranties. One is the warranty getting extended with the firm up during the guarantee period. Then it's during the guarantee period of the platform all the equipment and systems certain things we are not covering warranty, but it will be like on need basis. So that is how we cover the warranty for the equipment and systems.
So it has not been a uniform kind of warranty requirement because as you know system A may be absolutely all right in the first ship. Second ship, it is another system which will be demanding a warranty attention. Third ship, it is a different set of equipment. So there is no uniform kind of statistics available.
GaganThareja: Yes, but there would be a median. I know that it will vary, but there will be a median and average. If the variability is too high perhaps you could give a median rather than a mean.

Biju George: Yes. So definitely there is a mean, but it has been fluctuating. That's what I was…
GaganThareja:

Yes, but would it be possible for you to enumerate or give the numerical value of the mean?
Biju George: That I have not calculated this thing what will be the percentage of the total value, etc.
GaganThareja: And on the P75I, will the orders be given to -- will the orders be split between the two bidding entities or will it go to one entity as a whole?
VasudevPuranik: One entity as a whole.
GaganThareja: Ok Alright SirAnd regarding the sizable capexes that you are undertaking, if you could help us understand give us more context into are these for ship building, are you expanding capacity for submarines also? You signed a master repair agreement with US Navy. Are you therefore looking at building up ship repair facilities also? It would help to understand where exactly all of this capex is going into.
Biju George: Yes, so we have our expansion plans as regards to the capex in two locations, as CMD mentioned. One is in the adjacent land which we have recently acquired, as well as in our NhavaSheva facility. Both these facilities will have a cross-functional kind of arrangement where one can act as a feeder to the other and vice versa also.
And it is for ship building and ship repair so that we are primarily looking. Submarines we are able to handle with the existing facility for the future workload. So, with this expansion, we will be able to take higher vessels of larger dimensions and we also will be able to repair bigger vessels both from the naval assets as well as commercial vessels.
GaganThareja: Thank you, sir. I will get back in the queue. Thanks for taking my questions.
Moderator: Thank you. The next question is from the line of ParimalMithani from Credential Investments. Please go ahead.
ParimalMithani: Hello. Good evening, sir. Thank you for the opportunity. All my questions are answered. And congratulations for a wonderful set of numbers . Thank you.
Sanjeev Singhal: Yes, please continue.
Moderator: Yes, thank you. The next follow-up question is from the line of Swechha Jain from Whitestone Financial Advisors. Please go ahead.
Swechha Jain: Hi, sir. I just have a couple of follow-ups. So, one, I wanted to know, once we complete this capex on both the two facilities if you could give some sense, I know you did mention in the earlier answer that we will be able to take bigger vessels both on the ship building and the repair side. But if you could give some sense once both of this capex are done how many ships can we build at the same time or how many can we repair parallelly including these two facilities?

Biju George: Now, we will be giving, so we have a broad definition in place. And based on that, we will be appointing a consultant who will be assessing the facility, looking at the businesses that is in the horizon and map that to the infrastructure development.
Swechha Jain: Okay. And if you could give some sense as to…
Biju George: It depends on what is the size of the ship and what is the number of ships will come in an order and what is the delivery timelines. So, there is an inter-ship gap between two ships, what is the gap available. So, we would have at least doubled our capacity when the three facilities are in place.

Swechha Jain: Okay. And sir, in terms of ship repair revenue some broader sense as to say after four or five years down the line, what percentage do we envisage our ship repair revenue to be as a part of the total revenue?
Biju George: Yes, that will be very miniscule, in the next four years, only the infrastructure will be -- For development of the infrastructure itself, it will take three to four years -- Revenue from ship repair, it's maybe 6%, 5% to7%.
Sanjeev Singhal: Actually, in spite of repairs having a shorter cycle, primarily we are a yard for new build. So, this is -- Our focus area remains on the new build. We don't expect a revenue share of more than

5% to7% from the repair segment. And we have only one dock in which we are undertaking repairs now.
Swechha Jain: Okay. And sir, my last follow-up is the bidding pipeline that we talked about the next-gen destroyer, follow-up P-17 and the P-75I. Just wanted a clarification that we have not bid for these, right? We will be bidding for these going ahead?
Sanjeev Singhal: The tenders for the next-generation destroyers or 17 Bravo are still not out. 17 Bravo, we expect a repeat order kind of a thing, quite possible on nomination. And next-generation destroyers also, depending upon the capability and capacities of the existing yards, so that contours are still not known whether it will be on nomination basis or multi-yard or on a purely competitive basis. The tenders are still not out but the discussions are there. With respect to the requirement.
Swechha Jain: Okay. And for P-75I?
Sanjeev Singhal: P-75I, we have already submitted the bids. Last year, August, we have submitted the bids. Currently, it is under evaluation. The field evaluation trials with respect to MDL, TKMS combined have been successful. The field evaluation trials with respect to Navantia and L&T, we understand, are underway. It will take some time for the evaluation and other things to be crystallized.
Swechha Jain: Okay. And so what I understand is you said that this will be…
Moderator: I request you to come back for a follow-up question. Thank you. The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi: Sir, the new capex that you mentioned to accommodate larger vessels, will it also accommodate aircraft carriers?
Sanjeev Singhal: We are floating a tender to assess the total land area and the sea area available and what kind of water depth is available. So, the consultant will be coming out with a full plan with what kind of vessels, what max dimensions, what max draft can be accommodated. So, that would provide a better clarity.
Sagar Gandhi: Okay. Thank you. That is it from my side.
Moderator: Thank you. The next follow-up question is from the line of Viraj Patel from G K Globas LLP. Please go ahead.
Viraj Patel: Sir, another question is that what are your expectations of budget expenditure on defence and what percentage of growth are you expecting in next five years due to the budget allocation?
Sanjeev Singhal: We have never been focused with respect to the defence budget or defence allocation because the budgets have never been a constraint as far as defence requirements are concerned or naval requirements are concerned.
So, what we understand is that the requirements are there and as and when the requirements are crystallized at the level of navy and the orders are placed the funds would be provided for. Taking the geopolitical situation into account, we believe that there is a significant requirement. The total length of the Indian coastline is 7500 kilometers, the geopolitical situation. So, we foresee significant development in future.
Viraj Patel: Okay, sir.
Moderator: Thank you for your question. The next follow-up question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: Thanks again for the opportunity. I just want to confirm a couple of data points. Could you confirm if your capex is INR2500 crores to INR3000 crores for the next three years?
Sanjeev Singhal: Yes, next approximately three to four years depending upon the crystallization of all the reports and the placement of orders with respect to execution.
Yash: I wanted better clarity on the pending order execution. So, you said that for the destroyer project, we have INR11,200 crores pending order. How much would it be for the frigate?
Sanjeev Singhal: Frigate would be approximately INR17,000 crores.
Yash: And for the Submarine, the one Submarine that we will be delivering this year?

Sanjeev Singhal: That is Submarine and spares, etc. Approximately INR3000 crores. The coast guard vessels also INR3000 crores. And the foreign order, export order is INR350 crores with respect to medium refit and life certification of the submarine, approximately INR2000 crores and others, INR 1000-1,500 crores.

Yash: So, broadly, if I get the math right, so INR11,200 crores plus about INR17,000 crores plus your INR3000 crores for the Coast Guard, another INR3000 crores for your Submarine. And how much you said for the export, sir?
Sanjeev Singhal: MRLs, medium refit and life certification INR2000 crores, exports INR350 crores and others approximately INR1000 crores to INR1500 crores, total INR38,000 crores.
Yash: So, this is broadly order book right now as a Q4?
Sanjeev Singhal: Yes.
Yash: And you intend to maintain that run rate for the next couple of years?
Sanjeev Singhal: As far as the execution rate is concerned, we can say with respect to the execution rate, with respect to the order booking, it will, there are a number of factors on which it would depend. If I get a large value order today, this order book would shoot up immediately.
Yash: Got it, sir. Thank you.
Moderator: Thank you. The next follow-up question is from the line of GaganThareja from ASK Investment Managers. Please go ahead.
GaganThareja: Sir, are landing platform docks also in the pipeline? It's, been something which has been spoken for a very long time but not happened. But of late, your peer companies also seem to talk about it as potentially there in, the next near future?
Biju George: Yes, we are not in the fray for LPD.
GaganThareja: Are you there in the fray for next generation corvettes and survey vessels?
Biju George: Yes, See, NGC, the RFP is out, we are there for the next generation corvettes.
GaganThareja: But not for the survey vessels?
Biju George: Sorry?
GaganThareja: Survey vessels, next generation.
Biju George: Yes, that, as far as I know, that will take more time. NGC RFP is out.
GaganThareja: And basis is the Navy's long-term perspective plan, over a 10 year time frame, or maybe perhaps a 10 years, 15 year time frame. What is the potential sort of procurement by value that Navy could order, between now and the next 10 years?
Biju George: As a shipyard, we are not privy to the maritime capability perspective plan. That is an internal document of the Navy. But whatever projects we have decided is what has been, that is there in the public domain also. That's all we also know about it.

GaganThareja: And, sir, coming on to, the three deliveries that you have planned for next year. In fact, you said two frigates, possibly, if you can get it done on time. That alone could be, on an average, one frigate would be INR6,000 crores to INR7,000 crores basis, the order size and number of frigates. So two frigates would be, something around 13, 14. One pending delivery of Bravo is around INR11,000 crores.
So that's, a very sizable number of more than INR20,000 crores plus the Submarine. So you're talking of almost INR25,000 crores. And even if I knock out, spares, which you indicated was roughly 15%, and perhaps warranties of another 5%, 10%, even 10%. You're still talking of three-fourths of almost INR24,000 crores, which is, almost INR17 crores, INR18,000 crores, theoretically possible sales invoicing next year. Is the math very wrong, what I'm talking about?
Sanjeev Singhal: What you are talking about is the gross value of these assets, whereas all these assets are at a certain level of completion even today. So revenue booking corresponding to these milestones has already taken place. I will not be booking entire revenue during the year of delivery.
GaganThareja: Okay, I understand, sir. Is it possible to enumerate how much would already have been booke

d
out of, what you'll deliver next year?
Sanjeev Singhal: That would be slightly difficult, individual vessel-wise, how much revenue booking has already been done. Those figures would be available. These are not readily…
GaganThareja: But sir, when your presentation mentions the pending value of what needs to be booked, right? So if the pending value is INR3,500 crores and INR11,000 crores, Submarine and P17 Bravo, then by default, the pending value alone is INR14,000 crores, INR15,000 crores there, and one

frigate pending delivery, the two frigates pending delivery, the value itself, pending value is how much of the total frigates that you're left with?
Sanjeev Singhal: Right now, if we discuss with respect to frigates, the order value for the four frigates is INR27,000 crores, of which INR10,000 crores has already been booked as revenue.
GaganThareja: How much?
Sanjeev Singhal: Approximately INR10,000 crores has already been booked as revenue. None of the frigates have been delivered. Balance of INR17,000 crores represents the balance of all the four frigates, and this would also include certain components towards base and depot spares, towards warranty obligations. Similarly, for 15 Bravo destroyer, although only one destroyer remains to be delivered, this INR11,000 crores does not reflect the balance pending value for one destroyer.
This also reflects the value of the base and depot spares for the entire project, the warranty obligations for the entire project. So this need not culminate on the delivery of the fourth destroyer. Similar would be the case with respect to the Submarine. The INR3,500 crores I am not going to book on delivery of the last submarine.
GaganThareja: Correct. I get you. Sir.

Sanjeev Singhal: Depending on activities, Which may take time, maybe a year or more.
GaganThareja: Agreed. What I'm simply saying is, if the pending value of frigates is 17,000, they might all be at different stages of execution. But for hypothesis sake, if I assume they are all at the same stage of execution, then for two out of this was for how many? For six?
Sanjeev Singhal: Frigates is four.
GaganThareja: Four. Right. So, two is roughly half of the pending value. I'll knock out the warranty and, the spare. So just for the sake of counting, right, 11 plus -- I take half of 16, let's say 8. 11 plus 8 is 19. 19 plus 3 and a half is 22,500. I knock out at least 20% for warranties and spares out of that. So I'm knocking out 2,000 for conservatism.
Sanjeev Singhal: You are knocking out 20% of the balance value, whereas it would be 20% of the project value. 15% is for base and depot spares. In addition, the warranty guaranteescharges. So it's not 20% of the value which is visible now. It would be in the range of 12%-15% of the total project cost.
GaganThareja: Agreed. So we'll then adjust accordingly. And then can we say that whatever figure we come to is a possible invoicing for Mazagon in the coming years?
Sanjeev Singhal: We have not calculated in that fashion. I would not be able to say that your assumptions are valid. We have not worked out in that manner.
GaganThareja: Okay. All right, sir. Thank you. Thank you for at least helping us understand this in a little more detail. It was very helpful. Thank you. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Jayesh, an individual investor. Please go ahead.
Jayesh: Thanks for the opportunity, sir. Just wanted to confirm slash clarify on a couple of things. One, there was a news item that the Navy has come out with a revised RFP for P75I for INR60,000 crores. The revised RFP was for 43, but there has been a revision in the terms and it has come out recently. I just thought I'd check with you if that is the case or that is not the case?
Sanjeev Singhal: We are not aware of this.
Jayesh: So that's one. Second is, if you can

just indicate, what is the liquidated damages for FY ‘24? I heard that in the last quarter it was INR150 crores, INR149 crores. But how much is it for the full year?
Sanjeev Singhal: Approximately INR300 crores.
Jayesh: So it's 150 crores per ship, broadly for the 2 ships. And there is 2 more which will come through in FY ‘25, assuming the Navy approves it.
Sanjeev Singhal: One is nearly crystallized. Regarding the second one, I cannot state it right now.

Jayesh: And then again, the third question, of course, again, pertaining to P75I, there has been a discussion that the entire process may get delayed by around 6-9 months because the Spain slash NavantiasAIPstill is not ready. I mean, one of the conditions of the RFP was a fullAIP .
Sanjeev Singhal: We would not be able to comment on that. We are only aware that the field evaluation trials of MDL and TKMS, they have been successful.
Jayesh: Correct.

Sanjeev Singhal: Beyond this, we would not be able to comment.
Jayesh: Sure. Those were my questions. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities Limited. Please go ahead.
Amit Dixit: Yes. Hello. Thanks for taking my question. I have just two questions. The first one is essentially that over a period of time, we have seen margin improvement. Now, even if I exclude the impact of refund of LDs and all, there has been an improvement in terms of margins, which used to be 5%, 6%. Now, we have seen it at a much higher level. Now, some of it has to do, of course, with the before time delivery. And this thing will kind of persist. So, just wanted to understand from you, what kind of sustainable margins should we take going ahead? Because the operational improvement, I think, will stay with you.
Sanjeev Singhal: One thing we need to understand that the contracts which we are executing currently, these are on nomination basis. As far as additional submarine is concerned, that is, again, on nomination basis. With respect to next generation destroyers, with respect to follow-on ships of 17 Bravo frigates, these contours are not visible right now, whether these will be on nomination basis or on competitive basis.
Both have a totally different scenario with respect to how many players are there in competition or if the order is on nomination, then the margins are predefined. So, lot many factors would come into play when these orders actually crystallize. Secondly, considering that these projects take a significantly long period for execution, a better clarity with respect to costs and margins emerges towards the later part of the project execution.
So, even during the initial stages of the project execution, a clear picture would not emerge with respect to what kind of costs I am going to incur. So, there would be certain measures, certain conservative vision during the initial stages of the project with respect to profit booking. As and when the project progresses substantially, there is a level of comfort whereby you can book profits which are more clearly visible.
Amit Dixit: Got it, sir. The second question I have is if we look at the budget, I mean, of course, the interim budget only. So, if I look at this, what I find that the spending for naval fleet is pretty constant if I compare it with last year. Now, given that most of the ships in your case, as well as some of your peers, are in advanced stage of revenue booking. So, should we expect that

there would be an ordering in FY ‘25 or given the static nature of the event that is contemplated, it will only happen in FY ‘26?
Sanjeev Singhal: I didn't get your question clearly.
Amit Dixit: No, the question is that we are talking about, you know, that in FY ‘25, we are hopeful of getting this P75-I. 3. submarine order. With the ord

er, you will also maybe get 5% advance.
Now, when I look at the spending that has been budgeted, it is very, very constant.
Sanjeev Singhal: Budgets are not a constraint. Budgets are not a constraint, whatever would be required. Budgets have never been a constraint. In fact, funds have never been an issue. As per requirement, the funds are being made available.
VasudevPuranik: And what you see, the budget is outflow of that year. And this budget plans that we will get, it will have its cash flows over 4-5 years.
Sanjeev Singhal: He is talking of this 5% advance payment which will flow, whether that will flow or not. But our experience is that cash flow has never been a constraint or never been an issue with respect to any of the projects.
Amit Dixit: Got it, sir. Thank you so much and all the best.
Sanjeev Singhal: Thank you.
Moderator: Yes, sir. Ladies and gentlemen, we will take this as the last question. And I will hand the conference over to the management for closing comments.
Biju George: So, I will take this opportunity to thank all the esteemed investors who have participated in this call. And we hope that we have clarified all your queries. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

Sub: Disclosure in terms of Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015 pertaining to the uploading of the Audio or video recordings and transcripts of investors update calls on the website of the Company.

Dear Sir/ Madam,

With respect to the captioned subject the Investor Update Call Transcript which was transpired during Q4FY24 Investor Earnings Call organized by ICICI Securities on Thursday, the 30 May 2024 at 1630 hours to discuss the Financial Results for the quarter and year ended 31 March 2024, has been uploaded on the website of the Company namely https://mazagondock.in . The said transcript is also enclosed herewith.

The link for accessing the said transcript is:
https://mazagondock.in/Transcript.aspx

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

(Madhavi Kulkarni)
Company Secretary & Compliance Officer

Encl: as above
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai– 400 001
Scrip Code: 543237

To
National Stock Exchange of
India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
NSE Symbol: MAZDOCK

[redacted]
MAZAGON DOCK SHIPBUILDERS LIMITED
(Formerly known as MAZAGON DOCK LIMITED)
CIN: L35100MH1934GO1002079
(A Govt. of India Undertaking)
[redacted], [redacted]-400010
Dockyard Road, Mumbai 400 010
Certified: ISO 9001-2015

[redacted] :
Ref : SEC/BSENSEDISCL/14/2024-25
[redacted] :
Date : 05 June 2024
Madhavi
Vishwanath KulkarniDigitally signed by
Madhavi Vishwanath Kulkarni Date: 2024.06.05 18:14:17 +05'30'

"Mazagon Dock Shipbuilders Limited
Q4 FY'24 Earnings Conference Call"
May30, 2024

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING DIRECTOR, ADDITIONAL CHARGE, DIRECTOR FINANCE – MAZAGON DOCK SHIPBUILDERS LIMITED
M R. BIJU GEORGE – DIRECTOR SHIPBUILDING – MAZAGON DOCK SHIPBUILDERS LIMITED
C OMMANDER VASUDEVPURANIK – DIRECTOR CORPORATE PLANNING AND PERSONNEL – MAZAGON DOCK SHIPBUILDERS LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Mazagon Dock Shipyard's Q4 and FY24 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixitfrom ICICI Securities Limited. Thank you and over to you, sir.
Amit Dixit: Thanks, Neha. Good evening, everyone and welcome to the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call.
From the management, we have today Shri Sanjeev Singhal, Chairman and Managing Director Additional Charge and Director Finance, Shri Biju George, Director Shipbuilding, and Commander VasudevPuranik, Director Corporate Planning and Personnel. Without much ado, I would invite Shri Singhal for opening remarks, post which we will open the floor for an interactive Q&A. Thanks and over to you, sir.
Sanjeev Singhal: Good afternoon everybody, and welcome to all the participants for this meeting. As far as Mazagon Dock Shipbuilders is concerned, I think the results are already available with you and it has been a good performance. In fact, the best ever performance since inception.Incidentally, this was our 250th year. So on 14th of May, 2024, we have celebrated our 251st Foundation Day. This has been a long and phenomenal journey, starting from a small dry dock in 1774 and today, reaching to these heights, when our revenue from operations is significantly higher than $1 billion. So this has been a quite interesting and exciting journey for all of us, and I believe for the investors also. Without taking much time, we can straight away go to the question and answers.Whatever clarifications the participants are looking at, we will be more than happy to satisfy their queries.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohit from Aditya Birla Sun Life Insurance, please go ahead.
Rohit: Thank you for this opportunity. My first question is more to do with the liquidated damages provision write back that we have been doing for almost the last few years. Is this come to an end?And what is the status here, sir? Is there any more additional write backs we are expected to do in FY25? And the margin, do we expect it to normalize to, say, 7.5%?I'm talking about the EBITDA margin.
Sanjeev Singhal: With respect to the LD, we have total supplied 5 boats, i.e, 5 submarines to the Indian Navy till date. We have received LD refund corresponding to 1 submarine in 2022-23 and corresponding to 2 submarines in 2023-24. So as such, for balance 2 submarines, which have been already supplied to the Indian Navy, the cases are still under examination.And at least one of the cases, I believe, has come to a maturity stage. So that LD refund should be coming any time soon. And with respect to one last boat, it is still under analysis.Difficult to commit the timelines.
Rohit: If you could quantify that number, how much is the LD provision write back earmarked so far?

Sanjeev Singhal: The total LD approximately deducted against these 2 boats, which is pending, would be around approximately INR300 crores. What would be the refund? It would depend upon the decision finally taken by the Indian Navy with respect to the delay attributable to MDL and what is not attributable to MDL.
Rohit: My second question is more to do with the P-75 add-on submarines, where you were at the cost benchmarking stage last time when we had the discussion.

What is the stage at which they
are now?
Sanjeev Singhal: The cost discussions are still going on, not yet finalized. It would take some more time. But I think it is likely to be finalized soon.
Rohit: Further, any update on 75I technical completion?
Sanjeev Singhal: 75I, as far as the field evaluation trials are concerned, corresponding to the bid submitted by MDL in collaboration with TKMS, we understand that the field evaluation trials have been successful. With respect to the other bid submitted by L&T along with Navantia, we are not aware with respect to the status of the field evaluation trials as of now.
Rohit: Thank you, sir. I will get back in the queue.
Moderator: Thank you. The next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.
Sagar Gandhi: Sir, my question is a follow-up question on the three add-on submarines with AIP.Sir, possibly, will it close in FY25?
Sanjeev Singhal: Yes, we very much believe so.
Sagar Gandhi: And the P75 I project will be FY'26 or FY'27?
Sanjeev Singhal: FY'26. In the normal course, it should be in FY'26. If it goes beyond, then we feel it is delayed.
Sagar Gandhi: And sir, our pending execution of the Destroyer project is close to INR32,000 crores.
Sanjeev Singhal: No, pending execution is INR11,216 crores. The order value was INR32,081 crores. We have already delivered three.
Sagar Gandhi: Yes, I am sorry. INR11,216 crores. So, because this is likely to get delivered in FY'25, a substantial portion of this will be booked in this year only. Is that understanding correct or wrong?
Biju George: It will move to the next year also, partly, because at delivery, our warranty obligations are not getting fully liquidated. And B&D spares, that is, base and depot spares also need to be procured and handed over to the Navy. So, there are various kinds of expenditure which go beyond delivery period also. So, the entire thing will not get liquidated at delivery.

Sagar Gandhi: And sir, regarding the Destroyer project, which was, I think, roughly INR34,000 crores, INR36,000 crores, that will be post FY'27 only. Is that understanding correct?
Biju George: Yes. So, that right now it is at a very preliminary stage. In the Navy, the naval side also, it is not crystallized fully. So, at this point in time, we cannot draw any conclusions as to when we are likely to get an order. We are in preliminary discussions with the Navy. Navy also intends to take it forward.
Sagar Gandhi: Thank you so much.
Moderator: Thank you. The next question is from the line of Pranav Furia from Antique Stock Broking. Please go ahead.
Pranav Furia: Sir. I just wanted to confirm, like, have we booked any liquidated damageswrite back in this quarter particularly, Q4?
Sanjeev Singhal: Yes, Q4, we have booked liquidated damages write back corresponding to one submarine.
Pranav Furia: Sir, could you quantify the amount, sir?
Sanjeev Singhal: Approximately INR141 crores.
Pranav Furia: Okay, sir. That would be very helpful. Thank you.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: So, my first question is that, so, you have given the pending execution for your destroyer. If you can just tell, what is the pending execution for one of the first, the 17A frigates, which is going to be delivered in FY'25? I think that is a INR27,000 crores project.
Sanjeev Singhal: Yes, we are targeting delivery of the first frigate during this financial year. If they are going as per plan, then maybe two frigates within this financial year. Otherwise, one this financial year and subsequently one more in next financial year.
Yash: And so, approximately how much revenue would we be booking out of that, of the two of the frigates then?
Sanjeev Singhal: When we are delivering, the ships are not fully complete. They are accepte

d by the Navy with
certain riders and certain deficiencies, which are completed during the course of time. Assigning a figure right now, that may not be feasible with respect to revenues.
Yash: So, because I am just trying to understand, because we have got so much execution going on, in FY'25 with so many deliveries. So, do you believe that overall, broadly, we will see a large revenue recognition in FY'25, broadly INR14 crores, INR15,000 crores? Because we have already got the destroyer, in this year. Then we have got the first of the frigates this year. And this is apart from your other, export orders and everything. So, what would you believe about FY'25, revenue guidance?

Sanjeev Singhal: Without assigning any figures, I can only say that by 2022, 2023, 2024, our revenues have been increasing every year. And we believe that the same trend is likely to continue for FY’25. But right now, we have not made a deeper analysis with respect to the concrete figures. So, I would not be assigning any numbers right now.
Yash: And so, in FY’25, what would be the order book at the end of this year, given the execution that you are, planning and the new order bids that you have submitted? So, broadly, you think we will have about INR40,000 crores, INR50,000 crores of order book by the end of this year or the number can be much higher?
Sanjeev Singhal: It depends upon the materialization of the orders. Smaller orders, we do seek, but they don't make much of a difference. Additional submarine is one order, one big order, which we are eyeing at and believing that if this gets finalized during this financial year, the order book should see a substantial increase. Post execution, of course, some liquidation would be there during the year, but there should be a big addition.
Yash: Could you, sir, quantify, like, how much, when you say big, you think 25%-30% jump on the existing order book broadly?
Sanjeev Singhal: We have submitted our price, which is currently under discussion. So, I will not be able to elaborate it further on this.
Yash: Okay. Got it, sir.Thank you.
Moderator: Thank you. The next question is from the line ofSwechha Jain from Whitestone Financial Advisors. Please go ahead.
Swechha Jain: Hi, sir. Thanks for giving this opportunity. So, I just had a follow-up.I just wanted to understand on the current order book. You know, first of all, the current order book, if we execute, you know, over the next two or three years. And so, I wanted to understand, you know, which year is it likely for us to reach, like, a peak revenue, you know, because some of the deliveries will, you know, coincide in the same year, right, for frigate and for destroyer. So, you know, having that, if you could just give a broad sense as to, will FY25 will be the year where we are going to reach the peak revenue on the current order book or FY26, or you think it can be FY27 also?
Sanjeev Singhal: As far as the current order book is concerned, FY25, clearly we are poised for the, maybe the highest revenue.Yeah, we will be delivering one frigate and one destroyer.Because we are targeting three deliveries during this year, one destroyer, one frigate, as well as one submarine.With the addition of the fresh orders, in future also higher revenues can be very much there.
Swechha Jain: Right, right, right. But on the current order book, FY25 will likely be our peak revenue, right? Okay.And so, just another follow up was this additional submarine order that we are, you know, trying to get. Could you quantify the order book size for it and how many submarines, sir? I think I may have missed that number somewhere.

Sanjeev Singhal: Additional submarines, we are in discussion for three additional submarines.
Swechha Jain: Okay, and what would be the order book, sir, like the order value

for this?
Sanjeev Singhal: I just said we have submitted the prices, which are under discussion. Beyond this, we will not be able to discuss on this right now.
Swechha Jain: Okay, okay. And so, just one last question. In terms of our bidding pipeline, is there any other, you know, ships that we are planning to bid for apart from these additional submarines?And, you know, what kind of bidding pipeline do you already have in terms of value?
Sanjeev Singhal: We have under discussion the next generation destroyers. We also have under discussion the follow on frigates for under Project 17 Bravo. So, there are projects which are under discussion at various stages apart from P-75I, six submarines.So, these are the projects which are at various stages of discussion and maturity. So, they would be taking certain time, but I believe considering the geopolitical situation, the projects need to be finalized by Indian Navy.
Swechha Jain: Okay, okay. And so, would you able to even give a broadly sense that what this three together would quantify into order book if we get these?
Sanjeev Singhal: I can only say as far as 75I is concerned, what is available in public domain, that is the AON cost, which is INR43,000 crores, which was published in 2018. So, it is six years dated cost.
So, as on date, maybe you can add certain escalations on that.
With respect to destroyers, our existing destroyer order is INR34,000 crores approximately for

four destroyers, which was 2011 order. So, that is approximately INR8,500 crores per destroyer in 2011. So, any next generation destroyer, which is likely to be a significantly larger and more complex, more weapon intensive and with the escalations.So, maybe you can take a view with respect to the magnitude in terms of costs.
Swechha Jain: Okay, okay. Okay, sir. That is it from my side.Thank you so much.
Moderator: Thank you. The next question is from the line of Viraj Patel from JK Global's LLP. Please go ahead.
Viraj Patel: Okay. My question is, what is the status on the order of three submarines worth INR20,000 crores by the government that you were waiting for approval?
Sanjeev Singhal: As I said, it is with respect to the additional three number submarines, which is under discussion?
Viraj Patel: That you have mentioned earlier in the con call?
Sanjeev Singhal: Yeah, we have submitted some prices and which are being examined and are under discussion currently. As informed during my previous reply in today's con call itself, we expect that the order is likely to be finalized during this financial year.
Viraj Patel: Okay. Thank you.

Moderator: The next question is from the line of Rohit from Aditya Birla Sun Life Insurance. Please go ahead.
Rohit: Thank you for this follow up. Sir, if I strip off this liquidated damages write back, your margin is actually still very high. So, how should we really appreciate the existing work or the pending work to be done?What kind of margins, excluding the provision write back, we can conclude at?
Sanjeev Singhal: There is also approximately INR400 crores of income on account of additional interest income during 2023-24 compared to 2022-23 on account of improved rates of interest and higher deposits. So, this also is a non-operating kind of an income, not related to production. Apart from this, what we have indicated earlier also, whenever we are in a position or when we deliver a platform ahead of schedule that has a very positive impact on the costs because the costs for the period are saved which is a very significant chunk.
We did three deliveries, three destroyers during three years, one in ‘21, one in ‘22 and another in ‘23 calendar years. Destroyer which we delivered in ‘23, October ‘23, this was delivered almost five months ahead of schedule. The corresponding schedule was March ‘24, we delivered in October. So, this has a significant soberi

ng effect on the costs which contributes to a better margin.
Going ahead, as far as fourth destroyer is concerned, we are again targeting to deliver it significantly ahead of schedule. As per the contractual schedule, the delivery date is February ‘25. We would like to deliver it early. As far as frigate is concerned, this being the first of the class, first of the project 17 alpha, the endeavour is that we should be able to deliver it in time. This itself would be a big achievement. And going ahead, we can look for deliveries prior to the scheduled date of the contract. These have been, some of the factors which have been responsible for better margins, going ahead, it would always depend on the physical performance on ground.
Rohit: Got it, sir. That was really helpful. From a MOU, excellent with government rating perspective in FY’25, what would be your revenue target or margin target? Any colour on that?
Sanjeev Singhal: For excellent rating, the revenue target, I expect to be something around close to INR10,000 crores-INR10,500 crores.
Rohit: And any colour on margins, sir? PBT margins or something of that…
Sanjeev Singhal: Margins should remain in the similar range, maybe slight increase the government may propose.
Rohit: But this will be X of that liquidated damages write back and some cost increases or is it you maintain the same?
Sanjeev Singhal: Normally, the targets are not assigned with so much detailing. Targets are normally on gross level.

Rohit: Okay. Thank you, sir. That's it from my side.
Moderator: Thank you. The next question is from the line of Bhavesh an Individual Investor. Please go ahead.

Bhavesh: Good afternoon, sir. Congratulations on a great set of numbers. Just wanted to get an update on the ONGC pipeline order which was supposed to get executed this month. So, is it on track?
Sanjeev Singhal: Yeah, the order is still under discussion. We were expecting by May this will be finalized but I think some delay is there. So, un-likely by tomorrow. But the discussions are in place.
Bhavesh: So, it's still under discussion and it's not started yet?
Sanjeev Singhal: No.
Bhavesh: Because in your PPT, slide number 15, it says that project worth INR1142 crores are still pending. I thought that it is the ONGC order project but it's not, right? It's a different project.
Sanjeev Singhal: Are you referring to the…
Bhavesh: Slide number 15, order book. So, in that there is a section heavy engineering and in that there is a subsection of others. So, you have mentioned INR1142 crores as some…
Sanjeev Singhal: This is the order which we received in the month of December last year which is under execution currently.
Bhavesh: The ONGC one?
Sanjeev Singhal: It's ONGC. I thought you were discussing with regard to the second order which is under discussion.
Bhavesh: No, no. This is not in the public domain.
Sanjeev Singhal: So, there is a certain delay in that, likely to materialize anytime soon.
Bhavesh: Okay, but the first order…
Sanjeev Singhal: First order is under execution.
Bhavesh: So, it will get executed this month? Like you will get the money, like the money will be realized in this quarter, INR1100 crores?
Sanjeev Singhal: This financial year.
Bhavesh: This financial year, okay. Alright. And sir, you have cash around INR15,000 crores plus. So, how do you plan to utilize such a large amount? Like you are the second defense company which has more than 14,000. Like the first is HAL, then comes Mazgaon and the third is Bharat Electronics. So, you are positioning yourself on second in terms of cash and cash balances. How do you plan to utilize that cash?

Sanjeev Singhal: A substantial amount of this cash which is visible in our balance sheet belongs to Navy against the project. So, this is not free cash. Free cash which belongs to

MDL would be around
INR4000 crores. We have recently acquired a 15-acre piece of land adjacent to the existing premises of MDL where we would be incurring a significant amount of capex over next two-three years including we will also be incurring significant capex on the development of Nhava yard.
So, these two areas would be making MDL future proof with respect to the infrastructure constraints whatever are there today. Although we have capacity to construct 11 submarines and 10 warships simultaneously at the existing premises but considering that the future platforms are likely to be larger in dimensions with a deeper draft, we would be investing significantly in capacity addition.
Bhavesh: Great, great. That's it sir from my side. All the best.
Moderator: Thank you. The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.
Sagar Gandhi: Yeah, so my question pertains to the order pipeline. You mentioned about P-17B project. So, this is what quantity, what number of frigates?
Biju George: P-17B is also likely to be like a repeat order, seven ships shared between maybe couple of yards. So, the total requirement is seven.
Sagar Gandhi: Okay, and the order value will also be, I mean last order value plus…
Biju George: So, that you can extrapolate because you know for four how much it was and when the order was placed.
Sagar Gandhi: No, no, I understood that. Instead for destroyers, what is the quantity that is likely to come?
Biju George: For the next generation destroyer?
Sagar Gandhi: Yes, yes. Yeah, so that is four.
Sagar Gandhi: So, that is four. And sir, apart from these two orders, ship repair pipeline and this additional order that you mentioned about ONGC. So, can you give us some colour about what is likely to come over the next 1-1.5 years?
Sanjeev Singhal: There would not be -- we are not privy to any plans regarding ONGC. So, whatever the requirements are there, they come out by way of a tender. So, only then we come to know what is the requirement. So it would be difficult to assign any kind of a number to that what would be their requirement in future.
With respect to Navy, yes, they come out with their perspective plan what requirements are

there. So based on this we have indicated the next generation destroyers is there in pipeline, 17 Bravo frigates are there, follow-on frigates are there, 75I submarines are there, additional submarines are there. In addition, there would be requirements which as and when they come

out requirements from other agencies like Coast Guard. And we are also scouting for the export orders.
So we are in discussion with various countries including Malaysia, Brazil, Indonesia, UAE.
We have in fact we have invested considerable time, energies and resources in these areas over the past few years. So it takes time before these naval orders materialize. We expect some positive responses in future.
Sagar Gandhi: Yes so sir in this respect I am not asking you the type of vessel, but broadly will it be a large opportunity half a billion dollars or something like that?
Sanjeev Singhal: No, as far as the export orders are concerned it will be primarily commercial. We do not expect to be anywhere comparable to the destroyer or submarines or frigates. But at the same time this would be strategically important to establish our strong foothold in the export market also.
Sagar Gandhi: Okay. And, sir regarding our peak revenue in FY25, I mean, sir these three additional submarines that we are likely to get, their execution timelines will be lower than our previous experience of executing submarines.
SanjeeevSinghal: Yes definitely.
Sagar Gandhi: Sir in that case say maybe one year there may be some dip in revenues, but post that again execution will start for the submarine then we can again...
Sanjeev Singhal: Yes overall timelines w

ill definitely be lower, but granular breakup financial yearwiseit will be difficult right now unless and until the order and the specifications are actually crystallized and received. What kind of preparation is involved, what kind of equipments, what is the indigenization content, how much is a repeat kind of a thing and how much is new and detailing and designing etc it would depend on that.
Sagar Gandhi: Okay. But you believe 5 years is a reasonable timeline for execution for submarine?
SanjeevSinghal: 5 years to 7 years. They are depending upon the requirements. Okay. If there is a significant change in the requirements it may entail a higher timeline, but if it is a plain repeat order then yes 5 years is good enough.
Sagar Gandhi: Okay. And sir my last question is on capex that you highlighted. So capex plan will be for how much rupees and over how many years?
Sanjeev Singhal: We expect INR3,000 crores over next 3 years to 4 years.
Sagar Gandhi: INR3,000 crores?
Sanjeev Singhal: Yes INR2,500 to INR3,000 crores.
Sagar Gandhi: Okay. Initially sir when during the IPO time we had mentioned that NhavaShevaYard which we are likely to develop that will entail a capex of INR1,000 crores. So you are saying additional INR1,500 crores over...

Sanjeev Singhal: For the additional land which has been acquired recently 15 acres we would be developing that plot also.
Sagar Gandhi: And that will have capacity to…
Moderator: Sorry to interrupt you sir. I request you to come back for a follow-up question.
Sagar Gandhi: Sure I'll do that. Thank you.
Moderator: Thank you. The next question is from the line of GaganThareja from ASK Investments Manager. Please go ahead.
GaganThareja: Yes. Good evening. Am I audible?
Sanjeev Singhal: Yes. Please go ahead.
GaganThareja: Yes. Sir regarding the deliveries for next year you indicated that warranties and certain spares the revenue booking will spill over in the year after FY25. Generally what is the proportion of warranties and spares on an average in any order for delivery?
Biju George: Yes. So this is not the absolute value.
GaganThareja: I am looking at a percentage of generally as a percentage of any order?
Biju George: Yes. So for example in a INR27,000 crores order INR3,500 would be spares.
GaganThareja: And warranties would be how much?
Biju George: Yes see we are unable to quantify. I'll put the thing in perspective. For example post-delivery during the warranty period these ships are deployed in, for example, in the Red Sea. We do not

know what would be our liabilities. So that is why the future expenditure is also there.
GaganThareja: I get that sir, but Red Sea is like an exceptional event. I am saying in the normal course of your history, deployment, post-deployment what has been your experience on average warranty costs?
Biju George: Yes. So we have two kinds of warranties. One is the warranty getting extended with the firm up during the guarantee period. Then it's during the guarantee period of the platform all the equipment and systems certain things we are not covering warranty, but it will be like on need basis. So that is how we cover the warranty for the equipment and systems.
So it has not been a uniform kind of warranty requirement because as you know system A may be absolutely all right in the first ship. Second ship, it is another system which will be demanding a warranty attention. Third ship, it is a different set of equipment. So there is no uniform kind of statistics available.
GaganThareja: Yes, but there would be a median. I know that it will vary, but there will be a median and average. If the variability is too high perhaps you could give a median rather than a mean.

Biju George: Yes. So definitely there is a mean, but it has been fluctuating. That's what I was…
GaganThareja:

Yes, but would it be possible for you to enumerate or give the numerical value of the mean?
Biju George: That I have not calculated this thing what will be the percentage of the total value, etc.
GaganThareja: And on the P75I, will the orders be given to -- will the orders be split between the two bidding entities or will it go to one entity as a whole?
VasudevPuranik: One entity as a whole.
GaganThareja: Ok Alright SirAnd regarding the sizable capexes that you are undertaking, if you could help us understand give us more context into are these for ship building, are you expanding capacity for submarines also? You signed a master repair agreement with US Navy. Are you therefore looking at building up ship repair facilities also? It would help to understand where exactly all of this capex is going into.
Biju George: Yes, so we have our expansion plans as regards to the capex in two locations, as CMD mentioned. One is in the adjacent land which we have recently acquired, as well as in our NhavaSheva facility. Both these facilities will have a cross-functional kind of arrangement where one can act as a feeder to the other and vice versa also.
And it is for ship building and ship repair so that we are primarily looking. Submarines we are able to handle with the existing facility for the future workload. So, with this expansion, we will be able to take higher vessels of larger dimensions and we also will be able to repair bigger vessels both from the naval assets as well as commercial vessels.
GaganThareja: Thank you, sir. I will get back in the queue. Thanks for taking my questions.
Moderator: Thank you. The next question is from the line of ParimalMithani from Credential Investments. Please go ahead.
ParimalMithani: Hello. Good evening, sir. Thank you for the opportunity. All my questions are answered. And congratulations for a wonderful set of numbers . Thank you.
Sanjeev Singhal: Yes, please continue.
Moderator: Yes, thank you. The next follow-up question is from the line of Swechha Jain from Whitestone Financial Advisors. Please go ahead.
Swechha Jain: Hi, sir. I just have a couple of follow-ups. So, one, I wanted to know, once we complete this capex on both the two facilities if you could give some sense, I know you did mention in the earlier answer that we will be able to take bigger vessels both on the ship building and the repair side. But if you could give some sense once both of this capex are done how many ships can we build at the same time or how many can we repair parallelly including these two facilities?

Biju George: Now, we will be giving, so we have a broad definition in place. And based on that, we will be appointing a consultant who will be assessing the facility, looking at the businesses that is in the horizon and map that to the infrastructure development.
Swechha Jain: Okay. And if you could give some sense as to…
Biju George: It depends on what is the size of the ship and what is the number of ships will come in an order and what is the delivery timelines. So, there is an inter-ship gap between two ships, what is the gap available. So, we would have at least doubled our capacity when the three facilities are in place.

Swechha Jain: Okay. And sir, in terms of ship repair revenue some broader sense as to say after four or five years down the line, what percentage do we envisage our ship repair revenue to be as a part of the total revenue?
Biju George: Yes, that will be very miniscule, in the next four years, only the infrastructure will be -- For development of the infrastructure itself, it will take three to four years -- Revenue from ship repair, it's maybe 6%, 5% to7%.
Sanjeev Singhal: Actually, in spite of repairs having a shorter cycle, primarily we are a yard for new build. So, this is -- Our focus area remains on the new build. We don't expect a revenue share of more than

5% to7% from the repair segment. And we have only one dock in which we are undertaking repairs now.
Swechha Jain: Okay. And sir, my last follow-up is the bidding pipeline that we talked about the next-gen destroyer, follow-up P-17 and the P-75I. Just wanted a clarification that we have not bid for these, right? We will be bidding for these going ahead?
Sanjeev Singhal: The tenders for the next-generation destroyers or 17 Bravo are still not out. 17 Bravo, we expect a repeat order kind of a thing, quite possible on nomination. And next-generation destroyers also, depending upon the capability and capacities of the existing yards, so that contours are still not known whether it will be on nomination basis or multi-yard or on a purely competitive basis. The tenders are still not out but the discussions are there. With respect to the requirement.
Swechha Jain: Okay. And for P-75I?
Sanjeev Singhal: P-75I, we have already submitted the bids. Last year, August, we have submitted the bids. Currently, it is under evaluation. The field evaluation trials with respect to MDL, TKMS combined have been successful. The field evaluation trials with respect to Navantia and L&T, we understand, are underway. It will take some time for the evaluation and other things to be crystallized.
Swechha Jain: Okay. And so what I understand is you said that this will be…
Moderator: I request you to come back for a follow-up question. Thank you. The next follow-up question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi: Sir, the new capex that you mentioned to accommodate larger vessels, will it also accommodate aircraft carriers?
Sanjeev Singhal: We are floating a tender to assess the total land area and the sea area available and what kind of water depth is available. So, the consultant will be coming out with a full plan with what kind of vessels, what max dimensions, what max draft can be accommodated. So, that would provide a better clarity.
Sagar Gandhi: Okay. Thank you. That is it from my side.
Moderator: Thank you. The next follow-up question is from the line of Viraj Patel from G K Globas LLP. Please go ahead.
Viraj Patel: Sir, another question is that what are your expectations of budget expenditure on defence and what percentage of growth are you expecting in next five years due to the budget allocation?
Sanjeev Singhal: We have never been focused with respect to the defence budget or defence allocation because the budgets have never been a constraint as far as defence requirements are concerned or naval requirements are concerned.
So, what we understand is that the requirements are there and as and when the requirements are crystallized at the level of navy and the orders are placed the funds would be provided for. Taking the geopolitical situation into account, we believe that there is a significant requirement. The total length of the Indian coastline is 7500 kilometers, the geopolitical situation. So, we foresee significant development in future.
Viraj Patel: Okay, sir.
Moderator: Thank you for your question. The next follow-up question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: Thanks again for the opportunity. I just want to confirm a couple of data points. Could you confirm if your capex is INR2500 crores to INR3000 crores for the next three years?
Sanjeev Singhal: Yes, next approximately three to four years depending upon the crystallization of all the reports and the placement of orders with respect to execution.
Yash: I wanted better clarity on the pending order execution. So, you said that for the destroyer project, we have INR11,200 crores pending order. How much would it be for the frigate?
Sanjeev Singhal: Frigate would be approximately INR17,000 crores.
Yash: And for the Submarine, the one Submarine that we will be delivering this year?

Sanjeev Singhal: That is Submarine and spares, etc. Approximately INR3000 crores. The coast guard vessels also INR3000 crores. And the foreign order, export order is INR350 crores with respect to medium refit and life certification of the submarine, approximately INR2000 crores and others, INR 1000-1,500 crores.

Yash: So, broadly, if I get the math right, so INR11,200 crores plus about INR17,000 crores plus your INR3000 crores for the Coast Guard, another INR3000 crores for your Submarine. And how much you said for the export, sir?
Sanjeev Singhal: MRLs, medium refit and life certification INR2000 crores, exports INR350 crores and others approximately INR1000 crores to INR1500 crores, total INR38,000 crores.
Yash: So, this is broadly order book right now as a Q4?
Sanjeev Singhal: Yes.
Yash: And you intend to maintain that run rate for the next couple of years?
Sanjeev Singhal: As far as the execution rate is concerned, we can say with respect to the execution rate, with respect to the order booking, it will, there are a number of factors on which it would depend. If I get a large value order today, this order book would shoot up immediately.
Yash: Got it, sir. Thank you.
Moderator: Thank you. The next follow-up question is from the line of GaganThareja from ASK Investment Managers. Please go ahead.
GaganThareja: Sir, are landing platform docks also in the pipeline? It's, been something which has been spoken for a very long time but not happened. But of late, your peer companies also seem to talk about it as potentially there in, the next near future?
Biju George: Yes, we are not in the fray for LPD.
GaganThareja: Are you there in the fray for next generation corvettes and survey vessels?
Biju George: Yes, See, NGC, the RFP is out, we are there for the next generation corvettes.
GaganThareja: But not for the survey vessels?
Biju George: Sorry?
GaganThareja: Survey vessels, next generation.
Biju George: Yes, that, as far as I know, that will take more time. NGC RFP is out.
GaganThareja: And basis is the Navy's long-term perspective plan, over a 10 year time frame, or maybe perhaps a 10 years, 15 year time frame. What is the potential sort of procurement by value that Navy could order, between now and the next 10 years?
Biju George: As a shipyard, we are not privy to the maritime capability perspective plan. That is an internal document of the Navy. But whatever projects we have decided is what has been, that is there in the public domain also. That's all we also know about it.

GaganThareja: And, sir, coming on to, the three deliveries that you have planned for next year. In fact, you said two frigates, possibly, if you can get it done on time. That alone could be, on an average, one frigate would be INR6,000 crores to INR7,000 crores basis, the order size and number of frigates. So two frigates would be, something around 13, 14. One pending delivery of Bravo is around INR11,000 crores.
So that's, a very sizable number of more than INR20,000 crores plus the Submarine. So you're talking of almost INR25,000 crores. And even if I knock out, spares, which you indicated was roughly 15%, and perhaps warranties of another 5%, 10%, even 10%. You're still talking of three-fourths of almost INR24,000 crores, which is, almost INR17 crores, INR18,000 crores, theoretically possible sales invoicing next year. Is the math very wrong, what I'm talking about?
Sanjeev Singhal: What you are talking about is the gross value of these assets, whereas all these assets are at a certain level of completion even today. So revenue booking corresponding to these milestones has already taken place. I will not be booking entire revenue during the year of delivery.
GaganThareja: Okay, I understand, sir. Is it possible to enumerate how much would already have been booke

d
out of, what you'll deliver next year?
Sanjeev Singhal: That would be slightly difficult, individual vessel-wise, how much revenue booking has already been done. Those figures would be available. These are not readily…
GaganThareja: But sir, when your presentation mentions the pending value of what needs to be booked, right? So if the pending value is INR3,500 crores and INR11,000 crores, Submarine and P17 Bravo, then by default, the pending value alone is INR14,000 crores, INR15,000 crores there, and one

frigate pending delivery, the two frigates pending delivery, the value itself, pending value is how much of the total frigates that you're left with?
Sanjeev Singhal: Right now, if we discuss with respect to frigates, the order value for the four frigates is INR27,000 crores, of which INR10,000 crores has already been booked as revenue.
GaganThareja: How much?
Sanjeev Singhal: Approximately INR10,000 crores has already been booked as revenue. None of the frigates have been delivered. Balance of INR17,000 crores represents the balance of all the four frigates, and this would also include certain components towards base and depot spares, towards warranty obligations. Similarly, for 15 Bravo destroyer, although only one destroyer remains to be delivered, this INR11,000 crores does not reflect the balance pending value for one destroyer.
This also reflects the value of the base and depot spares for the entire project, the warranty obligations for the entire project. So this need not culminate on the delivery of the fourth destroyer. Similar would be the case with respect to the Submarine. The INR3,500 crores I am not going to book on delivery of the last submarine.
GaganThareja: Correct. I get you. Sir.

Sanjeev Singhal: Depending on activities, Which may take time, maybe a year or more.
GaganThareja: Agreed. What I'm simply saying is, if the pending value of frigates is 17,000, they might all be at different stages of execution. But for hypothesis sake, if I assume they are all at the same stage of execution, then for two out of this was for how many? For six?
Sanjeev Singhal: Frigates is four.
GaganThareja: Four. Right. So, two is roughly half of the pending value. I'll knock out the warranty and, the spare. So just for the sake of counting, right, 11 plus -- I take half of 16, let's say 8. 11 plus 8 is 19. 19 plus 3 and a half is 22,500. I knock out at least 20% for warranties and spares out of that. So I'm knocking out 2,000 for conservatism.
Sanjeev Singhal: You are knocking out 20% of the balance value, whereas it would be 20% of the project value. 15% is for base and depot spares. In addition, the warranty guaranteescharges. So it's not 20% of the value which is visible now. It would be in the range of 12%-15% of the total project cost.
GaganThareja: Agreed. So we'll then adjust accordingly. And then can we say that whatever figure we come to is a possible invoicing for Mazagon in the coming years?
Sanjeev Singhal: We have not calculated in that fashion. I would not be able to say that your assumptions are valid. We have not worked out in that manner.
GaganThareja: Okay. All right, sir. Thank you. Thank you for at least helping us understand this in a little more detail. It was very helpful. Thank you. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Jayesh, an individual investor. Please go ahead.
Jayesh: Thanks for the opportunity, sir. Just wanted to confirm slash clarify on a couple of things. One, there was a news item that the Navy has come out with a revised RFP for P75I for INR60,000 crores. The revised RFP was for 43, but there has been a revision in the terms and it has come out recently. I just thought I'd check with you if that is the case or that is not the case?
Sanjeev Singhal: We are not aware of this.
Jayesh: So that's one. Second is, if you can

just indicate, what is the liquidated damages for FY ‘24? I heard that in the last quarter it was INR150 crores, INR149 crores. But how much is it for the full year?
Sanjeev Singhal: Approximately INR300 crores.
Jayesh: So it's 150 crores per ship, broadly for the 2 ships. And there is 2 more which will come through in FY ‘25, assuming the Navy approves it.
Sanjeev Singhal: One is nearly crystallized. Regarding the second one, I cannot state it right now.

Jayesh: And then again, the third question, of course, again, pertaining to P75I, there has been a discussion that the entire process may get delayed by around 6-9 months because the Spain slash NavantiasAIPstill is not ready. I mean, one of the conditions of the RFP was a fullAIP .
Sanjeev Singhal: We would not be able to comment on that. We are only aware that the field evaluation trials of MDL and TKMS, they have been successful.
Jayesh: Correct.

Sanjeev Singhal: Beyond this, we would not be able to comment.
Jayesh: Sure. Those were my questions. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities Limited. Please go ahead.
Amit Dixit: Yes. Hello. Thanks for taking my question. I have just two questions. The first one is essentially that over a period of time, we have seen margin improvement. Now, even if I exclude the impact of refund of LDs and all, there has been an improvement in terms of margins, which used to be 5%, 6%. Now, we have seen it at a much higher level. Now, some of it has to do, of course, with the before time delivery. And this thing will kind of persist. So, just wanted to understand from you, what kind of sustainable margins should we take going ahead? Because the operational improvement, I think, will stay with you.
Sanjeev Singhal: One thing we need to understand that the contracts which we are executing currently, these are on nomination basis. As far as additional submarine is concerned, that is, again, on nomination basis. With respect to next generation destroyers, with respect to follow-on ships of 17 Bravo frigates, these contours are not visible right now, whether these will be on nomination basis or on competitive basis.
Both have a totally different scenario with respect to how many players are there in competition or if the order is on nomination, then the margins are predefined. So, lot many factors would come into play when these orders actually crystallize. Secondly, considering that these projects take a significantly long period for execution, a better clarity with respect to costs and margins emerges towards the later part of the project execution.
So, even during the initial stages of the project execution, a clear picture would not emerge with respect to what kind of costs I am going to incur. So, there would be certain measures, certain conservative vision during the initial stages of the project with respect to profit booking. As and when the project progresses substantially, there is a level of comfort whereby you can book profits which are more clearly visible.
Amit Dixit: Got it, sir. The second question I have is if we look at the budget, I mean, of course, the interim budget only. So, if I look at this, what I find that the spending for naval fleet is pretty constant if I compare it with last year. Now, given that most of the ships in your case, as well as some of your peers, are in advanced stage of revenue booking. So, should we expect that

there would be an ordering in FY ‘25 or given the static nature of the event that is contemplated, it will only happen in FY ‘26?
Sanjeev Singhal: I didn't get your question clearly.
Amit Dixit: No, the question is that we are talking about, you know, that in FY ‘25, we are hopeful of getting this P75-I. 3. submarine order. With the ord

er, you will also maybe get 5% advance.
Now, when I look at the spending that has been budgeted, it is very, very constant.
Sanjeev Singhal: Budgets are not a constraint. Budgets are not a constraint, whatever would be required. Budgets have never been a constraint. In fact, funds have never been an issue. As per requirement, the funds are being made available.
VasudevPuranik: And what you see, the budget is outflow of that year. And this budget plans that we will get, it will have its cash flows over 4-5 years.
Sanjeev Singhal: He is talking of this 5% advance payment which will flow, whether that will flow or not. But our experience is that cash flow has never been a constraint or never been an issue with respect to any of the projects.
Amit Dixit: Got it, sir. Thank you so much and all the best.
Sanjeev Singhal: Thank you.
Moderator: Yes, sir. Ladies and gentlemen, we will take this as the last question. And I will hand the conference over to the management for closing comments.
Biju George: So, I will take this opportunity to thank all the esteemed investors who have participated in this call. And we hope that we have clarified all your queries. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

Sub: Disclosure in terms of Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015 pertaining to the uploading of the Audio or Video Recordings and Transcripts of Investors Update Calls on the website of the Company .

Dear Sir/Madam,

With respect to the captioned subject the Investor Update Call Transcript which was transpired during Q1FY25 Investor Earnings Call organized by Nirmal Bang Institutional Equities on Wednesday, the 14 August 2024 at 1700 hours to discuss the Financial Results for the quarter ended 30 June 2024, has been uploaded on the website of the Company namely https://mazagondock.in . The said transcript is also enclosed herewith.

The link for accessing the said transcript is:
https://mazagondock.in/Transcript.aspx

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

(Madhavi Kulkarni)
Company Secretary & Compliance Officer

Encl: as above
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai– 400 001
Scrip Code: 543237

To
National Stock Exchange of
India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
NSE Symbol: MAZDOCK
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MAZAGON DOCK SHIPBUILDERS LIMITED
(Formerly known as MAZAGON DOCK LIMITED)
CIN: L35100MH1934GO1002079
(A Govt. of India Undertaking)
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Dockyard Road, Mumbai 400 010
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Ref : SEC/BSENSEDISCL/33/2024-25
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Date: 21 August 2024

“Mazagon Dock Shipbuilders Limited
Q1 FY ’25 Earnings Conference Call”
August 14, 2024

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING DIRECTOR, ADDITIONAL CHARGE, DIRECTOR FINANCE – MAZAGON DOCK SHIPBUILDERS LIMITED
M R. BIJU GEORGE – DIRECTOR SHIPBUILDING – MAZAGON DOCK SHIPBUILDERS LIMITED
C OMMANDER VASUDEV PURANIK – RETIRED DIRECTOR CORPORATE PLANNING AND PERSONNEL AND DIRECTOR, SUBMARINE AND HEAVY ENGINEERING , ADDITIONAL CHARGE – MAZAGON DOCK SHIPBUILDERS LIMITED

MODERATOR : MS. JYOTI GUPTA – NIRMAL BANG EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to Mazagon Dock Shipbuilders Limited. Q1 FY '25 Earnings Conference Call, hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Equities. Thank you and over to you ma'am.
Jyoti Gupta: Thank you Manav. Hello everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the Q1 FY '25 Earnings Conference Call with Mazagon Dock Shipbuilders Limited management. We have with us Shri Sanjeev Singhal, Chairman and Managing Director, Additional Charge and Director Finance, Shri Biju George, Director, Shipbuilding, Commander Vasudev Puranik, Retired Director, Corporate Planning and Personnel and Director, Submarine and Heavy Engineering, Additional Charge. Without further ado, I request Shri Sanjeev Singhal to start with the opening comments after which we can open the floor for questions-and-answers. Thank you and over to you sir.
Sanjeev Singhal: Very good afternoon and welcome to all the participants. This is from Mazagon Dock Shipbuilders, Sanjeev Singhal. The results have already been declared today afternoon. I believe that the investors would be happy with the results. As far as MDL is concerned, the company has been performing strongly and consistently and we believe, going ahead, to continue with a similar kind of a performance improving upon quarter-to-quarter. With this brief introduction we can start the question answer session.
Moderator: Sir, should we begin the question answer session?
Sanjeev Singhal: Yes, please.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Yes sir, good evening everyone and thanks for the opportunity. Congratulations for a good set of numbers. I have three questions. The first one is if you could let us know the status of P75 and P75I. There were media reports indicating that P75I we were successful in the field trials while the other bidder, there were some observations. Just wanted your comments on that and when do we expect this to be closed? That is the first question I have.
Sanjeev Singhal: We don't have any comments with respect to the media reports. As far as the status of the project is concerned, with respect to P75 additional Scorpene submarines, we have already submitted the prices. Two rounds of assessment by the costing committee have happened.
I believe that the costing committee is close to finalizing their recommendations and with that the further processes should start with respect to order placement and other formalities once the prices are considered to be in acceptable range.

With regard to P75I, the information available with us is that the field evaluation trials with respect to the proposal of MDL and TKMS combined, they have been found to be successful. So, this evaluation is done. So now we are waiting for the next phase for technical discussions, if any, from the naval side.

Amit Dixit: Okay. Okay, sir. The second question is with respect to the margins. We see margins are pretty high in this quarter. So, were there some LD refunds in this quarter?

Sanjeev Singhal: No, there was no LD refund per se as far as this quarter is concerned. Although there are two more submarines for which we expect LD refund. They are at different stages of discussions. So may be in the coming qu

arters, those LD refunds should be coming in. As far as this quarter is concerned, there was no LD refund. But yes, with regard to our destroyer deliveries, the second destroyer is also close to the completion of the D-448 liability.

So whatever provisions were catered for the second destroyer as well as for the first destroyer, the warranty period is already done. And for the second destroyer also, because we are now close to completing our D-448 liabilities, so whatever provisions were required or they were catered for, so now they are being released. Whatever excess provisions have been there.

Amit Dixit: Okay, sir. That is helpful. So, the third question is on P-77 project. Any light you can share on this? Are we involved in developing this with DRDO or any color you can shed on this?

Sanjeev Singhal: Right now, nothing to share.

Moderator: Thank you. The next question is from the line of Kriti Tripathi from NVS Brokerage. Please go ahead.

Nalin Shah: Yes, this is Nalin Shah, NVS brokerage. Yes. At the outset, I would like to congratulate the management for, I would say, bumper performance this time. And we are very happy to see this performance. Particularly, the margins have improved, I mean, dramatically from 15% to 26%. In the beginning, sir, you have already said that we see the similar performance throughout the year. So, can we assume that what is the kind of trend, which was there in the previous full year, FY '24, Can we assume the similar trend to be in FY '25 and the similar margins to be maintained? That is one. Secondly, what is the total book size, order book size today and how much it is implementable before March 25?

Sanjeev Singhal: Yes, with respect to the margins and moving forward, how does it continue? We expect in case there are no surprises and there are no liabilities, because these are long gestation period orders, executed over 10 to 15 years. They have long period post-delivery and commissioning also where the liabilities with the company continue. With respect to the first ship, the warranty period , which was delivered in '21, the warranty period, etcetera, got over

Okay. With respect to the second ship also, we are now close to completing our D-448 liabilities. So, the similar position would be with respect to third ship and the fourth ship when we deliver it. So, there is a very long period post-delivery also. So, this is a period where the liabilities can accrue or arise. So in case there are no surprises, no major liabilities accrue, we expect that a similar kind of performance, what we registered last year, this should continue.

Nalin Shah: Okay.

Sanjeev Singhal: This is with regard to the performance. With regard to your second query regarding the order book, the order book as of today, I am not giving as on 30th of June, it is slightly dated, as on today, the order book is 40,400 odd crores. Okay.

And as far as the revenue for the current year is concerned, we are targeting may be some increase over next year, over previous year, still to firm up the numbers. As we move ahead, the clarity would be available may be after second quarter.

Nalin Shah: Okay. But margins, you feel that continue to be maintained like Q1?

Sanjeev Singhal: For the existing projects, in case there are no surprises, we believe a similar kind of a position should be there.

Moderator: Thank you. The next question is from the line of Jayesh, a shareholder. Please go ahead.

Jayesh: Thank you for this opportunity, sir. I had one question. What would be the order book of your 47% associate company, Goa Shipyard Limited? What would be the value of work unexecuted for GSL? Can you give us that number also? I did find it in the presentation.

Sanjeev Singhal: Although Goa Shipyard happens to be our associate company, where we are holding around 47% of the equity. We do not have any kind of a management c

ontrol. It is a pure investment, and we are concerned with the dividend only.

Beyond that, we do not entertain any queries with regard to Goa Shipyard. For accounting purposes, whatever profit is there, it impacts MDL’s net worth and the profit, whatever proportionate share is there, that is added to MDL’s profit in consolidated accounts.

Moderator: Thank you. The next question is from the line of Praveen Desai, an individual investor. Please go ahead.

Praveen Desai: Good evening, sir. And congratulations for a good set of results. Sir, my request is to split up the share value because now it is a high share value. So, everybody cannot take part in that, and liquidity can also increase. And one more thing, when we get Navratna status, you did not elaborate much about that thing, sir. We were eager to hear something from you regarding that. So, please elaborate something on that. How far we are progressing and how far status has been advantageous to us like that. Thank you very much.

Sanjeev Singhal: As far as splitting of shares is concerned, being a government company, this decision is taken by Department of Investment Planning and Asset Management, DIPAM. So, whatever is their decision in this regard or any other issue, as a company, we will be abiding by that. We don't have any information as of now.

With regard to Navratna, as a corporate governance abiding citizen, as a company, we had intimated this information immediately when we were conferred the Navratna status. As a Navratna company, it provides a significant advantage to the company as significantly higher

powers are available with the board. Capex decisions can be taken without any kind of a restriction or without any reference to the ministry, which facilitates quicker decisions.

With respect to joint ventures and collaborations also, compared to the,…as a non-Navratna company and a Navratna company, we can collaborate up to a significantly higher financial exposure, up to INR1000 crores for each collaboration or JV. So, there are certain advantages - as far as the customers are concerned, particularly the foreign customers. There are also a company with a tag of Navratna, has a better standing or a rating with respect to servicing of the orders. So, these are the few advantages which we believe would be accruing to MDL as the time passes by.

Moderator: Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: The provision write-back that you indicated, can you give the value for that? How much is the magnitude of the provision write-back?

Sanjeev Singhal: These provisions write-back are, actually for a shipbuilding industry, this is a different accounting altogether. There are no provisions per se created. It is the estimated cost to completion. The difference between the order value and the estimated cost to completion is for an accounting period. So, depending upon what kind of a cost to completion is technically estimated, what kind of expenses may be there, the cost to completion fluctuates on each assessment date, on a quarterly basis or a yearly basis. So, depending upon the, in case the cost to completion is coming down, it raises our profits.

So, it better happens as we come close to the completion of the project or completion of a milestone. Like in case of a delivered project, the milestone would be completion of D448 liabilities, completion of warranty periods, completion of all pending issues. So, certain costs are considered while calculating the cost to completion towards these milestones. In case the company does not incur those costs, they add to our profit. I hope I have been able to explain you.

Gagan Thareja: I understand conceptually what you are trying to indicate, sir.

Sanjeev Singhal: There would not be an amount which has been kept separately as a provision.

Gagan Thareja: I get your point, sir. It is just that I am trying to assess. Even from that standpoint, when you say that the final cost landed up being lower than the estimated cost, to what extent was the difference? The magnitude can be enumerated.

Sanjeev Singhal: On different dates, the cost to completion would be different. It fluctuates every quarter. We do not have the numbers immediately available with me with respect to what was the CTC last quarter and what is the CTC now. This CTC could be different. This could be on the positive side or a negative side for next quarter, depending upon what liabilities actually accrue.

Gagan Thareja: But if that is the case, then ideally you should be having a huge volatility in your -- if not huge, you should definitely be having volatility in your quarter-to-quarter margins. That really would not have been the case if I go at least in the recent past.

Sanjeev Singhal: Volatility would be there. At the same time, in case the liabilities do not accrue in a quarter, just for a very crude example, if I am keeping INR100 for one full year and in the first quarter no liability accrues, maybe I can reduce it to INR70-INR75 after the completion of the quarter. Maybe after two quarters, I can bring it down to INR50-INR60. This is just for an example. This is a crude example, of course. But this is an assessment for the balance period, what kind of liability can accrue. This estimate may turn out to be correct, may not turn out to be correct.

Gagan Thareja: Right. But you indicated that for platforms which are close to delivery, you have a fairly accurate idea of the difference between your original estimates and your final estimates. Our director shipbuilding will intervene

Biju George: One is delivery. Delivery, of course, is a milestone. But our liabilities do not end at delivery. The liabilities extend from the delivery date into the warranty period. Now, this ship is having a number of systems, hundreds of systems, which is having electronic components, which are complex, which are having imported components, which are integrated across systems.

But we do not know how these are going to behave during the warranty period. In our experience, different ships have behaved in different manner. In one particular ship, it may be X is requiring attention. In another ship, Y is getting disturbed and requires attention. So, we are unable to predict in a fair manner where the liabilities would arise and what would be the nature of guarantees which we need to service to the customer. So, at delivery, of course, the major yard efforts would come to a close.

But the liabilities would be there, which involves cost. Therefore, we need to cater for that. As progressively we move to the completion of the guarantee period, whatever has been provisioned, as CMD mentioned, that will be released as the same is not utilized.

Gagan Thareja: If we refer back to the 1Q call, I think you indicated that there are three to four platforms up for delivery this year. In fact, some of these platforms, the deliveries are going to happen prior to the scheduled date. So, two questions there. One, cumulatively, these deliveries to your estimate add up to what value for this financial year? Two, in case you manage to deliver them before the scheduled or stipulated date, obviously your costs are lower and therefore there is a beneficial impact on margins. Over and above this provisioning or this difference between estimated cost and realized cost. And also, you have, pertaining to the submarines, for two more submarines, for which you negotiated for the extra cost incurred and which has been approved. So, between all of these three, to me it would seem there is a very sizable, sort of positive possibility of increment in margins. So, on these two aspects, one, the total value of orders for de

livery in FY

'25. Two, between these three, the impact on margins, if you could clarify?

Sanjeev Singhal: As far as the provision with respect to impact on margins is concerned, the projections are not prepared in such granularity. As far as deliveries are concerned, yes, we are targeting three deliveries. One for destroyer, which we plan before the contractual delivery schedule.

One frigate, which we are targeting to meet the delivery schedule, because this is the first frigate of the project, so this is the first of the class. There are challenges, but we are targeting that we should be able to meet the contractual delivery timelines. The third is the sixth submarine, the last submarine of the project, which for certain unavoidable reasons has been lingering for some time.

So, we expect these three deliveries to happen. But there are so many variables involved, the projections which you are looking and the granularity which you are desiring, that is not feasible.

Gagan Thareja: I am not stating that this is what will happen. All I am saying is that this is the fact that there is a possible hypothetical case where the deliveries will be met as per your anticipated date?

Sanjeev Singhal: We don't work on hypothetical assumptions. Whatever is the status, this will be available to you in next quarter. 30th June numbers are there, 30th September numbers, if the deliveries are happening, 30th September numbers will be there. We will be coming to the investors every quarter.

Gagan Thareja: And if I recall correctly, I think last quarter you indicated the possibility of delivering even two frigates this year. Do you stand by that?

Sanjeev Singhal: Our target date is February. It could be a touch and go situation. If everything goes well, because it has not reached to that stage.

Biju George In the third quarter, we have to pass an important milestone which is the basin trials. If that happens, we are confident of delivering in Q4.

Gagan Thareja: Given that, is it not reasonable to surmise that sales growth itself should push up from what we have seen in 1Q? I am not looking for values, but it would seem to me to be a very reasonable surmise that top line growth should push up and push up well in the balance three quarters.

Sanjeev Singhal: We have indicated that we are looking for top line higher than last year. Numbers that we are not assigning right now.

Gagan Thareja: The final one, sir. On order pipeline, if you could discuss what RFPs are there in the pipeline over the next three years or three to five years' time frame.

Biju George: We will be bidding for eight next generation Corvettes. So that is the first one where we are bidding. Secondly, other projects are all at certain stage. Navy is considering a number of projects that have not gone into the AoN stage, we will be able to comment on that only after the AoN comes and where all we have the potential to participate. Next Generation destroyers,

next generation frigates, etc. In parallel, we are also bidding for some export orders. As of now, these are the things we can mention to you.
Sanjeev Singhal: And with respect to submarines, I have already elaborated. Three number additional submarines, what is their status, Six number P-75I submarines, what is their status, I have already elaborated that. With respect to next generation destroyers and next generation frigates, there is a requirement, likely to take some time before it firms up.

Gagan Thareja: Thank you, sir. I will get back in the queue if I have more questions. Thanks for taking my questions.
Moderator: Thank you. We have our next question from the line of Rajesh Hemdev from Re Infra. Please go ahead.
Rajesh Hemdev: Good evening and congratulations to the Mazagon team. Thankfully, my questions have already been a

nswered by the previous person who fielded his questions. Similar questions I had. So thank you so much and congratulations again. Wish you all a happy Independence Day tomorrow.
Sanjeev Singhal: Thank you.
Moderator: Thank you. We have a follow-up question from the line of Naleen Shah from NVS Brokerage. Please go ahead, Naleen sir. Mr. Naleen, as there is no response, we will move on to the next question. The next question is from the line of V K Vishnoi, an Individual Investor. Please go ahead.
V K Vishnoi: Good evening, sir. First of all, accept my heartiest congratulations for giving wonderful results. Results are simply out of this world. And my second statement would be that I want to convey my gratitude to you. I am a retired civil servant, and I invested heavily in your company when it was at about INR250. And your company, your management has simply changed my life. I would request you to explain one thing.
Earlier one question was raised about division of shares or about issue of bonus shares. Have you given some proposal to ministry for dividing the shares or for issuing bonus shares? Or if not, would you like to do it now? Thank you very much.
Sanjeev Singhal: No, this is an area which I have already clarified, which is taken care by Department of Investment Planning and Asset Management, DIPAM. And there is no requirement of any kind of a proposal from our side. The complete set of information is shared with DIPAM on a regular basis.
So they are fully aware of what is the status of the company. So whatever decision the government intends to take, that would be conveyed to us. And whatever procedural formalities are required, we will process that.
V K Vishnoi: Okay. Thank you. Thank you very much. And congratulations.
Sanjeev Singhal: Thank you.
Moderator: Thank you. We have our next question from the line of Praveen Desai, an Individual Investor. Please go ahead.
Praveen Desai: Yes, thank you. I got the answer regarding splitting of the shares that I wanted to convey you that you can also convey on our behalf to the government. And your committee management can convey on our part that shareholders were asking for splitting up the share. Because now the share value is INR5000. So split of value, if it is as low as five, then also it becomes 1,000.

So it is a high value stock. But you told that it is not in our hand to recommend them. They manage themselves. So I got the answer. And thank you very much, Singhal sir. And best of luck to you, everybody. Thank you.
Sanjeev Singhal: Thank you very much.
Moderator: Thank you. We have our next question from the line of Jayesh, an Individual Investor. Please go ahead.
Jayesh: Thanks. This is actually a follow-up question. Sir, our profitability has been very good and is likely to continue to remain so. Our dividend policy has been in line with what government companies typically, what is specified typically for government companies in terms of 25% of the PAT numbers plus or minus a certain percentage. Any thoughts around increasing the dividend payout ratio, given that our profitability in this year has been quite good compared to previous years?
Sanjeev Singhal: In fact, we are looking for substantial capex and infrastructure augmentation. So I believe that

also the growth of the company should be more important than distribution of profits by way of dividend. In any case, considering the share market price today, our dividend, the company declares, would be, in terms of percentage terms it would be a very paltry amount. So we have significant plans with respect to infrastructure augmentation. We will be focusing, like to, focus on that.
Jayesh: No, absolutely, sir. First, capital allocation should be towards growth and only then for dividend. So, yes, I mean, my question was that, okay, what would be that number that you would be looking at

for, let us say, infrastructure augmentation in terms of capital commitment out of your current profits?
Sanjeev Singhal: See currently, we are expecting an expenditure of INR 4,000 crores to INR 5,000 crores over the next four to five years. And recently incurred around INR800 crores in acquisition of land on long-term lease basis and settlement of our existing long-term lease. Approximately INR800 crores has already been spent. And now this land and the Nhava land is to be developed. Whatever infrastructure constraints are there we are targeting to address those.
Jayesh: Sure. Perfect, sir. I think that is the right approach. Thank you. My question is done.
Moderator: We have our next question from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: Yes, thanks for taking my question, sir. You indicated that this year you have three deliveries, possibly four. For '26, is it possible to give with some broad brush what could be the possible deliveries?
Biju George: For '26, we are planning to deliver the third frigate. And then we have -- in case second is not happening this year, then second and third. In case second is not happening this financial year, in the financial year '25- '26, we will have to deliver two frigates. Then we have also one delivery

in financial year '26 for the merchant ship. So, then there is also delivery of the fast patrol vessels. So, these are the four deliveries that will be there.
Gagan Thareja: On fast patrol vessels, how many will you be delivering in '26?
Biju George: So, we are expecting one delivery.
Gagan Thareja: So, one to two frigates and…
Biju George: Two frigates, one merchant vessel.
Gagan Thareja: One merchant vessel and…
Biju George: Yes, one fast patrol vessel.
Gagan Thareja: And one fast patrol vessel. Alright. And in terms of margins, while '24 -'25 would have the benefit of, the submarine cost escalation being provided to you, that will go away in '26. So, on a normal, normative basis, what should we think of as broadly a sustainable band of operating margins for you beyond FY '25?
Sanjeev Singhal: As far as our normal sustainable margins are concerned, these orders are on nomination basis, where the margins are around 8%. However, whatever efficiencies have incurred, because these are long duration projects, during execution, whatever R&D has been done, whatever processes have been developed, whatever efficiencies have been incurred, they have a smoothening effect or a positive effect on the profits. And in case the deliveries are happening prior to the schedule, that also has a positive impact on the profits.
So, moving ahead, these contracts which were awarded to us, the frigates contract was also awarded to us in 2015. So, I don't see a structural change in the contract. As and when the new contracts are awarded, then maybe we can take an assessment or a relook with regard to the margins corresponding to those contracts. Right now, we continue to execute the projects which were awarded long back.
Gagan Thareja: So, when you say 8%, which margin are you referring to, PAT, PBT or OPM?
Sanjeev Singhal: 8% is the PBT.
Gagan Thareja: PBT margin. But you have been well above that number for quite some time now.
Sanjeev Singhal: I have already given the explanation also, why the margins are high. 8% is at the time of the signing of the contract based on the estimated cost delivered by the costing committee and assessed by the customer as well as us. So, on the way, during execution, if any efficiencies are there, they add to our profits. If any procedures are changed, new procedures are developed, new R&D takes place, which brings down our cost. So those benefits accrue to the company.
Gagan Thareja: So, is 12% a sustainable margin or you moved from 12% to 15% perhaps last year?
Sanjeev Singhal: That is for y

ou to assess. We would not be assigning numbers.

Gagan Thareja: Alright. Okay, sir. And what would be the execution timeline for this INR 40,000 crores approximately order book that you have currently?
Sanjeev Singhal: Deliveries are concerned. Deliveries should be by the end of 2026. But as explained by the director, it does not end on delivery. Approximately 1.5 to 2 years, the activities continue. And in between, whatever fresh projects are coming, those executions will take over.
Gagan Thareja: So based on the repair, basically the spare that you will supply plus some of the warranties that you have to issue, which you discussed last quarter also could be 15 plus whatever 5, 20 odd percent. So, if I knock out that much, are you saying that by end of FY26 or FY27, whichever it is, this entire order book has to be executed barring this 20% pricing?
Sanjeev Singhal: Yes, existing order book.
Gagan Thareja: Yes, that's what I'm saying. So, if I knock out 20%, that's INR32,000 crores, you're saying that is by and large a number which should be executed between 25 and 27? Plus, whatever you can do from the intake that happens.
Sanjeev Singhal: Yes.
Gagan Thareja: Yes. Okay, sir. I get it. Thank you, sir. I'll get back in the queue. Thank you.
Moderator: Thank you. We have our next question from the line Of Jyoti Gupta from Nirmal Bang Equities, please go ahead.
Jyoti Gupta: Thank you, sir, for the opportunity. My question is, while we see the revenues going up, of course, based on the contracted value, we should also see increase in the raw material consumption. And do you see any changes on the procurement of base and depot spares as well? Because while it seems much lower than the last four quarters, I believe next three quarters, one is, of course, what would be the component of imported material versus indigenous products? Could that be one of the reasons why the procurement cost is actually coming down? Or is it that the inventory levels are already maintained, and you don't have to incur any further expenses? Hello? I can't hear you, sir. Hello? I can't hear you, sir. Sanjeev sir.
Moderator: Ladies and gentlemen, we have the management line disconnected with us. Please stay connected while we reconnect them. Ladies and gentlemen, thank you for patiently waiting. We have the management back with us. Over to you, sir.
Sanjeev Singhal: Yes please continue.
Jyoti Gupta: Yes, I asked the question that based on the revenues that we see build up; it will only grow from here. Obviously, it has to be commensurated by the raw material consumption as well and the procurement of base and depot spares. Even that should go up. If it does, then by what proportion are you seeing that going up and will that have a material impact on the raw material cost? Second is the component of imported items versus imported products versus indigenization. What is the proportion of that?

Biju George: Yes, so over a period of time we have achieved indigenization component of 75% plus. So remaining 20% to 25% is the import content in capital warships. So that is the answer to your first question. For the second question as I said most of the procurement has already been done. All major high-value procurement has been done and only base and depot spares which has to be handed over to the Navy during delivery as well as beyond the delivery to fulfil the warranty obligations that has to be spent additionally.
Jyoti Gupta: Okay. So, will that have a material impact on the raw material cost and what is that 22% of imported cost? What is it in terms of value? I mean what would be the proportion of the 22% versus 78%?
Sanjeev Singhal: What is this 22% you are asking about?
Jyoti Gupta: So, 22% we say we have become indigenized, 78% of the items are indigenized. Wha

t would be
that in terms of value?
Sanjeev Singhal: So for the project as a whole around 12,000 crores to 13,000 crores.
Biju George: Yes 12,000 to 13,000 crores will be the import content.
Sanjeev Singhal: For the project as a whole?
Biju George: For the project as a whole.
Sanjeev Singhal: For destroyers project.
Jyoti Gupta: Okay. And what is the percentage of that to the overall product that 22% is equal to 12,000 to 13,000 crores. Okay. I got it.
Moderator: Thank you. We have our next question from the line of Darshit, Chartered Accountant. Please go ahead.
Darshit: Good evening, sir and very congratulations for working the setup numbers quite impressive.

And thank you for giving me an opportunity to ask the question. My question is with regards to Page 75I order from Indian Navy. Wanted to know the total cost of order if the order gets finalized today and what would be the allocation between MDL and TKMS from this portion?
Sanjeev Singhal: This is a collaboration agreement. We are not discussing the details with respect to the collaboration agreement. I am sorry.
Darshit: Okay. So sir what would be the cost of project, cost of order if the order gets finalized today?
Sanjeev Singhal: AON value as of 2018 is 43,000 crores. We have submitted our bid. As and when it is evaluated and discussed the numbers would be out and we will be declaring it to the market.
Darshit: All right, sir. Thank you. I am done with my question. Thank you.

Moderator: Thank you. We have our next question from the line of V K Vishnoi an individual investor. Please go ahead.
V K Vishnoi: My query is that just now you said that you are getting these different works from Ministry on nomination basis. You manufacture submarines, frigates, destroyers. Whether it is this nomination system is applicable to all these items or it is applicable only to certain type of items?
Sanjeev Singhal: What I said was the current orders, the current large orders which are under execution, these are on nomination. I did not say that we continue to get orders on nomination. As of now, I don't see the nomination era moving ahead. We have received orders during last year around 21 vessels from Coast Guard, some export orders. None of these orders are on nomination basis.
V K Vishnoi: But from Ministry of Defence?
Sanjeev Singhal: From Ministry of Defence, yes, but not on nomination. All these are competitive orders. The large orders, the frigates order, the destroyers order, the submarine order which were awarded to us in 2005, 2011, 2015. These orders were on nomination basis as there was no other player, no other shipyard capable of manufacturing these items. Even as on date, as far as destroyers are concerned, as far as submarines are concerned no other Indian shipyard has a proven track record of constructing these platforms.
V K Vishnoi: So for these items still nomination system will be followed?
Sanjeev Singhal: No, I am not saying that.
V K Vishnoi: Okay, that means that clarity is still not there. They may go for nomination; they may go for tender also?
Sanjeev Singhal: Yes.
V K Vishnoi: Okay, thank you very much. And another question are we going for nuclear powered submarines? Is there any scope for that?
Sanjeev Singhal: Currently, no. We are focusing on conventional submarines. We have capacity to build 11 submarines simultaneously. Right now I am contesting for two orders which together would be nine submarines. Apart from the medium refit and life certification, which is already continuing, and we expect more to come in future.
V K Vishnoi: Okay, thank you. Thank you very much and all the best.
Moderator: Thank you. We have a follow-up question from the line of Jyoti Gupta from Nirmal Bang Equities. Please go ahead.
Jyoti Gupta: Sir, our employee costs have gone down substantially from 15% on average to something like 9.5% which i

s on FY24. Do we assume for that to remain 9.5% for the subsequent years or do we expect it to increase over the next two years, given the size of the orders that we are getting?
Sanjeev Singhal: In absolute numbers, whatever our wage bill is there…

Jyoti Gupta: As a percentage of sales.
Sanjeev Singhal: As a percentage of sales in case the sales are going up, this percentage would come down because we do not intend to increase the manpower in a substantial manner.
Jyoti Gupta: Okay. So, are we seeing any reduction in the count as well?
Sanjeev Singhal: No, there is no layoff, whatever happens in an organic manner, natural separation that would continue.
Jyoti Gupta: Okay. Thank you, sir.
Moderator: Thank you. We have another follow-up question from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: Yes. Thanks. So there is a very sizable capacity expansion plan that you have sort of earmarked for the next 4-5 years. 5000 crores compared to what your gross profit today is while it may be a depreciated gross profit. So, in terms of incremental capacity, can you give us some idea of

what in percentage terms of your current capacity, how much more incremental capacity gets
added from this capex?
Biju George: Currently, we have like an installed capacity for handling 10 warships, capital warships and 11 submarines. Now, the facility which we are augmenting, infrastructure augmentation in two places. One is adjacent to our existing facility here in Dockyard as well as in Nhava yard. We are planning for bigger dry docks where we will be able to build as well as repair. Capacity will get augmented because primarily it is a graving dock that is coming. So, in terms of building capacity if we can minimize the dock occupancy period, more vessels can churn out.
And if it is a repair refit so there also depending on the time of refits we can accommodate larger ships which is drawing the capacity of these ships as well, but to put a specific number in terms of number of ships at this point in time, it is slightly premature. We will be appointing a consultant, and the consultant will study and optimize the infrastructure and come out with the correct numbers.
Gagan Thareja: Is it possible to give a fixed asset turnover ratio on this investment a minimum fixed asset turnover ratio?
Sanjeev Singhal: We expect that a similar ratio we would be maintaining with the additional investment also.
With respect to the number, I would like to clarify. Right now, if I can handle 10 ships they are of a certain size. With the increased infrastructure tomorrow also if I handle 10 ships they would be of a much larger dimension. It opens up new markets for us. We have a master ship repair agreement with the US Navy.
However, majority of their vessels, we are not in a position to take because of the infrastructure constraints. So we expect with the augmentation of infrastructure, such constraints would be removed. Much larger and better markets would be available and open to MDL. So the number, if you are looking the capacity increase in terms of number that would not be possible to assign.

Asset turnover ratio, we expect going ahead. We continue to maintain a similar kind of asset turnover ratio, what we are maintaining now.
Gagan Thareja: Assume that ship repair as a proportion of sales over the next 4-5 years can increase very sizably for you?
Sanjeev Singhal: Not very sizably. That is not our target area.
Gagan Thareja: Okay. Alright. In terms of working capital, how should we think of inventory in receivable days on a sustainable basis going ahead? And is it also subject to how order inflow happens? So in day sales, you could give some idea of what should be sustainable working capital for you?
Sanjeev Singhal: Definitely d

ependent on the order profile and the customer profile and the payment terms. So as of now, I can only say with respect to the orders which are available in hand. We don't see any change in the next 3 years.
Gagan Thareja: Alright. And, you have been indicating that when you bid for a project, you budget for certain costs. And over a period of time, with efficiencies, you manage to improve your margins. But I think this is I get your point. My question is that this is something that the MOD is also well aware of. Do they not ask for their pound of flesh from you?
Because they realize that when you are reasonably conservative and over a period of time, you build your efficiencies. So, I mean, once they have seen that, would they not come back and say that you need to come down on your bids for certain other projects in the pipeline which follow up?
Sanjeev Singhal: For future contracts, definitely yes. Because our numbers are available with them also. But at the same time, we are also not static. We are also learning each day. So it's not that the learning is complete or beyond this the efficiencies are not feasible. Moving ahead, in case I perform my job more efficiently tomorrow, again, there would be opportunities and possibility of better margins.
Gagan Thareja: Right. And in terms of the margin profile of submarines versus ships, is there any notable difference?
Sanjeev Singhal: That would depend upon the order structure. Somehow, it still continues to remain a sort of nomination. So it would depend upon the order structure. Finally, what is the order structure?
What is the variable cost component? What is the fixed cost component?
Gagan Thareja: I am also looking at it from the point of view that submarines might have a lesser indigenous content and perhaps a higher degree of imported components. Does that in any case impact margins?
Sanjeev Singhal: Definitely yes.
Gagan Thareja: Right. And even there, between P75 and 75I, 75, this will be your second project. You've learned from the first one. It's also something you're doing completely by yourself. So would margin structures or profitability be different between 75 and 75I?

Sanjeev Singhal: I don't see much of a difference because 75 continues to be on nomination basis where the margins would be on cost plus. So they would be by and large fixed. However, submarines provide us a different business profile altogether because a submarine has a working life of around 30 years.
And with the medium refit and life certification, we can add another 10 to 12 years. So starting from the project execution till end of life, it is a 50-year cycle. And Navy is seriously looking at running all maintenance cycles and all refit cycles through MDL.
Considering that we have already executed six Scorpène submarines. Sixth one is under execution and three more are coming. So this gives the Company a continuous business cycle over a very long horizon. Which isn't case with respect to ship building. Major substantial refits with respect to ships they are handled by the Navy themselves. Because they have the dedicated naval dockyards.
Gagan Thareja: So what you're saying is that submarines give you the advantage of a very recurring revenue stream with the mid-life upgrades.
Sanjeev Singhal: For a long period of time.
Gagan Thareja: For a long period of time, right. And generally after a submarine is commissioned, when does it come in for a refit? Is it four to five years after commissioning?
Cdr Puranik: Yes, I mean typically they have some refit cycles wherein there are some short refits. But the long refits generally are put after.
Sanjeev Singhal Like I can give an example that the first Scorpène submarine which we delivered in 2017. We expect the refit proposal in 2025.
Gagan Thareja: And the refits as a proportion of the original order value are how much

? In terms of order size
typically?
Cdr Puranik: It goes boat by boat . So it would be especially the long ones which we are discussing would be around 1/3.
Gagan Thareja: 1/3. Okay, so one-third of the original order value.
Sanjeev Singhal: Between 25 to 30. Like we have delivered five submarines between 2017 and '22. 17 we delivered, 18 we delivered, 19 then 22. So these would be sequentially coming starting from '25.
We expect with a gap of 12 to 18 months.
One submarine should be coming to us for refit. And how much time does it take? About 2.5 years. So there would be overlap with respect to refit available with us. By that time we believe that the second refit cycle of the first submarine would start.
Gagan Thareja: Refits have a higher margin profile perhaps because they are more in the nature of repair and overhaul? Or am I wrong in that inference?

Sanjeev Singhal: Refits are negotiated prices. So this can have higher, this can have lower depending upon the assessment and negotiation at that point of time.
Gagan Thareja: Thanks for taking my questions. I will get back to you. Thank you.
Sanjeev Singhal: I think we have already crossed the time.
Moderator: As there are no further questions, I would now like to hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Equities for closing comments.
Jyoti Gupta: That concludes the conference. Thank you for joining us and you may now disconnect your lines.
Moderator: Thank you for joining us and you may now disconnect your lines.
Sanjeev Singhal: Thank you.

Call: Nov 2024

Sub: Disclosure in terms of Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015 pertaining to the uploading of the Audio or Video Recordings and Transcripts of Investors Update Calls on the website of the Company.

Dear Sir/ Madam,

With respect to the captioned subject the Investor Update Call Transcript which was transpired during Q2FY25 Investor Earnings Call organized by Nirmal Bang Institutional Equities on Tuesday, the 05 November 2024 at 1700 hours to discuss the Financial Results for the quarter and half year ended 30 September 2024, has been uploaded on the website of the Company namely https://mazagondock.in . The said transcript is also enclosed herewith.

The link for accessing the said transcript is:
https://mazagondock.in/Transcript.aspx

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

(Madhavi Kulkarni)
Company Secretary & Compliance Officer

Encl: as above
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai– 400 001
Scrip Code: 543237

To
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
NSE Symbol: MAZDOCK

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MAZAGON DOCK SHIPBUILDERS LIMITED
(Formerly known as MAZAGON DOCK LIMITED)
CIN: L35100MH1934GO1002079
(A Govt. of India Undertaking)
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Dockyard Road, Mumbai 400 010
Certified: ISO 9001-2015

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Ref : SEC/BSENSEDISCL/61/2024-25
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Date: 11 November 2024

"Mazagon Dock Shipbuilders Limited
Q2 FY '25 Earnings Conference Call"
November 05, 2024

MANAGEMENT : MR. SANJEEV SINGHAL – CHAIRMAN AND MANAGING
DIRECTOR, ADDITIONAL CHARGE AND DIRECTOR
FINANCE – MAZAGON DOCK SHIPBUILDERS LIMITED
MR. BIJU GEORGE, DIRECTOR, SHIPBUILDING –
MAZAGON DOCK SHIPBUILDERS LIMITED
COMMANDER VASUDEV PURANIK , IN(RETD)-
DIRECTOR, CORPORATE PLANNING AND PERSONNEL
AND DIRECTOR

MODERATOR : MS. JYOTI GUPTA – NIRMAL BANG EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the Mazagon Dock Shipbuilders Limited Q2 FY '25 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Jyoti Gupta, Research Analyst from Nirmal Bang Equities. Thank you and over to you ma'am.
Jyoti Gupta: Thank you, Riddhi. Good evening, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the Quarter 2 FY '25 Earnings Conference Call with Mazagon Dock Shipbuilders Limited Management. We have with us Shri Sanjeev Singhal, Chairman and Managing Director, Additional Charge and Director Finance, Shri Biju George, Director, Shipbuilding, Commander Vasudev Puranik IN(Retd) Director, Corporate Planning and Personnel .
Without further ado, I request Shri Sanjeev Singhal to start with the opening comments after which we can open the floor for questions-and-answers. Thank you and over to you, sir.
Sanjeev Singhal: Good afternoon and I welcome all the participants to this call and wish you all a very, very happy Diwali which is just over. The results we have published have been consistent with our recent performance in the past two years. We are open to all queries which the investors and the participants may have. We can start the conference, please.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Hi, good evening, everyone and congratulations for a good set of numbers. I have two questions. The first one is that, is there any element of reversal of liquidated damages in this quarter?
Sanjeev Singhal: As far as this quarter is concerned, there is no reversal of any liquidated damages.
Amit Dixit: And when we are expecting this reversal to happen, in next quarter?
Sanjeev Singhal: Two of our requests for submarine number one and submarine number five, they are still being evaluated by the Ministry and the Indian Navy. These two decisions are pending. The timelines would be difficult to assign. But we were hopeful that this would happen in the second quarter. It has not happened in the second quarter. We are hopeful that at least one of them should get settled in the third quarter.
Amit Dixit: And the total quantum would be around INR 400 crores?
Sanjeev Singhal: Max. around INR 300 crores.
Amit Dixit: Okay, that is great, sir.

Sanjeev Singhal: INR 300 crores is the max depending upon what is considered attributable to MDL. Minus that would be the reversal.
Amit Dixit: Okay, got it, sir. Got it. The second question is, is it possible to just outline the delivery schedule of destroyers, frigates, and submarines for FY '25, '26, and '27 may be?
Sanjeev Singhal: Right now, three projects are being executed. That is P-75 Scorpène submarines. We have already delivered five. The sixth one is on the final stages of delivery. We were targeting October. Certain issues have cropped up. So, we are addressing those issues. We expect the delivery any time before 31st December. Similarly, for Project-15 Bravo, out of four destroyers, we have delivered three. The fourth destroyer again was targeted for second quarter, but some

last-minute issues are being addressed. So, this also, we are targeting delivery before 31st December. And first ship of 17 Alpha, again, we are trying to deliver it by 31st December this year. So, next, we will be left wi

th three large vessels, that is 17 Alpha three frigates, which would be successfully delivered in 2025-26 and 2026-27.

Amit Dixit: Thank you so much, sir. That's it from my side and all the best.

Moderator: Thank you very much. The next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: Yes, thanks a lot for this opportunity and congratulations on good set of numbers. So, my question is on that, now that we are very close to finishing the delivery of the submarines and the destroyer, could you outline for us the potential order pipeline over next two to three years? I mean, which are in the pipeline and what is the rough quantum where you know, we are in the fray?

Sanjeev Singhal: I would request my Director Shipbuilding to outline with respect to the shipbuilding projects and Director Corporate Planning with respect to the submarine projects. So, over to Director Shipbuilding, Mr. Biju George.

Biju George: So, we have quoted for certain projects like the next generation Corvette. And Navy is also right now looking at the next generation destroyers, which will take time, even it has not gone to the AON. So, these are the two projects which are there. Then, there are small naval auxiliaries. 17 Bravo is also a possibility, but it is not yet crystallized. That is a repeat order of Project-17A we are right now building. So, next generation destroyers, 17 Bravo would be the big-ticket items, which we are looking forward, may be in the next two to three years as you see, that is in the horizon, which is there. But right now, as far as the yard is concerned, we have not got any firm commitment from the Navy that is going to come to us. But Navy is considering this and they will be processing it at the naval headquarters.

Atul Tiwari: I just wanted some idea about the size also, if you could share, I know the size can change, you know, but roughly, I mean, what is the quantum we are talking about here?

Sanjeev Singhal: What we can discuss is as far as the destroyer order is concerned, the destroyer order which we are executing currently of four destroyers, this is 2011 order, this was INR 34,000 crores. So, based on this, you can estimate what would be the size of the order for next generation

destroyers, which are bound to be larger and after a period of almost 15 years. Similarly, 17 Alpha project, as far as MDL portion is concerned, four number of frigates in 2015, this was INR 27,000 crores. So, a similar or more advanced frigates, similar number today, what would be the value? This is we leave it to your estimate.

Atul Tiwari: Okay, that's helpful.

Sanjeev Singhal: With regard to the submarines, Commander Puranik would intervene.

Vasudev Puranik: We have two, three things that are happening. One is the project for additional submarines, wherein we are likely to get an order for three submarines as follow on of this program. We are nominated for this follow on Scorpene submarine. Then we have the 75I, which is in a competition. We have collaborated with the German designer TKMS, and we have submitted our bid. We have been declared as qualified for the tender, but we are awaiting the government direction on that. And then after that, we have got couple of other things which are in the pipeline. We have also submitted our quote, and we will get an order for constructing the air-independent propulsion plugs, which are to be retrofitted on the Scorpene Submarine. And one likely, which is just in thought process as of now, is the refits of the Scorpene program. These are the things which can happen.

Atul Tiwari: Okay, sir. And sir, if I could check for these three additional Scorpene submarines for which you are nominated, what is the rough quantum of order size that we are looking at?

Sanjeev Singhal: The AON value for this is 27,000, but this AON was obtained in 2018. So this w

ould definitely have an element of escalation by the time the -- and depending upon if there is, what is the gap between the specifications as per RFP and finally frozen, and what the specifications were at the time of AON.

Atul Tiwari: Okay. And sir, my last one on this is that, you know, obviously these are very large and complicated orders. So they could take may be a few quarters to come to us. So in the meantime, do you foresee a period where the current large projects kind of run over and we have a slightly lesser quantum of order book to work with for two, three, four quarters? Is that a possibility or do you see a smooth handover from current set of projects to the new set of projects so that our revenue keeps on growing without any kind of fall in between?

Biju George: Yes. So that's a good question. So between these two large programs, we have already taken three orders from the Indian Coast Guard and also one export order. Put this together, we are

executing 31 ships.
Sanjeev Singhal: So this is basically a filler for the time during which a large order may take some time to mature, for which production has already commenced. And in addition, we are also having the offshore projects from ONGC. Approximately INR 7,000 crores-INR8,000 crores worth of projects have already been approved and orders placed on us. So these are some of the initiatives which are going on parallelly.

Atul Tiwari: Okay. So you don't foresee a situation where the revenue may notice even a small dip over the next couple of years? You think that the current level of revenue will be maintained and probably even in the interim, we will have some growth on this base?
Biju George: Yes. Because the offshore projects and the ICG projects and the export order put together will be able to sustain the -- almost sustain this kind of revenues.
Vasudev Puranik: There might be a dip, but very small. It will not be a big dip.
Atul Tiwari: Okay. Good to know, sir. Sir, I will come back in the queue. I have asked quite a bit of questions. I will come back in the queue. Thanks.
Moderator: Thank you very much. The next question is from the line of Rahul from Aditya Birla Sun Life. Please go ahead.
Rohit: Yes, this is Rohit from Aditya Birla Sun Life. My first question has got to do with the capex plans, the big expansion plans that we have on cards. Is there any color to what exactly the capacity we are looking to add, what kind of vessels will we wish to manufacture in future? Any color on those aspects?
Biju George: Yes. So we have already appointed consultants for two major capex initiatives. One is, recently we had acquired 15 acres of land adjunct to our existing yard. That will be developed into a shipbuilding cum ship repair facility. So there we are intending to have a graving dry dock and other ancillary facilities which can double up for both shipbuilding and ship repairs, where the envisaged dock size is approximately 180 meters by around 60 meters of width.
Now we also have a land parcel very close to Nhava Sheva region near JNPT, which is approximately 40 acres of land. That area also we have appointed the consultant for development of that area into with a graving dry dock, hard stands, etc, where we can build very large vessels, because there also we are envisaging a very long dry dock of a very huge capacity.
Rohit: Sir, if I understand it in a very -- from the way we understand it, like the number of platforms you could concurrently work is 21 currently. Once this capex happens, how many platforms you can work concurrently?
Biju George: So, this capex will come to fruition, it will -- because there is environmental clearance, there is civil works, it will take a minimum of four to five years from now for making it operational.
Then once it is becoming operational, we will be able to build very large size vessels. For example,

the hard stands will be there, where we can take around eight vessels simultaneously.
And this dry docking can be used for ship repairs, which can turn around a number of ships for repair and refit. That would be the kind of operations that we are envisaging.
Sanjeev Singhal: Right now, with the existing yard capacity, we can handle 11 submarines and 10 warships at various stages of construction. So with the additional capex, the capacity would be practically doubling, not only doubling in terms of numbers, in terms of size of the vessels also, much larger vessels we will be able to handle.

Rohit: So just to understand, 10 plus 11, 10 is warships, 11 submarines, and additional ships only, nothing on the submarine front.
Sanjeev Singhal: Whatever infrastructure is being created further, this is being created for large size ships. And as per the requirement, whatever submarines are required, that can be handled with the same infrastructure, because submarines are smaller in dimension.
Rohit: Got it. Sir, my question is to do with P-75 add-on, sir, the submarine, we are in the cross-marking stage where we have submitted the cost to I believe the Indian Navy. What exactly is the further progress over there?
Moderator: I'm sorry to interrupt, Mr. Rohit, but your voice is breaking.
Rohit: So, my question is more on the cost bench marking stage of the P-75, the three add-on submarines. We have submitted the, I believe, the quote on the cost bench marking parameters to the Indian Navy. What exactly the stage are we currently? I mean, when do you expect this to see a final conclusion of our order?
Sanjeev Singhal: This can happen anytime. We don't have any official intimation with regard to completion of costing committee approvals. They do not come to us. It is internal to the ministry. So, it can

happen anytime. It's not happened till now.
Rohit: Got it, sir. Thank you very much. That's it from my side.
Moderator: Thank you very much. The next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.
Atul Tiwari: Yes, sir. Thanks a lot for the opportunity again. So, my question is on, obviously, you have been doing quite well on margins. So, the current full year margin, say, on a trailing 12-month basis, do you expect to maintain it over the next couple of years? Because these margins are anyways on the higher side. So, can these margins be maintained, or we are looking at some kind of decline from here?
Sanjeev Singhal: Normalized margin for our industry would be something around 12% to 15%.
Atul Tiwari: So, you mean at the EBITDA level or at the PBT level?
Sanjeev Singhal: At PBT.
Atul Tiwari: 12% to 15% PBT level. And would you be able to comment on the EBITDA level margin? Is that something you kind of mentioned or tried?
Sanjeev Singhal: Primarily, we are focused on the PBT.
Atul Tiwari: Okay. But the PBT would also include some other income that you earn on your cash balance. So, these margins are including that, you mean?
Sanjeev Singhal: Yes.

Atul Tiwari: Okay. And my last question is on your capacity expansion plan. This is a slightly futuristic question. So, as I can see, as of now, you are completing some of the very large projects right now. And obviously, a few large projects are in the pipeline, but they may come with some delay. So, you anyways have enough and probably more than enough capacity like 11 submarines being built simultaneously and 10 warships. So, I mean, does this capacity expansion plan indicate to us that you are expecting even more orders in the future beyond whatever you have outlined in your answers so far?
Sanjeev Singhal: Definitely. We are looking for export orders. We are looking for commercial. And we are looking for repairs of large vessels, which currently we are not in a positio

n to undertake.
Biju George: So, there is domestic defense orders, then domestic commercial, export defense, and export commercial. These four segments will be there for new build as well as for repairs.
Atul Tiwari: Okay. But I believe that as of now, I mean, your non-defense work is pretty small, right? I mean, not too big in overall scheme of things, but you expect it to grow much faster from here onwards?
Biju George: We have the capability. If we have additional capacity, we can scale it up.
Atul Tiwari: Okay. But in terms of like tapping into that market, are you in an active discussion with clients or you are still in very initial stages? Could you comment on where we are in that journey? How quickly we could see some orders being won on non-defense side?
Biju George: On non-defense side, if we have to take right now, we have to outsource it completely because right now our capacity for commercial shipbuilding is almost full. So, once the new facilities come up, that is, as I told, may be four to five years down the line, then we will have captive capacity for taking these vessels and executing it on our own. Non-defense has offshore also. We have made good progress there.
Atul Tiwari: Okay, sir. Thank you.
Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: First question is on the operating cash flow. I mean, if I look at the first half operating cash flow this year, it is negative, if I remember correctly, negative INR 180 odd crores versus a positive INR 300 odd or more crores in the same period last year. Can you elaborate on that?
Sanjeev Singhal: These are non-consequential. As far as the cash flows are concerned, by the end of the year, my debtors do not go up. So, these will even out. So, negative cash flows, we have a significant cash balance available. These are naval orders primarily, so there could be some delay, intermittent delays in realizing payments.
Gagan Thareja: All right. And sir, out of the total capacity of doing 21 platforms concurrently, how many are you currently executing? Is it possible to give some idea on that?
Sanjeev Singhal: Currently, we are executing six large platforms and some smaller vessels.

Biju George: So, 21 vessels for Indian Coast Guard and 10 vessels. So, right now, we have taken up six vessels for export orders.
Gagan Thareja: Okay. All right. Third one, Goa Shipyard has a very sizable increase in order flows. Their annual report talks of a good growth execution in the coming two, three years. Is it therefore a

reasonable surmise to believe that your associate income that comes from Goa Shipyard will also grow at a very healthy clip in the next two, three years?
Sanjeev Singhal: We are not participating in the management of Goa Shipyard. Primarily, we receive the dividend. And as far as the consolidated accounts are concerned, yes, part of their profits is considered while consolidating the accounts. Yes, if Goa Shipyard performs good. Definitely, it has an impact on my consolidated accounts as well.
Gagan Thareja: And the final one, on the Project P75I, where you are bidding with TKMS, first part of the question, when do you see the final decision? I mean, any possible idea for the timeline to be given by you? And second one, I think, if I have understood it correctly from media articles, TKMS was able to demonstrate a functional AIP on their 212 platform, whereas Navantia and L&T have not been able to demonstrate a functional working AIP yet. Is that true? And if so, is it reasonably logical to believe that the TKMS platform has demonstrated requirements or ASQRs of the Navy better?
Sanjeev Singhal: We only have information that as far as MDL TKMS is concerned, this has been evaluated. And whatever evaluations were to be performed, all those have been successful. Regarding balan

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for any other thing, we are not privy to that information. We will not be able to comment on that, including the timelines.
Gagan Thareja: All right. And for the air-independent propulsion, which DRDO has designed and which is to be put on the existing submarine fleet, the existing diesel-electric submarine fleet, is there again any RFP or RFI in the works in the near future? Or is this something far ahead in the future from your perspective?
Sanjeev Singhal: This is expected any time. They have given the budget and RFP has been issued, the Navy is trying to introduce AIP during the first refit of the first submarine, which is expected in 2025. In case it does not happen in the first submarine, then definitely for the second submarine. So first submarine, a normal refit can be there without the AIP. Second submarine, along with AIP.
Gagan Thareja: A normal refit, if I go back to your statements of the last call, a normal refit on an average works up to a third of the initial order value of the submarine. With the addition of AIP, how much incremental value gets added to the refit?
Sanjeev Singhal: Another 30%-35%.
Gagan Thareja: Another 30%-35%. Okay. So basically, if a refit with an AIP comes in, it is reasonable to assume the total refit value would be around roughly 65%-70% of the original order value?
Sanjeev Singhal: We will take it at around 55%-60%.

Gagan Thareja: Okay. All right, sir. And again, going back to your...
Sanjeev Singhal: These are very rough estimates. This would depend.
Gagan Thareja: I completely understand that.
Sanjeev Singhal: This would be a very dynamic figure.
Gagan Thareja: Yes. Agreed. And on your statements in the previous calls or previous couple of calls that as and when orders come closer to their final deliveries, you get a better and a more clearer view of your costs. And therefore, like you did in 1Q, there was, as you indicated, costs came in lower than what you had originally budgeted and led to a margin expansion. Have you seen something of that sort in 2Q as well? And is it expected in the second half also?
Sanjeev Singhal: Depends upon... We have a delivery planned. Two deliveries are planned this year. Once the deliveries are done, at that point of time only we will be able to take a stock of the situation how it has planned out.
Gagan Thareja: All right. All right. Okay, sir. That's all from my side. And one final one is on commercial shipbuilding. There is a lot of policy emphasis on building commercial ships under the India flag with incentives, current set of incentives being extended further down the line with additional incentives also in the works in the pipeline. And there's also a lot of work emphasis on green shipping or hybrid shipping both in Europe as well as India. Do you therefore see yourself actively participating? Is that a large addressable market for you and one where you would be interested in participating in a big way?
Biju George: Yes. See, the order which we are right now having with a European client, with a Denmark client, is already a hybrid. So the financial assistance is now getting revised. That benefit also in the future. For example, if it's a fully green, there is a 30% incentive which the government is going to give. So this green market, short-sea shipping market is well alive in Europe. And they are looking to this side of the world also. A lot of shipyards already have received orders from Europe in the country.
Gagan Thareja: I understand that, sir. But from your perspective, specifically from Mazagaon perspective, are these being material-sized opportunities and one where you would want to participate?
Biju George: Yes, sir. Because most of the clients would like the prices that would be viable for them. So if it becomes a profitable proposition for us , we will definitely look at it.

Gagan Thareja: As per you

r peer, they are very profitable. Cochin Shipyard seems to indicate the profitability
on those is actually better?
Sanjeev Singhal: But not all clients are inclined to give like that.
Gagan Thareja: Okay. All right. I'll get back in the queue for more. Thanks for taking my questions.
Moderator: Thank you very much. The next question is from the line of Abhishek Poddar from HDFC
Mutual Fund. Please go ahead.

Abhishek Poddar: Yes. Hi. Thanks for taking my question. Sir, first regarding the PBT margin that you guided of 12% to 15%, just trying to understand it a little more. So if I look at FY22, you know, this number comes to 13% and 23 was 18%. But 24 was 26%. And I think you had some LD re funds in 24. First half also has been very impressive, sir. It has been about 32%. So just trying to understand how to think about the margins from here.
Sanjeev Singhal: We have already discussed this in quite detail in the last conference call also. And we still maintain that normal project margin would be around 12% to 15%. Whatever margins you are looking at right now, these are on the completion of projects where we have been able to complete the projects at costs lower than what was envisaged at the time of getting the project. So these, certain efficiencies, the learning curves which we have traversed, certain efficiencies, process changes which we have done over the years, so these would be taken into consideration definitely by the customer also when we negotiate for future projects. But it will always be a game. Depending upon what improvements we bring in further, there could be certain positives. In case we are not able to execute it with the same efficiency, there could be slight negative also.
Abhishek Poddar: So sir, these are after the settlement with customers or certain provisions which we made in the books and we reversed it based upon our understanding of the project now.
Sanjeev Singhal: Yes, depending upon the completion of the project if the costs are not incurred then they add up to our profit as and when the ship's Guarantee Defect Period and D448 liabilities are done.
Abhishek Poddar: Understood. And, sir, how do you foresee this, let's say, in the second half of this year and 26 some more benefit could come in or these benefits are mostly realized and we will see normalized margin now?
Sanjeev Singhal: I said in my previous reply just now that we are targeting two deliveries. So, based on the deliveries we will be able to assess when the deliveries actually take place and what kind of D448 liabilities are pending at the time of delivery. So, with that we would be in a better position to assess that what kind of a cost the project is finally going to end at.
Abhishek Poddar: Understood. Sir, second is regarding the three submarines you mentioned which were the AON is approved. Sir, once we get the order, if you can please highlight how the execution will be over how many years and how the revenue booking will happen?
Sanjeev Singhal: The project timelines are 6 years for the first submarine and then one submarine each year. So, this is roughly around 8 to 9 years.
Abhishek Poddar: And should we assume a linear revenue booking or it will be more backhanded revenue booking, sir?
Sanjeev Singhal: No, it is always an S-curve. During the initial stages of the project, financial as well as the physical progress is a bit slow. Then it is pretty steep and towards the end of the project, again, it tapers out.

Abhishek Poddar: Okay. Understood sir. And, sir, just one last question on P75I, any clarity sir, whether it will go to one bidder only or is there a possibility of consideration of the second bidder also in the same contract?
Sanjeev Singhal: Whosoever gets the order he gets the complete order for six submarines.
Abhi

shek Poddar: Okay. Thanks, sir. Thanks a lot for taking my questions.
Moderator: Thank you very much. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: Thanks for taking my question again, sir. Continuing on the P75I, while the TKMS has been able to meet all technical parameters, I presume there was some concern raised on their financial situation.
Sanjeev Singhal: Concern based on?
Gagan Thareja: On TKMS's financial situation at least in some media articles. Do you see that as a matter of concern or if at all there has been a concern around that? Has that been addressed?
Sanjeev Singhal: We are not aware of this and as of now the collaboration is fully on track.

Gagan Thareja: All right. And on the delivery schedules you have been indicating that for frigates you are
targeting one and possibly two. Now that you have moved into the second half of the year, is
there more clarity on whether two is a possibility to deliver this year?
Sanjeev Singhal: Second is doubtful. Second may spill over the next financial year.
Gagan Thareja: Okay. Thanks, sir. I will get back in the queue.
Moderator: Thank you very much. The next question is from the line of Atul Tiwari from JP Morgan. Please
go ahead.
Atul Tiwari: Yes, sir. Thanks for the opportunity again. So, sir, on these three submarine orders for which
you have been nominated, just trying to understand the revenue recognition in a little bit detail.
So, actual revenue recognition that you do, it is kind of percentage of completion because these
are very long execution time projects or you have to deliver the submarine and then only you
book revenue. How does it happen as execution progresses?
Sanjeev Singhal: Percentage completion.
Atul Tiwari: Percentage completion. Okay. And is there a cutoff of completion before which you do not
recognize any profit on the project? Is there some kind of cutoff or you start recognizing the
profit on the project from the very beginning?
Sanjeev Singhal: Yes, we start recognizing the profit right from the beginning itself depending upon what is the
cost of completion, estimated cost of completion.

Atul Tiwari: Okay. And the percentage completion you follow in all your ship building and submarine
building project. There is no other revenue recognition?
Sanjeev Singhal: Considering the gestation period unless and until it is a small repair project, that is different. But
for any new build programs, new build programs are fairly long.
Atul Tiwari: Great, sir. Thank you. Thanks a lot, sir, for your answers.
Moderator: Thank you very much. The next question is on the line of Amit Dixit from ICICI Securities.
Please go ahead.
Amit Dixit: Yes, thanks for taking my question again, sir. Just one follow-up. We have three deliveries
scheduled by end of December. Is it possible to highlight whether these are ahead of schedule
or as per schedule?
Sanjeev Singhal: As far as submarine is concerned, submarine is as per the schedule. As far as 15 Bravo destroyer
is concerned, 15 Bravo destroyer if it happens prior to 31st December, this would be ahead of
schedule. 17 Alpha, slight delay is there which is beyond control. We are already in discussion
with the Indian Navy. Once the delivery is made, then we will be requesting Navy to revisit the
timelines and seek concession or extension of the time.
Amit Dixit: Okay. So, this destroyer is how many months ahead of schedule if it happens before 31st
December?
Sanjeev Singhal: Roughly two months.
Amit Dixit: Sorry?
Sanjeev Singhal: Roughly 2 months.
Amit Dixit: Okay. Great. Thank you so much.
Moderator: Thank you very much. The next question is on the line of Jyoti Gupta from Nirmal Bang
Equities. Please go ahead.
Jyoti Gupta: Thank you so much for the opportunity, sir. My question is these three deliveries that are going
t

o happen, how much percentage of the revenue has already been realized? Is it 90% so which
means only 10% will now be reflected in the next two quarters or is it 75% till now that the
company has realized?
Sanjeev Singhal: Basically, it is not dependent on the ship only.
Biju George: Yes, we have post-delivery, we have warranty of ships, then the spares also have to be procured
and given. Warranty obligations are there. The ship will join the fleet immediately after
commissioning. So, during the operation of the ship, during the guarantee period, if something
wears off, tears off, we need to replace it, repair it, replenish it. All these liabilities are also there.
So, we have got modules.

So, then during the - before completion of our guarantee obligation, we have to dry-dock the
ship once and inspect all the machinery, propulsion systems, etc. and make good of any
deficiency if it is there, observed deficiency if it is there. So, all this has to be factored in while
booking the entire revenues. Basically, what I meant to say that at delivery the entire revenue
will not get exhausted. There is further expenditure also which is involved.
Jyoti Gupta: So, my next question is then the expenditure that we have had. I mean, we’ve seen that since the

costing was based on 2011 -- based on 2011, and the new upcoming ones will be in 2016, of course, the escalation for a 27 could become to 32. My next question is when the raw material cost, obviously, since you are looking at a horizon of six years, and the cost that we would have, apart from revenue, we would have also allocated some cost escalation as well. So, and with indigenization as well, don't you think that your cost of material will actually go down for the next projects?

Sanjeev Singhal: Whatever factors you are discussing, these factors are known to the customer also. So, the value which is negotiated, that would be taking these aspects into consideration.

Jyoti Gupta: And so, there is this buildup of some procurement of base and depot, and I also see some other expenses which are project related, which are specifically seen happens only in the second quarter of every year. What kind of these expenses are, are these preliminary or something to do with evaluation or survey related? Could you please explain this?

Sanjeev Singhal: I'm not really very sure what expenditure you are talking about, which happens only in second quarter, because we are not aware of any specific expenditure, which is happening specifically in second quarter every year. I don't think any such expenditure is there.

Jyoti Gupta: Sir, there are expenses -- other expenses which are project related. What projects are we talking about here?

Sanjeev Singhal: It is for all the projects. Each of these is a project. P-75 Scorpene, this is a project. 15 Bravo destroyer, this is a project. 17 Alpha, this is a project. All these are project, project related expenditure. This may be the heading in the accounts. Granularity basis, this would be assigned to different projects. Any of these projects would have utilized certain expenditures, but by design there is nothing in a particular quarter every year, some particular expenditure is happening. Nothing by design.

Jyoti Gupta: Okay. Thank you so much. I'll come back in the queue.

Moderator: The next question is from the line of Kayvan Shah, who is an Individual Investor.

Kayvan Shah: Yes. So, I have a follow-up question on someone who just talked about the incentive schemes and all which the government has launched. So, I needed to know that if these schemes are beneficial and have you till now received any reimbursement or incentives or any financial assistance for the same?

Biju George: So, these incentives, first of all, are not applicable for platforms which are having weapons. Now, big ticket orders are all having weapons. These are all com

bat platforms. So, this financial

assistance or that incentives are not applicable to us per se. Now, when it comes to the commercial ships, at this moment of time, our order value is significantly much lower in comparison to the major warship and submarine projects which we are handling. So, not only that, this assistance will be available to us only on successful completion of the project, that too within the time frame of three years. So, we have not reached there. So, right now, that is not going to make any significant difference to either our top line nor to the bottom line.

Kayvan Shah: Thank you so much.

Moderator: Thank you very much. The next question is from the line of Rau Thakur from NVS Brokerage.

Rau Thakur: Sir, you have mentioned that the normal margin in this business is 12% to 15%. But for the quarter, you have posted higher margins. So, sir, for H2, do we go with 12% to 15% or do we go with the margins you have posted, sir? Because since higher value added products, you post better margins.

Sanjeev Singhal: What is your core query for future?

Rau Thakur: Sir, for H2, you had mentioned for normal value products, the PBT margin is 12% to 15%. But you have higher margins. So, for the second half, sir, do we go with the H1 margins you have posted or better margins?

Sanjeev Singhal: As far as H2 is concerned, H2 would be similar to H1 only. We don't expect a significant change because this is based on the current projects.

Rau Thakur: So, 12% to 15% margin is applicable to what?

Sanjeev Singhal: For new projects.

Rau Thakur: Okay, for new projects. So, whatever you have been doing, H2, you will be able to do the same thing. But going forward, then we will have to see that whether the margins could be similar or it could be tapering off 12% to 15% as you have suggested.

Sanjeev Singhal: Margins can be different because the project mix would be different. Right now, I am executing three projects, 75, 15 Bravo and 17 Alpha. Next financial year, it will be 17 Alpha only. So, we have to consider that. The project mix would be different.

Rau Thakur: All right. Understood, sir. Thank you. Thank you very much.

Moderator: Thank you very much. The next question is from the line of Shivam Parag from ValueWise Management.

Shivam Parag: Hi, sir. Thanks for the opportunity. I wanted to know the split between our cash and cash equivalents, that is the free cash and the advance. And second question was of the estimated revenue outlook, if you could provide some numbers on the revenue front for the year, financial year '24-'25.

Sanjeev Singhal: We had indicated -- we are looking at a growth of around 10% to 12% over last year as far as the top line is concerned. And as far as the cash is concerned, we are having our own cash around INR 4,000 crores.

Shivam Parag: And sir, the advances from the Indian Navy?

Sanjeev Singhal: Balance whatever is reflected in the accounts is pertaining to Indian Navy.

Shivam Parag: Okay. So, sir, around INR 4,000 crores of free cash is with the company. So, the company has a profitable business. So, the free cash will be generated year-over-year. So, does the company foresee any special dividend or any bonus in future?

Sanjeev Singhal: Capex plans. We propose to invest around INR 5,000 crores over next couple of years we have already placed the orders for the consultancy for these large capex plans. We are gainfully utilizing this cash balance for capacity enhancement.

Shivam Parag: Thank you, sir. Thanks for addressing my queries.

Moderator: Thank you very much. The next question is from the line of Sachin Maniar from 3P Investment Managers.

Sachin Maniar: Hi, sir. Good evening. So, just one clarification I need on this ONGC order of INR 6,000 crores to INR7,000 crores you referred to. What will be t

he timeline for this order for execution?

Vasudev Puranik : Two years.

Sachin Maniar: So, you will be booking almost INR 3,000 crores over the next two years for 2025-2026?

Vasudev Puranik: Yes.

Sachin Maniar: Okay. And how will be the margins on this product? You said 12% to 15%. Will it be similar to that or will it be lower in this account?

Sanjeev Singhal: It will also depend upon the mix because these are three different projects. Each one of them has a different margin. But definitely, yes, something around 10% to 12%.

Sachin Maniar: Okay. 10% to 12%. Thanks, sir. That's it from me side.

Moderator: Thank you very much.

Sanjeev Singhal: Yes. I think we are done.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead..

Gagan Thareja: Thanks Sir, I just want to confirm when you indicated on schedule and delays, were you referring to Destroyer is ahead of schedule in deliveries currently and frigates are delayed or is it the reverse? I am sorry, I didn't follow that.

Sanjeev Singhal: Ahead of schedule. Destroyer is ahead of schedule.

Gagan Thareja: Destroyer is ahead of schedule. Right. And, sir, in terms of margins, I think apart from the revision in costs towards the final delivery of projects, you also indicated that if you are able to deliver ahead of schedule that also creates certain cost deficiencies. So, potentially, between LDs, one possible delivery ahead of schedule and also some potential cost revisions, is it therefore reasonable to assume that you have enough margin levers to perhaps sustain the kind of margins you have demonstrated in the first half of the year?

Sanjeev Singhal: Perhaps yes.

Gagan Thareja: Okay. Sir.

Moderator: Thank you very much. The next question is from the line of Rakesh, who is an Individual Investor. Please go ahead.

Rakesh: Hello. Thank you for the opportunity…

Moderator: I am sorry to interrupt, sir, but your voice is not audible.

Rakesh: Sir, thanks for the opportunity. In terms of the expense, the cost of material and also the procurement, the material which is costing now, that can be used only for this quarter or that can be, say, material can be used for the different quarter also? Because what I see is that procurement-based and the deferred spare cost, it's gone high, right, in this quarter? That's the question.

Sanjeev Singhal: Basically, whatever cost booking is there, it is all based on consumption. So, whatever activities are carried out during a quarter, only those costs are booked. With regard to procurement, the majority of the equipment's for these projects have already been procured. So, not much of an impact with respect to any change or fluctuation in the prices in the market.

Rakesh: Okay, sir. Thanks for the clarification.

Moderator: Thank you very much. The next question is from the line of Anirudh Murarka from Continental AG. Please go ahead.
Anirudh Murarka: I wanted to just inquire that the cash balance remaining with the company cash on books, how we are currently using it with some sort of fixed deposits and how much interest is being fetched right now?
Sanjeev Singhal: Right now, it is fixed deposits.
Anirudh Murarka: What rate of interest, sir? It's long-term deposits or it's a liquid deposit?
Sanjeev Singhal: Liquid deposits. 1-year max maturity, 1 year.
Anirudh Murarka: Thank you, sir. Congratulations once again for a beautiful set of numbers.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to Ms. Jyoti Gupta for closing comments. Thank you and over to you, ma'am.
Jyoti Gupta: Thank you, Riddhi. On behalf of Nirmal Bang Institutional Equities, I would like to thank the management of Mazagon Dock Shipbuilders Limited for the call and man

y thanks to the participants for joining the call. Riddhi, you may now close the call. Thank you so much, sir, for your time.
Moderator: Thank you. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Sub: Disclosure in terms of Regulation 30 of SEBI (LODR) Regulations, 2015 - Transcript of Earnings Call

Dear Sir/ Madam,

With respect to the captioned subject the Investor Update Call Transcript which was transpired during Q3FY25 Investor Earnings Call organized by Nirmal Bang Institutional Equities on Friday, the 07 February 2024 at 1700 hours to discuss the Financial Results for the quarter and period ended 31 December 2024, has been uploaded on the website of the Company namely https://mazagondock.in . The said transcript is also enclosed herewith.

The link for accessing the said transcript is:
https://mazagondock.in/Transcript.aspx

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

(Madhavi Kulkarni)
Company Secretary & Compliance Officer

Encl: as above
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001
Scrip Code: 543237
To
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai - 400 051
NSE Symbol: MAZDOCK

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MAZAGON DOCK SHIPBUILDERS LIMITED
(Formerly known as MAZAGON DOCK LIMITED)
CIN: L35100MH1934GO1002079
(A Govt. of India Undertaking)
■■■■■■■■■■■,■■■■■-400010
Dockyard Road, Mumbai 400 010
Certified: ISO 9001-2015

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Ref : SEC/BSENSEDISCL/94/2024-25
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Date: 13 February 2025

Page 1 of 13

“Mazagon Dock Shipbuilders Limited Q3 FY25 Earnings Conference Call”

February 07, 2025

MANAGEMENT : SHRI SANJEEV SINGHAL - CHAIRMAN AND MANAGING
DIRECTOR, ADDITIONAL CHARGE AND DIRECTOR
(FINANCE), MAZAGON DOCK SHIPBUILDERS LIMITED
SHRI BIJU GEORGE - DIRECTOR, SHIP BUILDING,
MAZAGON DOCK SHIPBUILDERS LIMITED
COMMANDER VASUDEV PURANIK - RETD , DIRECTOR
(CORPORATE PLANNING AND PERSONNEL), AND
DIRECTOR (SUBMARINE AND HEAVY ENGINEERING),
ADDITIONAL CHARGE, MAZAGON DOCK
SHIPBUILDERS LIMITED
MODERATOR : MS. JYOTI GUPTA – NIRMAL BANG INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the Mazagon Dock Shipbuilders Limited Q3 FY25 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Private Limited.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Institutional Equities.
Thank you and over to you, ma'am.
Jyoti Gupta: Thank you, Yusuf. Good evening, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you to the Quarter 3 FY25 Earnings Conference Call with the Management of Mazagon Dock Shipbuilders Limited.
We have with us Shri Sanjeev Singhal – Chairman and Managing Director, Additional Charge and Director (Finance); Shri Biju George – Director(Ship Building); Commander Vasudev Puranik,(Retd) Director (Corporate Planning and Personnel) and Director (Submarine and Heavy Engineering) Additional Charge.
Without further ado, I request Shri Sanjeev Singhal to start with his 'Opening Comments', after which we can open the floor for questions and answers. Thank you, and over to you, sir.
Sanjeev Singhal: Yes, good afternoon, everybody. happy to welcome you all to this conference call. We have posted a good set of numbers. The company is consistently doing well, as you must have gone through the numbers. Whatever queries would be there, we would be happy to address those queries. We can start with the conference, please.
Moderator: Sir should we start with the Q&A?
Sanjeev Singhal: Yes.
Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press '*' and '1' on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press '*' and '2'. Participants are requested to use handset while asking a question. Ladies and gentlemen, we'll wait for a moment while the question queue assembles. First question is from the line of Atul Tiwari from JP Morgan. Please go ahead.
Atul Tiwari: Yes, thanks a lot, sir. And congratulations on good set of numbers. My first question is on the medium-term margin profile that the company can have. And sir the context is that over the past 3 to 4 years, your margins have expanded quite a bit. So are the current margins sustainable at about 20%, 21%? Could you share your thoughts on that?

Sanjeev Singhal: No, this is, we have earlier also indicated that this is based on the orders, which were legacy orders continuing for quite some time. The order profile is changing, and a normal margin for this kind of industry would be in the range of 12% to 15%. So we have always given this kind of a projection that a sustainable margin would be something around 12% to 15%.
Atul Tiwari: And sir this 12 to 15% will be at PBT level or EBITDA level?
Sanjeev Singhal: Yes, this is at PBT level.
Atul Tiwari: PBT level. So including other income and everything, the 12 to 15% of revenue?
Sanjeev Singhal: Yes.
Atul Tiwari: Okay, sir. And sir, if you could comment on the media reports regarding P-75(I) order, where we are in the process and how long these negotiations could go on and when we could expect some kind of conclusion of these negotiations and award of the order?

Sanjeev Singhal: The price bids have been opened, so a decision has already been taken that only one bid is technically suitable, that is the one submitted by Mazagon Dock Shipbuilders Limited. Price bids have been opened. We expect that anytime soon the negotiations or the discussions should start. I

would not say negotiations because there would be discussions with respect to commercial also. We are quite hopeful that if the process goes as per the normal pace, next financial year the order should be in place.
Atul Tiwari: Okay, sir. And sir, my last question is on any other large orders that are in the pipeline over next 1 to 2 years, if you could highlight?
Sanjeev Singhal: Additional submarines, we are quite hopeful that we are confident that it can be done before 31st March this year.
Atul Tiwari: So these are the three additional P-75 submarines?
Sanjeev Singhal: Yes.
Atul Tiwari: Okay, and within this financial year, you are hopeful that it should be fructified?
Sanjeev Singhal: We are quite confident about it, because from our side, everything has been done. So now it is only the final approvals which is pending with the MOD and government. There is sufficient time is there. We are quite hopeful that before 31st March, the order should be in place.
Atul Tiwari: Okay sir, thank you. Thanks a lot.
Moderator: Thank you. Next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Good evening. I hope I am audible clearly.
Sanjeev Singhal: Yes, please.
Gagan Thareja: Sir, the first question is on the other expenses for the quarter. There is a host of expense items or line items which cumulatively add up to that. And that has gone up substantially, so provisions, project related expenses, so on and so forth. If I accumulate all of this into other expenses, it's up.
Sanjeev Singhal: There is a disturbance from your side, your voice is there, but simultaneously something is there in the background also. Your question is not understood clearly.
Gagan Thareja: Yes, better now?
Sanjeev Singhal: Please repeat.
Gagan Thareja: Okay, I'll repeat my question. My question is the other expenditure for the Q3 results reported, which includes provisions and project related expenses, has gone up substantially. Can you elaborate on that?
Sanjeev Singhal: Yes, certain provisions have been created with respect to the inventories which are lying with us and where the warranty period of the ship is complete. So considering that there is no clear visibility with respect to their utilization, although the items are good, and we expect that going ahead in future these items may be required on the ships which have already been commissioned or on other projects. As and when they are utilized, the provision would be reversed, but for the time being, provisions have been created with regard to the excess inventory and with regard to the offshore project of ONGC, the first one which we had received the order in the month of December. Although the timeline has been extended by up to 31st of March, for the time being the timelines have been extended without waving the LD. The LD issue remains open. So we have provided the liquidity damages for the project. As and when the time extension is received with the waiver of liquidity damages, this provision may be written back.
Gagan Thareja: Right. And sir, you also indicated that if you are able to deliver the orders ahead of schedule, there will be a reversal of the D448 liabilities, and you will be able to save on costs. Has that manifested itself in this quarter? And is it possible to give some idea of what benefit could have come from that in the quarter?
Sanjeev Singhal: Yes, we have completed the Project 15 Bravo , all the deliveries are done. D-448 liabilities of the first one is done and second ship is expected soon. So as far as this quarter profit is concerned, a substantial contribution is from Project 15 Bravo.
Gagan Thareja: Right. So, if I understood it correctly, the subsequent quarter which is Q4 will possibly also have some element of reversal of D-448 liabilities?

Sanjeev Singhal: Depending upon what exactly is the expenditure for liquidation of D-448 liability. If the expenditure is less than that created for that, there would be a reversal.
Gagan Thareja: And also you have some provisions created for these Scorpene deliveries which you have done

in the past during the COVID period and you indicated that Rs. 140 to Rs. 150 crores, two such reversals are possibly there to be done.
Sanjeev Singhal: Rs. 142 crores for submarine 5 already in this quarter which has also contributed to the profit. The fourth submarine, I mean submarine one, is still under discussion. There the provision is in the range of Rs. 100 crores because the LD applicability for the first submarine was at the rate of 2.5%. On others, it was applicable at the rate of 5%. This is still under discussion. We are pursuing that. And with regard to the sixth submarine, again we have now delivered it in the month of January. So this again we will be taking up for waiver of LD. So this will take time, but as and when the waiver is received, these provisions will also be reversed.
Gagan Thareja: So, sorry, just to get the number, this was Rs. 42 crores or Rs. 142 crores? You are not very clearly audible to me.
Sanjeev Singhal: SM5, we have reversed around Rs. 142 crores.
Gagan Thareja: 142, okay. Alright sir. And what are the deliveries due in the fourth quarter? You indicated Scorpene, you delivered one in January, so that will come into the fourth quarter? Any other deliveries pending for large platforms in Q4?
Sanjeev Singhal: In this financial year, no deliveries are expected. We are not expecting any further delivery in this financial year. Next financial year, one is definite, could be two.
Gagan Thareja: Alright, sir. And Next Generation Corvette, also, the order finalization, I think is due and fairly close to completion. Any updates there that you can provide and when do you see this being materializing?
Biju George: We have participated in the bid. The price bid is yet to be opened.
Sanjeev Singhal: Mr. Biju has replied that price bids have not yet been opened.
Gagan Thareja: Okay. Alright. And you mentioned a fairly comprehensive CAPEX program. Can you give us how you will be spending it? I think you indicated Rs. 5,000 crore over the next 4 or 5 years. How will be the CAPEX budgeted on an annual basis starting next financial year?
Biju George: We have two CAPEX programs. One for the adjacent land which we need to be developed with a graving dry dock. And also near Nhava Sheva, we call it as the Nhava Yard, that also has to be developed as a full-fledged shipyard with a graving dry dock. The marine consultants, their reports would be ready by, the DPR should be ready by mid of this year. And then we will be

tendering out the EPC contract. There is the uncertainty of environmental clearance which are there. So it's a slightly long process for coming to fruition.
Gagan Thareja: So from a financial standpoint, in terms of magnitude, what will the CAPEX budget be for 26?
Sanjeev Singhal: 25- 26, as far as these projects are concerned, there may not be a major CAPEX, but yes, our floating dry dock would be ready.
Biju George: It is around Rs. 500 crores CAPEX is there, approximately. So that balance will get realized completely in the next financial year. Rs. 350 crores will get realized at that time.
Gagan Thareja: Right. And apart from P(75), P-75(I) and NGC, what all orders are there in the pipeline for which you might have bid, which you see coming up for bidding in the next 12 to 18 months?
Sanjeev Singhal: Large order is not there, but discussion is there with regard to 17, follow on of 17 Alpha, that is 17 Bravo, and with respect to next generation destroyers. So a firming up at the Naval end has not taken place, but we expect between 2 to 3 years from now, these t

wo projects should be fructifying.
Gagan Thareja: Right sir. And the P75 and P75(I), is it possible to understand from the point where you receive the order, how will deliveries be scheduled? I mean, first delivery will be how far away from having received the order for 75 and for 75(I) and thereafter how will the submarines be delivered?
Sanjeev Singhal: Six years from the date of placement or receipt of order and then subsequent submarines each one year, additional one year for each submarine.
Gagan Thareja: And for the existing Scorpene-Kalvari class, I think you also indicated on the mid life upgrade there will also be an AIP which will be installed. When is the order disbursal for that due? And thereafter, for the mid life upgrades, further orders are placed over what time schedule?
Sanjeev Singhal: AIP order for approximately Rs. 1768 crores we have already received in the month of December. As far as the refit order is concerned, it is still with Navy to decide. So we expect next financial year, there should be a decision.
Gagan Thareja: Thanks, sir. Thanks for taking my questions. I'll get back in the queue. Thank you.
Moderator: Thank you. Before we move to the next question, a reminder to the participants to ask a question, you may press ‘*’ and ‘1’. Next question is from the line of Rohit Natarajan from Aditya Birla Sun Life Insurance. Please go ahead.
Rohit Natarajan: Thank you for this opportunity. Congratulations on your strong set of numbers. My first question is what will be the normalization of margin for FY26? Can you color on what will be that number look like?

Sanjeev Singhal: Mr. Rohit, your audio is not clear. There is lot of background disturbance.
Rohit Natarajan: I was asking what is the normalized EBITDA margins assumptions for FY26?
Sanjeev Singhal: I said that at PBT level it will be around 12% to 15%. Just on the first question we have indicated that normalized PBT for this industry, anything between 12% to 15% is quite okay.
Rohit Natarajan: My second question is more to do with, let's assume hypothetically we conclude this year with Rs. 12,000 crore execution. Will it be fair to say because we haven't concluded the sub-marine order, the next year could possibly see some sort of a decline in execution and then probably we will see a jump?
Sanjeev Singhal: No, we are not envisaging a decline next year.
Rohit Natarajan: That means from the existing order backlog, you should be in a position to grow at least 10%. Is that the fair assumption to be made?
Sanjeev Singhal: Right now, we have not taken an assessment with respect to the growth, but yes there will not be a decline.
Rohit Natarajan: Got it sir, thank you, that is it from my side.
Moderator: Thank you. Next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please proceed. Mr. Sagar, your line is unmuted. Please go ahead with your question. Mr. Gandhi, may I please request you to unmute yourself from your side? As there is no response from the current questioner, we will move to the next question from the line of Bhavesh, an individual investor. Please go ahead.
Bhavesh: Good evening, sir. Congratulations on a great set of numbers. My first question is with respect to your order book. So as I can see in the investor presentation, the order book as on 31st December 24 stands at Rs. 34,787 crore. So if I had to discard the three deliveries done in the month of Jan 2025, what will be the current order book stand at like will it be between Rs. 26,000-27,000 crores?
Sanjeev Singhal: First of all, I will correct you that three deliveries were not in January, two deliveries were in December. So these have been taken into consideration while working out the order book. And with regard to the third delivery also, this was in the first half of January, so it doesn't have any material impact on my order book.

Whatever numbers are there as on 31st December, they by and large consider all the three deliveries.
Bhavesh: Okay, thank you for that. And secondly, sir, Mr. Prime Minister Modi is traveling to France next week. So there are rumors that there might be a contract signed for the Rafale and the three Scorpene submarines. So can we see this getting materialized by next week or it will happen by 31st March?

Sanjeev Singhal: No comments from our side.
Bhavesh: Okay, sir. That's it from my side. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead. Mr. Gandhi, please go ahead with the question. You are not audible. Please unmute yourself from your end. As there is no response from the current questioner, we'll move to the next question from the line of Anirudh Murarka from Continental. Please go ahead.
Anirudh Murarka: Good evening, everybody. Am I audible?
Sanjeev Singhal: Yeah, good evening. Please continue.
Anirudh Murarka: Congratulations, sir, on a great set of numbers. My question is regarding your subsidiary, Goa Shipyard. Any plans to list the same in the future? And how much stake do we hold in this company?
Sanjeev Singhal: Goa Shipyard is not our subsidiary, they are our associate company. We are holding 47.21%. Currently, there is no management control, it is just an investment in Goa Shipyard. We don't participate in their production programs or any kind of decision making. They are an independent company.
Anirudh Murarka: Thank you.
Moderator: Thank you. Next question is from the line of Atul Tiwari from JP Morgan. Please proceed.
Atul Tiwari: Thanks a lot for taking my question again. Sir if I could ask, I mean, you did mention PBT margin of 12% to 15% for this industry. For next year, FY26, will this margin emerge or will we continue to operate at much higher margin, given the kind of work we have right now going on?
Sanjeev Singhal: Next financial year is primarily the existing orders where the margins are comparatively higher, better. So next financial year would be not 12% to 15%, but at the same time difficult to assign any kind of a number. But we expect healthy margins next financial year also.

Atul Tiwari: Okay. And at the end of the nine months, our order book is down year-on-year. And I understand that we will likely get very large orders very soon. But will it take some time to ramp up the execution of those orders? And hence consequently, say for one year, our revenue growth could be slow, like say 5% or 10% only. Is that a possibility or will we continue to grow at like 20% even next year?

Sanjeev Singhal: We are not saying that next year growth is not projected at 20%. We are saying that there would not be a decline in next year revenues. Growth numbers have not been worked out. There could be a marginal growth.

Atul Tiwari: Thank you, sir. Thanks a lot for taking my questions.

Moderator: Thank you. Next question is from the line of Ms. Jyoti Gupta from Nirmal Bang Institutional Equities. Please go ahead.

Jyoti Gupta: Good evening, sir. If we close this year with Rs. 12,000 crore execution, do we see with the current projects upcoming which you'll have by March, do you have an order book intake of something like a Rs. 17,000 and then Rs. 19,000 crores in the next 2 years? And when you say that your PBIT margins are going to decline to 12% to 15%, will that be after FY26? Because you saying that FY26 would be better than FY25, then your margin should actually start seeing a decline after FY27 or we should start seeing it after FY26?

Sanjeev Singhal: None of these statements which you have made can be ascribed to me. I have never said Rs. 12,000 crores we are expecting this year. We have never said with respect to next yea

r margins or there would be a margin decline. I have only replied that a normalized margin for our industry would be in the range of 12 to 15%.

Jyoti Gupta : When do we see that kind of normalized margin? From which year can we start expecting those kinds of normalized margins?

Sanjeev Singhal: We are executing the existing orders. So where the margin should be somewhat similar levels what we are experiencing today. Except for the exceptional items like reversal of LDs etc. and depending upon the D-448 execution, so we don't see much change for the existing orders.

Jyoti Gupta: Okay, and this existing order that we have, these are executable over the period of 2 years or 3 years?

Sanjeev Singhal: Approximately 2-2.5 years.

Jyoti Gupta: 2-2.5 years. So which means, and these are all nomination based, so obviously after two and a half years, you may see, I mean, we could see some sort of changes in the margins, right?

Sanjeev Singhal: This industry, it all depends on when these orders, large value orders are materializing on us. Sitting today, I will not be able to predict what is going to happen after 2.5 years. If the orders with respect to additional submarines, with respect to 75(I) are materializing, the normal refit of Scorpene submarines is coming to us, then I don't see a reason for decline in the revenues or profits.

Jyoti Gupta: Sir, how much are we progressed in terms of indigenization and how much would that impact have on the overall margins?

Sanjeev Singhal: Indigenization is not likely to have an impact on the overall margins because initially there is an investment required. Some opportunities would be there, so we expect to counter both the factors with each other. So we don't see any significant impact neither on the negative side nor on the

positive side with regard to indigenization because these would be the first projects where the indigenization would be taking shape. And depending upon at what value or what cost we are able to get these equipment, the future trajectory would be decided for future projects.

Jyoti Gupta: Okay, thank you.

Moderator: Thank you. Participants, to ask a question you may press '*' and '1'. Next question is from the line of Prerak Gandhi, an individual investor, please go ahead.

Prerak Gandhi: Yes, hello, sir. And congratulations on a good result. So a couple of questions. First was that in the last concall, you mentioned about you expanding your current yard capacity. So where do we stand with respect to that and secondly, how much do we stand to gain in case of fresh orders from the government of India with respect to submarines and the big ships P-75(I)?

Sanjeev Singhal: We have replied, just replied to both these queries.

Prerak Gandhi: Okay sir, sure I'll take a look at that. And secondly sir, the thing is that with respect to defense allocation, this budget, it has seen a flattish or probably a flattish approach. So do we see a more push towards Indian Navy considering a long gestation period in the ship building industry?

Sanjeev Singhal: As far as the budgetary allocation is concerned for the CAPEX, there is an increase of around 5% on an overall basis, considering all the three wings. But our experience states that whatever

is the requirement, whatever proposals are firmed up, there is no dearth of funding or none of the proposals have been stalled by the government. So as and when the proposals get firmed up, we are quite confident that they will be converted into orders. We don't see budgetary constraints as such.
Prerak Gandhi: Okay, perfect. Thank you so much and all the best.
Moderator: Thank you. Next follow up question is from the line of Gagan Thareja from ASK Investment Managers. Please proceed.
Gagan Thareja: Yes, thanks for taking the follow up. So, two questions on P75 and P75(I). The three P75 submarines that you will be getting

the order for, will they be inclusive of the AIPs or without the AIPs?
Sanjeev Singhal: This is without AIP. This Addl submarine is without AIP. P75-(I) is with AIP.
Gagan Thareja: I'm just wondering if you are upgrading your P75 existing submarines, the 5 or 6 that you delivered with DRDO AIP, would it not be a natural progression to build the next three with an AIP inclusive in it. I'm just curious to understand why are they not with an AIP?

Vasudev Puranik: You see, after making the AIP, it has to be integrated with a submarine and then tested. Eventually, all nine will have this AIP, but as of now, since the AIP is not yet integrated, they have not considered it for the moment. It is kept as an additional item, add-on item later.
Gagan Thareja: No, but the delivery for the first one would be far out, right, three, four, five years out. So by that…
Vasudev Puranik: Yes, I mean that's what they didn't want to confuse everybody, let the first one get proven and then they will… it's a matter of only time. If it is available, it will be integrated.
Gagan Thareja: On P-75(I), there were questions raised that while ThyssenKrupp submarine has demonstrated a sea-proven AIP, the submarine on which the AIP was installed and demonstrated was a relatively smaller one compared to the specifications of the Navy. Does that mean that ThyssenKrupp will have to go back to the drawing board for a complete redesign for the Navy's requirements and therefore the design and delivery phase could be a reasonably lengthy one?
Vasudev Puranik: See, the P-75(I) submarines are of larger dimension and both in terms of diameter and the length. So the AIP that is required on board will be of a higher capacity. And it's a matter of only upscaling what has already been developed and available with the Germans.
Gagan Thareja: When you upscale it, obviously you have to test it for balance also, right? Isn't it? Because the center of gravity and the center of static pressure will shift around, right?
Vasudev Puranik: All that gets catered in the design.
Gagan Thareja: I'm asking this because the Spanish company, Navantia had a terribly difficult time managing weight around design extensions.
Vasudev Puranik: Actually, Navantia does not have an AIP as of now, so that is why they are having the difficulties.
Gagan Thareja: No, but even if you look at the Greeks purchased ThyssenKrupp's 212 submarines and I think even they had these issues with the first one…
Vasudev Puranik: The submarine design has already been made and it is available. There is no problem at all.
Gagan Thareja: Alright. And the deliveries for these to receive the order could be how far out for the 75(I)?
Vasudev Puranik: Seven years on signing of the contract for the first one and one year subsequent for the remaining submarines.
Gagan Thareja: But 75 should be done at a quicker pace because you've already done it?
Vasudev Puranik: It can. Those what you call efficiencies will improve the speed, but it is a matter of time because this is the general timeline for constructing submarines worldwide.

Gagan Thareja: Thank you sir. I'll get back in the queue. Thanks for taking my questions.
Moderator: Thank you. Next question is from the line of Anirudh Murarka from Continental. Please go ahead.
Anirudh Murarka: Thank you for giving an opportunity once again. Sir, my question is that from your official handle, we have seen many pictures of foreign delegations visiting your shipyard. So does any progress or potential for exports of submarines or our products to these delegations, like from Brazil, from Indonesia?
Vasudev Puranik: Okay. These visits by the foreign nationals are steps towards converting them into exports. They take time, they don't happen overnight because there are a lot of issues invol

ved when it comes to export, bilateral issues basically. So at the moment, we have already started some amount of export to Malaysia, but that's at a very small scale. We are supporting their submarines. So as and when things get crystallized, they will convert into some export orders. But it doesn't happen in a hurry, I mean you need some time, all these processes, there are a lot of things involved in it. So yes, but we are consistently at it, see important thing is once you get a lead you need to pursue it.

Anirudh Murarka: Thank you, sir. Thanks a lot.

Moderator: Thank you. Participants to ask a question you may press '*' and '1'. Next question is from the line of Alok Shah from Sre PMS. Please go ahead.

Alok Shah: Hello sir, thanks for taking my question. I just want to understand the Next Gen Corvette approx 36,000 order, when the tender will going to open?

Biju George: Right now Navy has not indicated. So we don't see anything happening this financial year. Navy will take time for the bids to be technically evaluated, then all the deficiency documents has to be collected, and then later on the price bid has to be opened. Next financial year only it will happen.

Alok Shah: Okay, sir. Thank you. Thanks a lot.

Moderator: Thank you. Next follow-up question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Can you also give some update on the status of the P-76 project? Is it still in a very preliminary design phase or do you see this also reaching some sort of portion in terms of ordering perhaps couple of years down the line?

Sanjeev Singhal: We don't have anything to share right now.

Gagan Thareja: Okay, thank you.

Moderator: Thank you. Participants to ask a question, you may press '*' and '1'. Participant if you wish to ask a question, you may press '*' and '1' on your touchtone telephone. As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

Biju George: Thank you for giving us this opportunity to interact with the investors. And our primary focus is to execute the orders, which are already in hand both for the Indian Navy and ICG. At the same time, we will be looking for more orders, also exports, as CMD mentioned and we look forward for fairly good growth both at the revenue as well as the bottom-line through the future as well.

Sanjeev Singhal: Thank you very much.

Moderator : Thank you. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Jun 2025

Sub: Discl osure in terms of Regulation 46(2) (oa) of SEBI (LODR) Regulations, 2015 pertaining to the uploading of the Audio or video recordings and transcripts of investors update calls on the website of the Company.

Dear Sir/Madam,

With respect to the captioned subject the Investor Update Call Transcript which was transpired during Q4FY25 Investor Earnings Call organized by Nirmal Bang Institutional Equities on Friday, the 30 May 2025 at 1630 hours to discuss the F inancial Results for the quarter and year ended 31 March 2025 , has been uploaded on the website of the Company namely https://mazagondock.in . The said transcript is also enclosed herewith.

The l ink for accessing the said trans cript is:
https://mazagondock.in/Transcript.aspx

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

(Lalatendu Acharya)
Company Secretary & Compliance Officer

Encl: as above
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 543237
To
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai - 400 051
NSE Symbol: MAZDOCK
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MAZAGON DOCK SHIPBUILDERS LIMITED
(Formerly known as MAZAGON DOCK LIMITED)
CIN: L35100MH1934GO I002079
(A Govt. of India Undertaking)
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Dockyard Road, Mumbai 400 010
Certified: ISO 9001 -2015

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Date : 06 June 2025

Page 1 of 18

“Mazagon Dock Shipbuilders Limited Earnings Conference Call ”

May 30, 2025

MANAGEMENT : CAPT. JAGMOHAN (RETD.), CHAIRMAN & MANAGING
DIRECTOR
SHRI BIJU GEORGE – DIRECTOR (SHIP BUILDING)
CDR. VASUDEV PURANIK – IN, (RETD.), DIRECTOR
(CORPORATE PLANNING & PERSONNEL)
SHRI RUCHIR AGRAWAL - DIRECTOR (FINANCE)
CMDE S B JAMGAONKAR (RETD.), DIRECTOR
(SUBMARINE & HEAVY ENGINEERING)
MODERATOR : MS. JYOTI GUPTA - NIRMAL BANG INSTITUTIONAL
EQUITIES PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Mazagon Dock Shipbuilders Limited Earnings Conference Call hosted by Nirmal Ban g Institutional Equities Private Limited.
As a reminder, all participant lines will be in the listen only mode and there will b e an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Institutional Equities Private Limited. Thank you and over to you, ma'am.
Jyoti Gupta: Thank you, Rutuja . Good evening, everyone. On behalf of Nirmal Bang Institutional Equities, I welcom e you to the Quarter 4 FY'25 Earnings Conference Call with the Management of Mazagon Dock Shipbuilders Limited.
We have with us Capt. Jagmohan (Retd .) – Chairman & M anaging Director ; Shri Biju George – Director (Ship Building); Cdr. Vasudev Puranik, IN (Retd.) – Director (Corporate Planning & Personnel); Shri Ruchir Ag rawal – Director (Finance) and Cmde S B Jamgaonkar , (Retd.) – Director (Submarine & Heavy Engineering) .
Without further delay , I would now request Capt. Jagmohan Sir to start with his opening comments after which we can open the floor for questions -and-answers . Thank you and over to you, sir.
Capt. Jagmohan: Good evening , everyone and welcome to Mazagon Dock Shipbuilders Quarter 4 and Annual Earnings Call for the period ended 31st March 2025.
My name is Capt. Jagmohan - Chairman & Managing Director and I am joined today by Director (Finance) and CFO - Mr. Ruchi r Agrawal; Director (Shipbuilding) - Mr. Biju George ; Director (Corporate Planning & Personnel) - Cdr. Vasudev Puranik ; Director (Submarine & Heavy Engineering) – Cmde. Shailesh Jamgaonkar.
Before we begin, I would like to remind everyone that today's discussion may include forward - looking statements as defined under applicable securities laws. These statements are based on our curr ent expectations and projections about future events and financial trends and are subject to risks and uncertainties that could cause actual results to differ materially from those anticipated. We undertake no obligations to update these forward -looking statements except as required by law.
For a detailed discussion of these risks and uncertainties, please refer to our latest financial results, press release and regulatory filings available on the stock exchange websites and our Company website. As a list ed entity in India, we are committed to adhering to the highest standards of corporate governance and transparency as mandated by SEBI LODR regulations

2015. This call is being conducted in compliance with these regulations. ensuring timely and equitable d issemination of information to all stakeholders. We are pleased to share our financial and operational performance for the Quarter 4 and the fiscal year ended 31st March 2025.
Despite a challenging macroeconomic environment, we maintained our market positi on and managed to deliver a strong performance with robust revenue growth and improved profitability on year -on-year basis. During this call, we will provide an overview of our financial results, discuss key operational highlights, and share our outlook fo r the upcoming period.
Following this, we will open the floor for your questions. We request you to limit your questions to two per participant in the initial round to ensure that everyone gets an opportunity. I would now like to hand over to Mr. Ruchi r Agrawal – Director (Finance) & CFO, who will walk you

through the detailed financial performance.
Ruchir Agrawal : Good afternoon. I

am Ruchir Agr awal, Director (Finance) of Mazagon Dock .
This year we have recorded the highest revenue from operations which is Rs. 11, 43 2 crores and the profit before tax is Rs. 3,109 crores. Profit after tax is Rs. 2,324.88 crores with an earning per share of 57.63%. T he operating profit is Rs. 1,940.43 crores giving an operating percentage of 16.97% and PBT to revenue is 27.2 % against 26 % which we reported last year and the EBITDA margin of 28.24 % against 26.93% reported in last year. There is an increase of almost 2% on year -to-year basis in revenue . As far as this Quarter 4 is concerned, revenue is on the upper side. It is 3,174 crores and p rofit of Rs. 406 crores for Q4 . It is on standalone basis and earning per share of 8.11 for the Quarter .
If we compare quarter -to-quarter , our EBITDA margin is 13.74 against 35.1 which we reported in December quarter. The primary reason for difference is the provision we made in our books for the two contracts, one is for the supply for Fast Patrol Vessel (FPV) to Coast Guard and the other is the Denmark contract where management is of the view that there is likelihood of incurring losses in those contracts. So in line with the accounting policy, we have made the provision in our books. And this is in line with the Accounting Standard -37. And in the ne xt year o n every quarter basis , we will be reviewing this liability. And based on our asse ssment , we will be charging it to profit and loss and reducing the provision what we have created in our books .
Capt. Jagmohan: You may start now.
Moderator: Thank you very much. We will now begin the question -and-answer ses sion. Anyone who wishes to ask a question may press ‘*’ and ‘1’ on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press ‘*’ and ‘2’. Participants are requested to use handset while asking a question. Ladies and gentl emen, we'll wait for a moment while the question queue assembles. First question is from the line of Atul Tiwari from J . P. Morgan. go ahead.

Atul Tiwari: Yes, than ks a lot. My first question is on medium term margin profile. Over the next 2-3 years, what kind of EBITDA margin we should look at? Will the current level of EBITDA margins be maintained or perhaps be even increased from this level?
Capt. Jagmohan: MDL expects margins and profitability to significantly improve over the next years as major orders materialize. We are expecting the P-75 additional submarines and the P -75(I) submarines contract to be signed in this financial year. And that is expected to increase our order book from the present Rs. 32,000 crore to more than Rs. 1.25 lakh crores. And these big ticket projects are the forte of MD L and with these projects coming in, our margins and profitability are expected to significantly increase. The economies of scale of these large submarine projects and the efficiency initiatives under Shipyard 4 .0 and digital transformation efforts is expected to enhance the overall profitability of the yard.
Atul Tiwari: Sir, in past, the company has guided to P BT margin of 12 % to 15 % over medium term versus 25%-26% that we have been reporting. So now we should not work with the older guidance and assume the current level of 26 %-27% PBT margin to go up from here. Is that right in understanding?
Capt. Jagmohan: See, if you look worldwide, the shipbuilding margins are approximately 15%. So the guidance of 15 % is accurate. But what we must understand that in shipbuilding, revenues and profits are directly correlated to the order book and the life cycle stages of current projects. Each project stage, whether at an initial design or a mid -stage construction or fi nal delivery, influences both the revenue recognition and the profitability significantly. So we cannot assume that since we have achieved

26 % in one quarter in one year, we will be able to achieve the same across the board. So it is safe to have a guidanc e of approximately 15%. And there are other shipyards who are listed and you can look at their profit margins and you can gauge what is the general range. We have exceeded the general profit margin significantly. It is because the certain projects were at a late stage where greater revenue recognition and profitability were accrued and these projects were actually also obtained at significantly good margins. So, but it is, I would consider that it is prudent to have a margin of approximately 15%.
Atul Tiwar i: So, just trying to understand it clearly because earlier you said that obviously your margins this year were quite high and it should keep on improving because of these large orders. So that means that we should be looking at perhaps 30 % or 31 % PBT marg in. But now your guidance is 15%. So what is the right number to work with?
Capt. Jagmohan: With respect to Quarter 4, you'll see our Quarter 4 PBT is 12.8 , if you see. Of course it is primarily because of the large provisions that we have made but these h igh margins which you

are seeing over the last 2-3 quarters is because the large Project 15 Bravo have been delivered and we have been able to accrue significant revenues and profits due to these. However , we cannot keep this as a standard profit margin th at a shipyard can get. So I would still consider that considering this 12 %, yes we will have an increase but not considering the 26 % what we have done over the year.

Atul Tiwari: Okay sir . very clear . And sir my second question is on revenue growth. Your revenue has been growing at 20 % plus over past couple of years. Can we expect the similar kind of revenue growth over next 2-3 years or will the revenue growth temporarily slow down as the execution of large contracts that you will win this year, will it take some time to pick up ?
Ruchir Agrawal : You have seen a growth of 20% on a year -to-year basis, but that was a time when we had a steady order book . Since the order book for new P -75 and P -75(I) is little bit delayed, so some time will be going towards the design and finalization of the basic parameters for their execution. So it may not be correct to say that this 20% will be maintained. But by and large we will see that the growth of the company is almost around 8% to 10% every year.
Atul Tiwari: Okay sir . Thank you, thanks a lot. I will come back in the queue.
Moderator: Thank you. The next question is from the line of Anirudh Murarka from Continen tal. Please go ahead.
Anirudh Murarka: Good evening , sir. Sir, my question was regarding Goa Shipyard Limited, one of the entities in which our company is holding substantial stake. So any plans to list it in future?
Ruchir Ag rawal / Capt. Jagmohan : Actually, this is the decision of DIPAM because we are just a shareholder based on the government guidelines, and we are not making a decision for their listing or not . That will be decided by DIPAM and MOD as per their intention and we will continue to be their shareholder, as per the decision of the MOD. The government is a shareholder there. It's more than 51%. While we hold 47%, the government holds 51%. And that's a decision that the government will take.
Anirudh Murarka: And s ir my second question is how much cash we are having on our books right now?
Ruchir Agr awal: It will be to the tune of around Rs. 11,000 crores to Rs. 12,000 crores. But out of which 6,000 is our margin and balance is on account of advances.
Anirudh Murarka: Thank you, sir.
Moderator: Thank you. The next question is from the line of Raj Rishi from Dcpl. Please go ahead.
Raj Rishi: What's the capacity increase expected over the next 3 to 4 years?
Capt. Jagmohan: We have already augmented our capacity from

construction of 6 submarines to 11 submarines because we are preparing to take both the additional submarines of 75 and the six P -75(I) for which we have already set up the SSA facility or the submarine section assembly workshop. So that is one area and we have also taken up l and from the port for taking up small ships and we are also doing having major CAPEX plans in that land as well as in the N hava yard which we have which we have a CAPEX of approximately Rs. 4,000 crores. So we can at the moment I think consider construct 1 0 major warships simultaneously and 11 submarines.

Raj Rishi: Okay. So is it correct to say that in 3 to 4 years your capacity will be 3x of what it is today?
Biju George : Once the two CAPEX programs comes to fruition and they become fully operational, definitely the capacities will go up. So now it is at a consultancy DPR stage . The exact contours of what would be the capacity and how it will increase, we will be able to ga uge only after those DPR comes because there are various technical considerations to finalize these . But definitely the capacity will increase at least by 2 x.
Raj Rishi: This is a follow on. D o you plan to take any debt for this CAPEX ?
Ruchir Ag rawal: As of now , we are having quite healthy Balance Sheet and we do not expect, but it will be based on the economic performance, we will see.
Raj Rishi: Okay. An d any plans for ship repair, sir?
Capt. Jagmohan / Biju George : Yes, we have a vertical in ship repairs. That we are currently using our wet basin as well as a dry dock. So we will be able to take ship repairs of larger ships only once our current docks are free. And in the long term, once the CAPEX, which is there, once it gets operational, we will be able to undertake repairs of larger ships. And in addition, we are also taking submarine repairs and that has contributed I think approximately Rs. 4,000 crores of revenue for us, both in the MRLC as well as AIP plugs for the submarines which are alread y in service with the Navy.
Raj Rishi: And sir, this supposed ship building super cycle which is going on globally and this move away from China etc., that should auger very well for companies like Mazag on Dock, right?
Capt. Jagmohan: Yes, certainly. I think there is significant tailwinds that is going to further propel our growth,

both the commercial shipbuilding as well as in the defen ce shipbuilding because of the geopolitical situation. And as you've seen, both the Navy is likely to come out with the RFP for the 17 Bravo frigates shortly, which is a 70,000 crore project. And we are poised best to take on that although it is going to come on a competitive bidding but MDL with its proven capability and infrastructure and having demonstrated to have cons tructed and delivered these ships profitably we are best placed to actually win these contracts. In addition , the Navy is also coming with a Rs. 44,000 crore MCMV project it's set at AON stage that's also likely the RFP is also likely in a few months from now. So there are a lot of orders in the pipeline both for the defense as well as for the commercial ship building sector.

Raj Rishi: Sir, some reports suggested that in the next 18 months to 24 months there is a possibility that Mazag on Dock will get orders worth 2 lakh crores -2.5 lakh crore. Any comments? Or is poised to get?

Capt. Jagmohan: See, it's like this. It depends upon whether we are able to sign the 75 (AS) and the 75 (I) submarine contracts quickly. That adds up at least to 1 lakh crore. And if we win one of the shipbuilding contracts of, let's say, 17 Bravo and the MCM V contracts, we could at least

theoretically reach those order book levels. We will see. But I am confident that the submarine orders, we are likely to sign qu

i ckly, particularly the 75 additional submarines.

Raj Rishi: Do you expect it by September, sir?

Capt. Jagmohan: No, I expect that earlier because we have completed all the commercial negotiations with the Ministry of Defence and we are at virtually the contract signing stage. So maybe it should happen as early as next month hopefully.

Raj Rishi: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Amit Kumar, an Individual Investor. Please go ahead.

Amit Kumar: Thank you for the opportunity and congrats for decent set of numbers. Sir, in the previous participant was asking that about submarine contracts that you replied that there's a possibility we can get in the next 1 or 2 months. So what is the expected value of this contact, sir?

Capt. Jagmohan: Yes, it's expected to be in the range of anywhere between 30 ,000 crores to 40 ,000 crores.

Amit Kumar: Okay. And the first participant asked that question about order book and you replied that by the end of FY '26 our order book could be 1.25 lakh crore. Have I heard right?

Capt. Jagmohan: Yes. That's provided we are able to sign the contracts for both the 75 additional submarines as well as the 75 India submarines project. Signing of the contracts for these two projects are cruc ial for us to achieve those order book figures.

Amit Kumar: So are these nuclear submarines or normal submarines?

Capt. Jagmohan: No, conventional . Not nuclear.

Amit Kumar: Okay, this 75 conventional submarines which we are expecting in next 1 or 2 months is 40,000 crores.

Capt. Jagmohan: Yes, approximately.

Amit Kumar: And there is another you are saying 75 conventional submarines and what is the value for that conventional submarines? Will that be same amount?

Capt. Jagmohan: We are at actually a negotiat ion stages with the Ministry of Defence . So it would not be appropriate for me to give any...

Amit Kumar: No issues, no issues. And given our huge order book, so could you please provide the revenue and EBITDA guidance for next may be 3 or 4 financial years?

Capt. Jagmohan: As the Director of Finance has brought out, we expect the revenue growth of anywhere betwee n 8% to 10 % and our PBT margins we expect around 1 5%.

Amit Kumar: But assuming a huge mammoth order book of around 1 lakh crores by end of FY, I think this kind of appears to be very conservative 8 %-10% topline growth it appears to be?

Ruchir Agrawal : Actually it takes time , if you see it will be increasing by the time finalization of design, placement of order comes into picture. But it will de pend upon how fast we are getting the orders from the Ministry . And how fast we are on the drawing board. So it will depend and it is our estimation that it will be around 10% to 15% and will increase as we progress in the project.

Amit Kumar: Okay, and I think , I can see some provisions of 746 crores in the financial year. So could you please provide some more detailed insight and is it one time or whether it is going to come next year also or whether there is a probability of reversal of these provisions because this has impacted our EBITDA margin substantially ?

Ruchir Agrawal : Actually in my opening remark I mentioned that other than 532 crores which is we have made a provision this year, others are normal business provisions. This 532 crores we are making as an estimate for a loss which we may incur in our two of the contracts. One is for coast guard fast patrol ships and six ships of Denmark. This is based on our estimate as on date and we will be reviewing this estimate every quarter. And based on our further judgement , we will be either writing back these provisions or there may be chances of increasing the provisions if we find that the losses are increasing. But major part of our provision we have already brought in the book s a

nd we will see the how to mitigate this in time to come. And as we will progress , this will be transferred from provision to profit and loss account and provision will come down accordingly.
Amit Kumar: And could you provide some insight what kind of this provision s like includes liquidated damages or some other losses?
Ruchir Agrawal/Biju George : We bid for this contract in 2022 -23 and the prices of the parts and components have increased significantly after those bid. May be because of the global shipbuilding boom , pricing of a number of equipment has shot up from what was originally envisaged and factored into our costing. But we have not yet ordered the entire package, entire equipment. , so as of now for the equipment that has been ordered, there is a potential l oss that has been provisioned as DF has already mentioned. But the real picture will emerge as we complete the procurement and the net impact can be computed at that stage that we will be doing in a quarterly manner and reporting.
Amit Kumar: So, of now we have order book of 33,000?
Capt. Jagmohan: Come again?
Amit Kumar: We are able to maintain our base margin, so then…

Moderator: I am sorry to interrupt you. Mr. Kumar, your voice is breaking. Can you please chec k? Mr. Kuma r, you may please go ahead now.
Amit Kumar: Yes, I'll repeat my question. So, sir, we have an order book of 32,000 crores. So how much of these orders are cost plus contracts or fixed price contracts? Because so that our, you know, EBITDA margins and bottom line remains profitable ?
Capt. Jagmohan: See, there in our investor presentation actually the Rs. 32,260 crore order book, 15 Bravo, 17 Alpha, the P -75 Kalvari class submarines, that put together comes to almost Rs. 20,000 crores. So approximately Rs. 20,000 crores projects on fixed cost and the rest are also fixed cost but they are with the lesser margins. Where as these, so out of the Rs. 32,000 crores approximately two thirds are projects with reasonably high margins.
Amit Kumar: Okay, and sir, like during the recent conflict with Pakistan, so I think India should focus on more nuclear submarines. So is there a possibility that the defence ministry can think of preparation and ordering nuclear submarines to Mazagon or any other ship builder? Because d efence is the number one priority for India now.
Capt. Jagmohan: Yes, you see that's a call that the Indian Navy and the Ministry of Defence will take. And in fact, you may have read that the nuclear submarines fall under the strategic submarine category. And I think the government has already placed an order, but that is getting done through the Navy, through the shipbuilding center in Vizag and not with MD L.
Amit Kumar: So nuclear submarines are built by our company or it's a highly secretive operations o r only by the Navy or?
Capt. Jagmohan: No, it's not with us at the moment. And we don't want to comment on something which is not with us.
Amit Kumar: Okay, thank you sir . All the best.
Moderator: Thank you. The next question is from the line of the Dipen Vakil from Phil lip Capital. Please go ahead.
Dipen Vakil: Thank you for the opportunity. I wanted one clarification regarding your subcontracting charges, which have increased exponentially as a percentage to sales in this quarter. So can you tell us as to what these subcontracting charges are and what can be the kind of trend that we could be looking at going ahead?
Biju George : So this is in contrast to what we call as , actually the subcontracting is what we normally define as when within our premises a work is executed by another party. What we mean by outsourcing is when the work is executed in a remote location, not in our premises. So because we have around 27 ships to be built simultaneously, some of this work will have to be executed outside. N

ow at the same time we are unable to give the entire ship outside. So these blocks have to be transported. Transportation cost is also involved. So therefore there is an increase compared to executing the work within our premises. Executing it outside turns out to be costlier than executing it inside. So the simultaneous demand of what we call as the asking rate of all this put together is demanding outsourcing and that is why the cost is on the higher side.

Dipen Vakil: Got it, sir. So if my understanding is co rrect, so subcontracting includes subcontracting as well as outsourcing.

Capt. Jagmohan: Yes. That's correct. See one more thing you need to keep in mind is that for the larger ships let's say 15 Bravo and 17 Alpha which are very very high value projects then it makes sense for us to use our manpower which is a little more expensive than subcontract manpower. So whereas the smaller projects like the export project and the 21 ships that we're doing for Coast Guard ships, it is better to do a subcontract model. And that is why, since of course, like what Director Shipbuilding just said, that since we have 27 ships and another 3 large ships that are presently on order, we have resorted to extensive subcontracting and that's why the subcont racting costs are higher.

Dipen Vakil: Got it. Thank you so much for answering my questions and all the best for FY '26.

Moderator: Thank you. Next question is from the line of Deepak Krishnan from Ko tak Institutional Equities. Please go ahead.

Deepak Krishnan: I just wanted to check one thing on the next generation corvette order. Are we sort of, are we active on the order? Are we L2 or is that an order that we have sort of given a pass ?

Capt. Jagmohan: The bids were open ed and I think it's gone to GRSE and GSL and not to MDL.

Dipen Vakil: Sure, sir. That was my question and thank you for the clarification .

Moderator: Thank you. The next question is from the line of Anirudh Murar ka from Continental. Please go ahead.

Anirudh Murarka: Sir, I just wanted to ask regarding that subcontracting, which I think the earlier participant has already, the management has already answered. But my only thing is that in this subcontract which we have made a very high expenditure, is that in future it is getting r eversed or it is a fixed expenditure.

Capt. Jagmohan: It's a fixed expenditure.

Anirudh Murarka: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Sanjeev Zarbade from Antique Stock Broking. Please go ahead.

Sanjeev Zarbade: My question was regarding revenue booking. So if we are able to win the two large orders for submarines, FY'27 may not have much of revenue booking but could FY '28 we might see up to 10% of revenue booking from these two orders?

Capt. Jagmohan: FY'28 may be a little too distant away but definitely for F Y'26 we can confidently say yes we will be 10 % more.

Sanjeev Zarbade: No, sir I am asking about the revenue contribution from the two large submarine orders?

Capt. Jagmohan: Okay, so what is the question?

Ruchir Agarwa l/ Biju George : It will depend upon cost of production and this will depend upon how fast we are getting orders and where execution taking place. Because first of all, after getting the o rders, everything is only on the drawing board. That is a preparatory period for freezing the design as well as for procurement. S o the revenue recognition will come only after the start of production and as equipment goes on board.

Capt. Jagmohan: But you're right. If that is the question, FY'28 defini tely at least the P -75 additional submarine revenue will start to kick in.

Sanjeev Zarbade: So could be around 10% of the order value or lesser than that?

Capt. Jagmohan: Yes, you cou

ld say that because this P -75 AS project is a repeat of the Scorpene P-75 project which have already delivered to the Navy and we have already commenced some kind of a preparatory work. So I think confidently we can say yes, it will contribute at least 10 % of the order book of 75 AS, contract value of 75 AS will come in as a revenue for FY '28.

Sanjeev Zarbade: And sir, my next question was regarding the P17A in which we have pending order book of 13,493 crores. In what time frame is it executable sir and in what in terms of... ?

Capt. Jagmohan: Yes, we're delivering the seco nd ship next month and there are 4 ships, one is already been delivered. The second ship will be delivered next month. The third ship will be delivered may be in the month of November. And the 4th ship will be the only one pending in the next financial year, that also we expect to deliver by April '26.

Biju George : And the guarantee liabilities associated with this project will extend up to 2027. So what is balance shown will progressively get liqu idated in that timeframe.

Sanjeev Zarbade: So bulk of this 13,493 crores will get booked in terms of revenue in FY'26 and '27?

Ruchir Ag rawal: Correct.

Capt. Jagmohan: Yes, in the next two years, that's right.

Sanjeev Zarbade: Okay. And sir, although we have delivered P -15B and P -75, there is Rs. 3,700 crores order backlog and Rs. 2700 crores order backlog in these projects which we have already delivered.
So what is the…
Biju George : So if you see 15 Bravo, we have 3,716 has been shown , so there also the liabilities are not yet over. So we keep that for future contingencies if any because depending on the operational needs of the ship we need to, some expenditure has to be incurred. So 2 to 3 ships are still under guarantee.
Capt. Jagmohan: And in addition , we have to deliver the base and depot spares to the Navy. That's also a significant amount. But those also we expect considerable amount to get this year and may be the beginning of the first half of the next financial year.
Sanjeev Zarbade: This Rs. 3,700 crore it will get booked in 1 or 2 years or?
Capt. Jagmohan: Which one ? Can you please repeat?
Sanjeev Zarbade: This Rs. 3,700 crore …
Moderator: I am sorry to interrupt you. Mr. Sanj eev. You're are sounding very low sir. Can you speak a bit louder?
Sanjeev Zarbade: Yes. Sir, I wanted to know about the order pending in the two orders of Coast Guard and the Denmark order. How much is the outstanding value over there sir?
Capt. Jagmohan: I think see that delivery I think is in 2029 if I am not wrong, the last ship gets delivered. So the revenue will be split up to FY2029. Actually FY '30.
Sanjeev Zarbade: For the order value for the two orders that you mentioned for which we have booked provisions , Coast Guard and the Denmark. What is the output?
Capt. Jagmohan: That will be put together around Rs. 3,500 crores.
Sanjeev Zarbade: Okay . And to be delivered over next 4 years.
Capt. Jagmohan: FY'30.
Biju George : '29-'30, yes.
Sanjeev Zarbade: Okay , sir. If I have more questions, I will come back.
Moderator: Thank you. The next question is from the line of Chinmay Gandre from Cana ra HSBC Life Insurance. Please go ahead.

Chinmay Gandre: Thank you for taking my question. So most of the questions have been answered. Just on the P - 75(I), so what is the stage right now like we are discussing commercials is what you mentioned.
I just wanted to get a sense on that?
Capt. Jagmohan: Our technical offer has been accepted by the Navy and MOD and the commercial negotiations were just supposed to start when after that we have not heard yet. So we are in the early phases of the commercial negotiations for the project. Once the commercial negotiations conclude, the

n
the contract will be signed.
Chinmay Gandre: And regarding the Scorpene class submarine, more or less we thought that we should get it by last year itself. I mean, is this operational related delays or anything else, how should we be reading that?
Capt. Jagmohan: I mean, it is finally the contract is signed with the Ministry of Defence and the Government of India. There are some procedural delays perhaps. So, it's not entirely in MDL's hands . But we expect that it will conclude shortly.
Chinmay Gandre: And lastly, I mean, in terms of the deliveries you mentioned about the P17A frigates, and these are pretty good margin orders, which you also kind of mentioned. So I mean, broadly, because we are going to deliver three of them or rather two of them in the coming fiscal year, rather, FY'26 per se . I mean then ideally the P BT margin should be much better t han the 15 % guidance which you are alluding to.
Capt. Jagmohan: Yes, we hope so. We would like to under promise and over deliver. But we would like to keep the guidance at 15%, which is considered to be good for a shipyard. But we are hopeful that we will do better.
Chinmay Gandre: Okay, thank you. That's it from my side .
Moderator: Thank you. The next question is from the line of Atul Tiwari from J. P. Morgan. Please go ahead.
Atul Tiwari: Yes, sir. J ust one question on the contract structure. So for a fixed -price contract, do you get some kind of raw material escalation over the life of the execution of contract?
Capt. Jagmohan: We have to procure all the raw material. So the raw material costing is a part of the overall project cost and the shipyard does the procurement.
Atul Tiwari: Yes, but I mean obviously these contracts can go on for 4-5 years , right? So do you procure everything at the beginning itself or do you keep on procuring over 4 -5 years?

Capt. Jagmohan: We do the procurement and the negotiations with the supplier at the early stages. However, we ensure that the delivery is staggered so that the inventory is controlled and the costs are minimal to the shipyard.

Atul Tiwari: So you lock in all the raw material co st at the beginning itself in most of it?
Capt. Jagmohan: Yes.
Moderator: Thank you. We will take our next question from the line of Rahul Arvind Padalkar , an Individual Investor. Please go ahead.
Rahul Arvind Padalkar : Thanks for the opportunity. I just wanted to ask about this delay in contract that we're considering. Are we also considered to add additional cost that we may incur so that we don't have to do any provisioning? And the second question is that I see that most of these orders are coming from either from MOD or Indian Navy. Are we also considering to go outside commercial and bid for those shipbuilding efforts ? Thank you.
Capt. Jagmohan: Yes, first is we are making efforts to diversify and towards that you will see that we have already got a s ignificant amount of contracts from the offshore segment from ONGC. Our order book from ONGC is approximately Rs. 6,500 crores and from commercial shipbuilding is the multipurpose vessel which we have got from a European client which is approximately Rs. 715 crores. So that is our attempts to diversify away from the single client of MOD. With regard to , what was the first part of the question? It fully cover s all known risks.
Biju George : If the signing of the contract get delayed, we don't get any additional compensation for it.
Rahul Arvind Padalkar : Okay. Thank you.
Moderator: Thank you. We will take our next question from the line of Gagan Tareja from ASK Investment Managers. Please go ahead.
Gagan Tareja: Good evening. The first question pertains to your other expenses and project related expenses which are also fairly elevated on a year -on-year basis. Can you elaborate on why that is the cas

e?
Capt. Jagmohan: Probably it is not depending upon the project life cycle , since around 27 ships are at the early stages of construction . The entire procurement of material would have happened. So although I don't have the exact figures with me, but it is quite likely because it is at some odd . You know, it's also possible that som e of the large orders of 17 alpha, we must have procured the B&D spares or the base and depot spares, which comes to approximately 15 % of the project cost. So that could be the reason for the increase in cost.
Gagan Tareja: Okay . And is it possible for you to, I am referring to the order book details mentioned in your presentation. Is it possible for you to give us broad delivery timelines of at least large sized orders within the order book which are outstanding and also give an idea of broadly over what time can you fully invoice the current order book that you have ?
Capt. Jagmohan: See, 15 Bravo as we just discussed, we inten d to finish this balance Rs. 3,700 by FY'27 -'28. And the stealth frigates may be FY'29, because that will be a small portion, but ma jority we will

intent, we will complete by '27 and may be a little portion of the base and depot spares and the guarantee liabilities will be there. The Coast Guard projects and the multipurpose vessel we will complete by F Y'29-'30 we will complete. The P -75 Kalv ari is Rs. 2,400 crore we should be able to complete may be by , majority by F Y'26 and may be first half of F Y'27. The MRLC we should be able to complete may be FY'27, mid -FY'27. The ONGC projects also we expect to complete majority of it by end of FY'27. The AIP project will take some time because some of the deliverables from DR DO is expected to be little delayed, anyhow it is 42 -month contract. So that is it.
Gagan Tareja: I understand deliver ies, the timelines might extend into 28 and 29, but would it be a reasonable surmise that a large portion of the outstanding order book can be invoiced over the next two years? Some parts may extend beyond the next two years, but largely we book them.
Capt. J agmohan: Out of the 32,000 crores , may be almost 24,000 across the next two years.
Gagan Tareja: Okay, you generally have a sort of arrangement on turnover targets with the MOD. Have they been finalized for FY '26 and can you therefore convey to us?
Capt. Jagmohan: Yes, we have finalized it, but I am not sure whether it can be given to public. So there are figures both on topline and bottomline and other parameters, including R&D expenditure. I am not sure whether we can make it public.
Biju George : That is currently under discussion. We will be able to tell only after it is finalized .
Gagan Tareja: Because you disclose d it in your annual reports, at least the turnover bit if I...
Capt. Jagmohan: It is under discussion for the current financial year.
Gagan Tareja: Alright sir. And in the past, you have indicated that on the Kalv ari class submarine, there were

some cost escalations for which you got compensation from the Navy for at least three of the submarines 1 or 2 were pending. I think 140 crores of, perhaps, provisions needed to be written back . Is it still the case or do you expect to book it in the coming two quarters?
Capt. Jagmohan: We have made provisions for liquidated damages for submarines, and I think we have got, it has come back to us for I think four submarines. We expect that there's only the first boat that the LD has not been reversed which we expect that this financial year we should be able to reverse it. But that of course is a decision that MOD will take. But we anticipate that we wi ll be getting the liquidated damages reversed for at least one submarine this financial year.
Gagan Tareja: Was anything booked in Q4 from this or no?
Capt. Jagmohan: No. Not for

this. That were already provisioned in the last financial year or the year before that.

Gagan Tareja: Okay. And I think there was also an indication, at least in the past calls, that as the projects come closer towards final delivery, there is a reassessment of your D448 liabilities. And if yo u are able to deliver on time or before time, you could actually incur cost savings. Is that potentially the case with some of the deliveries due for next year and therefore do you stand to benefit from that?
Capt. Jagmohan: What I can tell you is what has happened in the recent past, all the four 15 Bravo destroyers were delivered ahead of schedule and the shipyard has benefited because of the early deliveries.
Gagan Tareja: Right sir. The final question from my side, the master ship repair agreement that you have with I think the US Navy, since signing, I mean, do you foresee any commercial contribution starting from that in the near future or is it still some distance away?
Biju George : So we are still one of the contenders. So the issue is, the vessels t hat are coming for repairs, some of them are large and it will not fit into our current infrastructure. So w e will participate that signed agreement only for projects which can be accommodated within our premises. So couple of offers which had come, we cou ldn't participate because of this.
Gagan Tareja: Okay, fine. Thank you. I will get back in the queue. Thanks for taking my questions.
Moderator: Thank you. The next question is from the line of Raj Rishi from Dcpl. Please go ahead.
Raj Rishi: Thanks for the follow on question. Any plans for a tie up with Korean shipyard or something because some news reports suggest that some tie ups are on the anvil with Indian shipyards ?
Capt. Jagmohan : See, t he Ministry of Shipping is trying to promote shipb uilding within the country and it's actually much needed. And they are planning to have four large clusters by 2030 and operational by 2035. And t he Ministry of Shipping is looking at large shipyards like us to tie up with some major shipyards, global ship yards. We are in the very early stages of examining this, but we will keep our options open wherever we are presented with good business opportunity.
Raj Rishi: And the previous person was asking about this Master Ship Agreement you have with the US. The answer was that you could not accommodate the, because it was much larger than what you can accommodate. You expect any business on this front in the future?
Biju Goerge : See, this is a large US fleet which is based out of Singapore servicing the Indian Oce an region. Most of these vessel s are large. Small vessels can come in , there is a draft limitation in our facility . So that is why we are unable to accommodate. So i t's only a very small subset of the entire fleet which can come here and when those things are repaired that is the time where we'll have the opportunity to participate. That is what I mentioned. So right now I don't see anything in the immediate future.
Raj Rishi: And sir, what's the export potential business for MDL in the next 1 or 2 years?

Biju Goerge : Right now we already have an order , as mentioned by CMD for 6 vessels, Rs. 715 crores. If everything goes on well, there is an optional clause in that where they will order 4 more ships. But that will depend on how we are able to deliver these ships in time and within the contractual clause. So that is a call which we will have to take later. Potential is ther e for export . These are the cargo ships which completely fit into our infrastructure and…
Raj Rishi: And sir, your collaborator for P -75, I ThyssenKrupp was talking about making India a hub for submarines. So you expect MDL also to benefit?
Capt. Jagmohan: Yes, of cours

e. Our collaboration with them is for the P -75(I) project for which significant amount of transfer of technology and indigenization. There will be more than 60 % of indigenous content in this submarine, much higher than what we have done for the Scorpene project. Yes, please go ahead.
Moderator: Mr. Raj Rishi, please go ahea d with your question.

Raj Rishi: Yes, the question was ThyssenKrupp has talked about making India hub for submarines. And since they are your collaborator, how do you stand to benefit from this if it happens?
Capt. Jagmohan: First, this is a part of the P-75(I) project. And we will be constructing these six submarines for the Indian Navy in collaboration with ThyssenKrupp . And the contours of the contract is that ThyssenKrupp will significantly transfer technology in the design and construction of these conventional submarines. So the indigenous component will be high. S o MDL will straight away have a benefit on these contracts. Notwithstanding that, once we gain the know -how in the design and construction of these submarines, we will also benefit in both maintenance of these submarines which are in service in the navies all over the world as well as ThyssenKrupp has said that when they get export orders particularly in Asia and South America they will look at constructing it in MDL for their global orders . So there will be a two -fold benefit for MDL from this collaboration with TKMS.
Raj Rishi: It sounds very significant sir, this whatever you have said right now.
Capt. Jagmohan: Yes, it is.
Raj Rishi: Okay. Thanks a lot.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to Ms. Jyoti Gupta for closing comments.
Jyoti Gupta: Thank you. On behalf of Nirmal Bang Institutional Equities, I would like to thank the management of Mazagon Dock Shipbuilders Limited for the call. And I also extend my gratitude to the participants for joining the call. Rutuja , you may now close the call. Thank you, sirs.
Capt. Jagmohan: Thank you very much.

Moderator: Thank you. On behalf of Nirmal Bang Institutio nal Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Sub: Transcript of the Earnings Conference Call.

Dear Sir/ Madam,

Pursuant to Regulation 46(2) (oa) of SEBI (LODR) Regulations, 2015 the t ranscript of Q2FY26 Earnings Conference Call organized by Nirmal Bang Institutional Equities on Tuesday , the 28 October 2025 at 1630 hours to discuss the F inancial Results for the quarter and half year ended on 30 September 2025 , has been uploaded on the website of the Company namely https://mazagondock.in .

The transcript of the aforesaid call is enclosed herewith.

The l ink for accessing the same on our website is given below :
https://mazagondock.in/English/pages/Transcript

Thanking You,
Yours Faithfully,
For MAZAGON DOCK SHIPBUILDERS LIMITED

Lalatendu Acharya
Company Secretary and Compliance Officer

Encl: as abov e

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai– 400 001
Scrip Code: 543237
To
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
NSE Symbol: MAZDOCK
[redacted]
MAZAGON DOCK SHIPBUILDERS LIMITED
(Formerly known as MAZAGON DOCK LIMITED)
CIN: L35100MH1934GO I002079
(A Govt. of India Undertaking)
[redacted] ,[redacted]-400010
Dockyard Road, Mumbai 400 010
Certified: ISO 9001 -2015

[redacted] :
Ref: SEC/BSENSEDISCL/ 54/2025 -26

[redacted] :
Date: 03 Novem ber 2025

“Mazagon Dock Shipbuilders Limited
Q2 FY '26 Earnings Conference Call”
October 28, 202 5

Management: Capt. Jagmohan (R etd.) – Chairman and Managing Director
Shri. Biju George – Director (Shipbuilding)
Cdr. Vasudev Puranik, IN (Retd.) – Director (Corporate Planning and Personnel)
Shri. Ruchir Agrawal – Director (Finance) & CFO

Cmde. S B J amgaonkar (Retd.) – Director (Submarine
and Heavy Engineering) (Mazagon Dock
Shipbuilders
Limited)

Moderator: Ms. Jyoti Gupta – Nirmal Bang Institutional Equities

Moderator: Ladies and gentlemen, good day, and welcome to Mazagon Dock Shipbuilders Limited Q2 FY '26 Earnings Conference Call, hosted by Nirmal Bang Equities. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you t o ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conf erence over to Ms. Jyoti. Thank you, and over to you, ma'am.

Jyoti Gupta : Thank you, Trisha. Good evening, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the Quarter 2 FY '26 earnings conference call with the management of Mazagon Dock Shipbuilders Limited. We have with us Capt. Jagmohan, Chairman and Managing Director; Shri Biju George, Director (Shipbuilding); Cdr. Vasudev Puranik, Director (Corporate Planning and Personnel); Shri Ruchir Agrawal, Director (Finance) and CFO ; and Cmde. S.B. Jamgaonkar, Director (Submarine & Heavy Engineering).

Without further delay, I would now request Captain Jagmohan, sir, to start with his opening comments, after which we can open the floor for question and answers. Thank you, and over to you, sir.

Capt. Jagmohan: Good afternoon, everyone, and welcome to Mazagon Dock Shipbuilders Limited Quarter 2 and Half Yearly Earnings Call for the period ended 30th September 2025. My name is Capt. Jagmohan, Chairman and Managing Director, and I' m joined today by Shri Ruchir Agrawal, Director (Finance) and CFO; Shri Biju George, Director (Shipbuilding); Cdr. Vasudev Puranik, Director (Corporate Planning and Personnel); Cmde. S B Jamgaonkar, Director (Submarine & Heavy Engineering).

Before we begi n, I would like to remind everyone that today's discussion may include forward -looking statements as defined under applicable Securities Law . These statements are based on our current expectations and projections about future events and financial trends and are subject to risks and uncertainties that could cause actual results to differ materially from those anticipated. We undertake no obligation to update these forward -looking statements, except as required by law.

For all detailed discussions o f these risks and uncertainties, please refer to our latest financial results, press release and regulatory filings available on the Stock Exchange website and our company website. As a listed entity in India, we are committed to adhering to the highest standards of corporate governance and transparency as mandated by the SEBI Regulations 2015. This call is being conducted in compliance with these Regulations, ensuring timely and equitable dissemination of information to all our stakeholders. We are please d to share our financial and operational performance for quarter 2 and the half year ended 30th September 2025.

During this call, we will provide an overview of our financial results, discuss key operational highlights and share our outlook for the upcomi ng period. Following our presentation, we will open the floor for your questions. We request you to limit your questions to two per participant in the initial round to ensure everyone gets an opportunity.

Now, I would like to hand over to Mr. Ruchir Agraw al, Director (Finance) and CFO, who will walk you through the detailed financial performance.

Ruchir Agrawal: Good afternoon, and I will be presenting the quarterly financial performance for the Q2 FY 25-26. As far as stand -alone are concerned, we recorded a revenue from operation of INR 2,929 crores, which is 6% above the last corresponding quarter performance. And the total income recorded at INR 3,205 crores, which is

also 6% higher to corresponding previous year's figures.

As far as the PBT is concerned, it is INR 939 crores, and we stood at a PAT of INR 715 crores, which is also 27% above the corresponding period of last year . And our net worth stood at INR 8,083 crores. And our earnings per share for stand -alone is INR 17.73 per share.

If we see our consolidated performance, our PBT is INR 934 crores, which is up by 26%. And for our consolidation, we are merging the results of Goa Shipyard, for which we hold about 47% shares as an investment. And on a consolidated basis, the PAT is INR 749 crores, and net worth stood at INR 8,910 crores, whi ch is 22% up in comparison to last year's corresponding quarter. And the earnings per share is INR 18.58 per share.

And if I talk about the half year's standalone performance, the revenue from operations stood at INR 5,555 crores, which is 9% above the corresponding last half year. And the total income is around INR 6,155 crores. PBT stands at INR 1,506 crores, and PAT is at INR 1,135 crores, which is both PBT and P AT are 8% less than the previous half year's amount.

The reason for that is in our Q4 FY 24-25 and Q1 of FY 25-26 we had booked INR 1,000 crores of provisions for onerous contracts, the two contracts, one was for Coast Guard and other was for MPV. That is the reason for dip in our PBT and PAT if we consider on half year comparison basis.

And if we take the consolidated figure for half year performance, our PBT stands at INR 1,501 crores and PAT at INR 1,202 crores with an earnings per share of INR 29.79 per share . That's all from our side.

Moderator: The first question is from the line of Atul Tiwari from J .P. Morgan.

Atul Tiwari: Sir, my first question is on the status of P75, the 3 Scorpene Submarine order because earlier, I think in the earlier c onference calls, you had indicated that the order should be signed very soon, possibly in the first half of this financial year .

Capt. Jagmohan: Yes. For the additional submarines of P75, the commercial negotiations with the Ministry of Defense were comple ted a few months ago. And the project was just at the sanction stage. But beyond that, we haven't received an update . We are still hopeful that in the coming months, we should be able to sign the contract for the three additional Scorpene Submarines.

Atul Tiwari: Okay, sir. And sir, for the P75I, any indication of the time line by when the negotiations would be completed and the order could be placed on the company?

Capt. Jagmohan: The commercial negotiations are on at the moment. We have already comme nced, I think two or three rounds are over. We anticipate that the commercial negotiations will be completed by this calendar year, and we are hopeful that we'll be able to sign the contract by this financial year.

Moderator: The next question is from the line of Krishna Doshi from Ashika Institutional Equities.

Krishna Doshi: Sir, so actually, I just wanted some guidance on the revenue front, as we are seeing that a lot of major projects have come to an end. So right now, the order book stands at around INR 27,415 crores. So just wanted to understand what the revenue growth is going to look like going ahead until we receive these major orders of submarines ?

Capt. Jagmohan: We anticipate that this year, we will have revenue of approximately INR 12,500 crores or so. And the coming year also, we should have may be another 5% growth over that. Beyond that, once the submarine projects kick in, we should have a considerable improvement both in our revenue as well as our profits.

Krishna Doshi: Okay, sir. And the s econd question would be, so recently, we saw this DAC approval of around INR 79,000 crores, where Landing Platform Dock is also supposed to be a major chunk of it. So what kind of opportunities are we seeing there?

Capt. Ja

gmohan: Today, actually, as we speak, we have signed an exclusive MoU with Swan Shipyard (SDHI), which has a very large infrastructure because these ships are quite large, around 200 meters or so in length. So we will be bidding for this project jointly with Swan Shipyard, and we antici pate that we will bring in the synergies of public -private partnership where all our capabilities in design, weapon integration, project management, we will tie up with the flexibility of the private player, both in its infrastructure as well as its procur ement. We anticipate that we will be very well placed to win this order.

Moderator: The next question is from the line of Nehal Mehta from Subhkam Ventures.

Nehal Mehta: My first question is that given that substantial execution of P17A order will happen i n the current financial year, how do you see your margin and revenue growth for the next 2 years? And my second question would be that, once your P75 order comes in, when will the execution of the order commence?

Capt. Jagmohan: P 17 Alpha, we will deliver the third ship this calendar year, but we will have the fourth ship going into the next financial year as well and after that, we will have the guarantee period as well. So the 17 Alpha project will continue for the next financial year as well. So the rev enue and profit margins, which come from that project will be visible for this financial year as well as the next. Thereafter, we will have may be a few months where we'll have only the Coast Guard and the MPV project as well as the offshore project where the margins are slightly less.

However, we anticipate that if we are able to sign the submarine contracts quickly, where we once again anticipate the margins are higher because these are projects which we are very familiar with. We anticipate our producti vity and operational efficiencies to be higher, and therefore, the margins also will be higher.

Nehal Mehta: Okay. And my second question would be for P75, like when would you expect the commencement of the order once you receive it?

Capt. Jagmohan: If it is the additional submarine, we should be able to commence immediately because it is a follow -on of the submarines, which we have already executed, 6 of which we have delivered to the Navy. The 75I has a year's preparatory period, but we have already start ed to work on it. So may be 75I, we will start earning revenue may be 6 months after signing the contract. And for 75, may be immediately after signing of the contract, we should be able to register revenue.

Moderator: The next question is from the line of Rupam Jaiswal from Investwell.

Rupam Jaiswal: Actually, I wanted to know about this new partnership, like what this term sheet or anything which you have signed with Swan Defense. So could you elaborate on how are you going to leverage their capacity? And how -- what kind of partnership in future are you going to leverage the different capacity for different ships and all? Could you just elaborate on that?

Capt. Jagmohan: The present agreement or the memorandum of under standing that we have signed with them is primarily for LPD only. However, going forward, we may collaborate with them for other large commercial ships as well. Here, what we intend to do, although the teaming agreement has not yet come in place, we antici pate that we will bid -- we will be the bidder for the project with the Navy. And the SDHI or the Swan Defense Shipyard will work at the back end. In fact, we will use their very large infrastructure because the LPD, the Landing Platform Dock, is a large v essel, and it will be more productively or more efficiently manufactured or constructed at their site. And we will bring in our experience in project management, weapon integration and design. So we will be bringing the synergies of both public sector ship yard and

private shipyard's flexibility
in procurement, etc. So we expect that we will offer a very good functional ship at a very attractive price. And, therefore, we think we are very well positioned to win this nearly INR 40,000 crore s order.

Rupam Jais wal: Sir, one more thing, like I got that point also. Just one more thing, like in this -- the shipyard with the kind of capacity that Swan is holding, so you are saying that you would be leveraging their capacity for commercial ships also and for this lan ding platform. So what would be the revenue? Like how will be the revenue scenario? Like what kind of revenue would you be booking?
Or is this kind of a rental agreement that you would take up with them and you will be just giving them rental for that -- using that shipyard or anything like that? Like I want to know what kind of revenue scenario will be in this kind of agreement.

Capt. Jagmohan: It's too early to say. Let the RFP come out and then when we make our bid, then we will have a proper agreement between us, MDL and Swan. It will be a win -win scenario for both shipyards, both in terms of revenue and profits. So it is too early to say at this stage.

Moderator: The next question is from the line of Kriti Tripathi from NVS Brokerage.

Kriti T ripathi: Yes. Actually, myself Kriti Tripathi from NVS Brokerage. My question was about revenue guidance and the margin guidance, but it is more or less covered.

Capt. Jagmohan: Okay.

Moderator: The next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Sir, on the first half operating cash flow turned may be negative and lower from last year, how do we see that or how do we read that basically?

Ruchir Agrawal: Come again?

Anupam Goswami: Sir, our operating cash flow turned negative this time and quite steep, sharp decline. How do we read that?

Ruchir Agrawal: This is primarily because we got some amount in flexi from Navy in the flex i account in March '25 and which has been used this year. So you are seeing a negative cash flow on t hat account.
Otherwise, our margins are intact, and we expect to perform better in quarters to come.

Anupam Goswami: Okay. Sir, my next question is on the execution. Now that most of our submarine orders are over and mostly left with Coast Guard and ONGC p latforms, so how do we see the margins for this FY '26 and '27?

Ruchir Agrawal : As far as the Coast Guard orders are concerned, wherever the provision were required for , are already made in last 2 quarters. For ONGC contracts, which are cost-plus contract s we will be getting the margins as per the contract. Out of total Project, one PRP contract is a fixed price contract, and we expect that we will be completing the project in the cost what we have bid to the ONGC.
Anupam Goswami: Okay. Sir, just last, if you can mention about the potential order pipeline what is there today?
Capt. Jagmohan: See, the Navy itself is coming out with multiple projects. For example, like what we just discussed, the LPD, the Landing Platform Dock, which will be aro und INR 35,000 crores to INR 40,000 crores. We have the MCMV, which is around INR 40,000 crores; the 17 Bravo ships, which will be again another INR 50,000 crores to INR 60,000 crores.
I think the Navy is going to come out with a destroyer class project a s well, either the 15 Charlie or the next -generation destroyer, which should be crossing may be around INR 70,000 crores to INR 80,000 crores. So overall, the expansion of the Navy is considerable, and we anticipate that we are ideally placed to win a siza ble part of that order.
Moderator: The next question is from the line of Atul Tiwari from J .P. Morgan.
Atul Tiwari: Sir, my question is on your Colombo Dockyard acquisition. So could you shed some light on what are your plans for that asset? And is the acquisition comple

te? And if yes, how much of its revenue and EBITDA and the PBT has been booked in this quarter?
Ruchir Agrawal: So the acquisition is still not complete, and we are still not the shareholders of that company. We expect that the approvals are likely to come on time and the final approval for rights issue will be coming in by this weekend. The EGM for calling the rights issue is expected by this month end. So then , going by that timelines, we expect that we will be the shareholders by start

of the next month , and after that, we will be pitching in their management for control and execution.
Atul Tiwari: And sir, what are your plans? I mean, what kind of ships you will be manufacturing there once you take the control?
Capt. Jagmohan: They are into commercial shipbuilding and half the revenue comes from ship repair. We are intending to ramp up their capacity. Presently, they have a revenue of approximately INR 1,000 crores. We anticipate that in the next year or so, we will be able to ramp it up to INR 1,500 crores. They have excellent production processes because they have a long -term association with their past owners, Onomichi Shipyard from Japan. And they ha ve good clientele from Europe and Scandinavia. So that we will bring in our expertise as well and the large amount of repairs that is going from India will further increase. So we anticipate that we will be in the next 2 years able to increase the revenue by around 50%.
Atul Tiwari: And any comment on what kind of margins and profit they are making and how much it can be?
Biju George : By the information we have as per their balance sheet, etc, is around 15% margin, but there are some losses. And primarily v essel categories, which they are building, are bulk carriers and cable laying vessels. So for cable laying vessels, they are anticipating new orders also this financial year.
Moderator: The next question comes from the line of Harshit Kapadia from Elara Se curities.
Harshit Kapadia: I think margins were very healthy. A couple of questions from my side. Sir, first, starting on the LPD, who is the technology partner for the Landing Platform Dock for you, sir?
Biju George : We have not yet decided. We are waiting for the RFP. Let the RFP be out. After that, we will look at the various possibilities. So in discussion with Swan, we will take that.
Harshit Kapadia: Fair enough, sir. Sir, rumours that the three submarine orders for P75 may get converted into nine numbers of P75I. Do you think is there a possibility that the reason why the government is holding that particular order of three submarines?
Capt. Jagmohan: We have not received any communication from MoD or the Navy, so w e would not like to speculate on that.
Harshit Kapadia: Okay, sir. Sir, just one question on the submarine execution part. Sir, is the submarine execution similar to having a bell -shaped curve to how the ship is being built. That is in the first few years, you have very low revenue booking. And then, in the next couple of years, the revenue booking increases and then again falls. Is that how it does?
Capt. Jagmohan: By and large, yes. But, however, since we have already a lot of experience in the 75 project, we should be able to shorten that S curve.
Harshit Kapadia: So which generally takes around 9 years, how much can it be shortened, like will it be 7 years?

Capt. Jagmohan: No, we will try and -- instead of the steep S curve or what you call the be ll curve, we will try and curve a little more -- the slope a little more manageable so that the revenues are spread through the entire build period.
Harshit Kapadia: Fair enough, sir. Sir, any update on the repair orders from U.S. Navy or any other Navy gl obally that we were earlier looking at?
Biju George : So,

we are registered with the MSRA. When the tenders come, we are participating. So wherever our infrastructure can take, we are participating. Otherwise, we are not participating. So, of late, nothing which suits our infrastructure has been queried by the U.S. side.
Harshit Kapadia: Understood, sir. And sir, lastly, on the commercial ship, we have tied up with Swan, as you mentioned, but who would be the technology partner here with us as well for comm ercial ships? And what category of commercial ships are you looking to build?
Biju George : Today's teaming agreement is exclusively for landing platform dock, that is not a commercial vessel. So what CMD was mentioning is , this synergy can pave way for fur ther collaboration depending upon the market scenario for commercial vessels. So right now, nothing is crystallized specifically for commercial vessels with Swan.
Harshit Kapadia: Okay. And sir, on the order pipeline, which you mentioned, which is of a very huge value, but these will get executed over, let's say, a 7 -year time frame. But what is the pipeline that we have on a very short -term basis? Can you highlight some short -cycle orders or small size orders which you expect to receive in this year, ne xt year?
Biju George : So right now, we are executing around 27 ships from Coast Guard as well as the export orders. So for the small segment, right now, we are not aggressively bidding because we have the other ships also to complete. So as it progresses, we will look at smaller ships also what can be accommodated. Right now, therefore, at this juncture, we have not quoted for any small segment ships.
Capt. Jagmohan: In addition to that, you see the government has aggregated the demand for commercial ships. Almost 112 vessels are likely to come out from medium -range tankers, platform support vessels, VLCCs and all that. So while we are in the process of setting up a mega shipyard somewhere down south, in the meanwhile, whatever opportunity comes, we are goin g to pitch in either from the tenders that are coming from the Shipping Corporation of India or ONGC or IOCL, one of the petroleum and natural gas PSUs. So those are short -cycle projects. So we anticipate that we will get some orders from that part as well .
Harshit Kapadia: And sir, any tentative size that you can highlight? Will it be like INR 1,000 -odd crores approximately for the...
Capt. Jagmohan: Yes. In the immediate future, we anticipate something like that. It will all depend on how the tenders come out and how quickly they are able to place orders and all that.
Harshit Kapadia: Okay. And sir, final question on margin. I probably missed your guidance on margin. What would be the stable margin that we should expect in FY '26 and '27, since we have tha t visibility?

Capt. Jagmohan: Broadly, for the shipbuilding sector, the margins that are expected for operationally efficient shipyard is around 15%. However, the revenue and the profit of a shipyard depends on, first, the order book, the type of projects and what stage of execution of these projects the shipyard is undertaking. So there are several factors.
Now, for example, MDL has very high efficiency in design and construction of frigates, destroyers and submarines. So if it is these projects, then our operational efficiencies are high, productivity is high, and accordingly, the margins also will be higher . If it is some newer vessels, it may not necessarily be that high. But on an average, we can anticipate around 15% plus margins.
Moderator: The next question comes from the line of Sagar from Invesco Mutual Fund.
Sagar: My first question is on the order i nflow. So while I understand that there are three follow -on submarines on the P75 side, followed by P75I and then the landing platform dock, can you guide us on the sequence in which they can come to Mazagon D

ock Limited?
Capt. Jagmohan: Difficult to say. If 75 additional submarines to come, it could come immediately, but we anticipate 75I, where the negotiations are ongoing. We anticipate that before the financial year ending, we should have signed the contract for the 75I.
LPD will probably take some tim e to crystallise. The DAC has just given approval. The RFP itself to issue will take may be 4 to 5 months. And thereafter, the L1 determination and order placement will take another 6 months. So may be a year from now.
Sagar: Okay. So on the defense side, these are the only three large projects that are on the horizon?

Capt. Jagmohan: No, actually, the 17 Bravo frigate RFP is likely to come out much earlier. It will probably come out any time next month or definitely in this ca lendar year. That's what the Navy has broadly indicated. So that order is likely to come out much faster, may be by the third quarter of the calendar year next.
Sagar: Sure. And sir, on the Colombo acquisition, what will be our total cash outgo from the ba lance sheet in terms of...
Capt. Jagmohan : That will depend on the rights issue and mandatory offer by the existing shareholders. We anticipate anywhere between 51% and may be around 75%, where we will have a total shareholding. If it is a full 100% share holding is to be taken by MDL, we anticipate INR 450 crores outflow.
Moderator: The next question comes from the line of Amit Dixit from Goldman Sachs.
Amit Dixit: Just a couple of questions from my side. The first one is on the provisions. So if I see the provisions are negative in this quarter, is it due to the LDs that were written back in this quarter? If so, can you highlight the quantum of LDs that were written back?
Ruchir Agrawal: Yes. We have written back LD of INR 102 crores.

Amit Dixit: And this pertains to which submarine, sir?
Ruchir Agrawal : This is pertaining to 17 Alpha second ship.
Amit Dixit: Okay. Okay. Are there some more LDs that we can expect that we have -- I mean, claimed and they are in dispute and they can be rolled back going ahead?
Capt. Jagmohan: Yes. We actually anticipate that we will be getting a waiver of LD of the submarine project. There's one submarine that is still pending -- the case is still pending with MoD, and we expect favorable response from MoD on that.
Amit D ixit: And that would be around INR 120-odd crores?
Capt. Jagmohan : Pardon?
Amit Dixit: That would be around INR 120-odd crores.
Capt. Jagmohan : Yes, around INR 100 crores.
Amit Dixit: Okay. Sir, the second question is just drawing on Harshit's question earlier. You mentioned that the stable margins could be 15%. Now what are these margins? Are we talking about EBITDA margin, operating margin? And does it include other income also? So just wanted to get a little bit more clarity around this margi n.
Ruchir Agrawal: It will depend upon the completion of the project . In the shipping industr y, at the end of the project, when there are no much liabilities left on account of warranties, the margins are high. What you can see in our balance sheet also, w e are showing a margin about 25% or 30%. But that will not be the case for the new projects coming in, where we are booking the actual value of production. And in that case, we expect that the margins will be around 12% to 15%. This is only when we are at the completion of the project and we book all the unclaimed liabilities, our margins are high.
Amit Dixit: And these are EBITDA margins, just for clarity?
Ruchir Agrawal: If it is EBITDA, that goes to PAT and PBT. It is all the same. It is coming from the top line. I don't think it will be having any impact because we are not having any much borrowings, so it is almost the same.
Amit Dixit: Okay. Just to stretch it further, sir, and this will be my last question, I mean, 8, 10 y

ears back,
Mazagon used t o have an EBITDA margin of 5%. Now from there, we have reached a point where the margins are much healthier. So how much of increase would you attribute to your internal efficiencies essentially and that would stay with the company regardless of the orders that we get?
Ruchir Agrawal: The efficiency and the quality of workmanship both contribute to our higher margins at a completion of the project when there are no guaranteed defects in the product constructed, that result into a margin at a completion of t he project. So that is why initially, when the project

starts, and we start booking on a conservative basis, the margins are less. But as we progress and we complete the project, the margin tends to be higher.
Moderator: The next question is from the line of Sanjeev Zarbade from Antique Stock Broking.
Sanjeev Zarbade: Sir, my question was regarding the completion timeline for the ONGC order, which is around INR 4,800 crores. And also, we have seen that the AIP order has not moved since we booked. So also wa nted the status of that.

Capt. Jagmohan: The ONGC contracts can be done only during the periods where the monsoon is not there. That is from mid -October to mid -May. We anticipate that a large extent of the INR 4,800 crores, the DSF II project, we should be able to complete this season. That's up to May. But, however, we will not complete the execution of that. We will probably have a spillover onto the next season, which will be from October mid in 2026. What was the second question?
Sanjeev Zarbade: Sir, second question was regarding our MoU with the Naval Group for making submarines for third-party friendly countries. Just wanted to know when we can expect some concrete may be order. Or also, do we have the capacity to take further submarine orders if the 3 additional submarine orders also get built on us?
Capt. Jagmohan: We have the capacity to undertake the construction of 11 submarines simu ltaneously. So even with 3 additional Scorpene Submarines and 6 , 75I, we will have spare capacity. Now, with regard to the question of handling export orders, we already have an MoU with the Naval Group for exploring export opportunities for the Asian coun tries.
And we have once again signed an exclusive MoU with one -- I don't want to take the name of the country, one particular country, where we will bid together for the anticipated project in that country.
Sanjeev Zarbade: Okay. Sir, if I can take 1 or 2 more questions, I wanted to know about the status of the mine counter measure vessel because that -- this order has received AON some time back. So what could be the status of this order?
Capt. Jagmohan: We expect RFP in the next 3 to 4 months. I thin k the first RFP from the Navy will be 17 Bravo frigates. After 2 months, we anticipate may be somewhere in February or March, we anticipate the RFP.
Sanjeev Zarbade: Yes. And sir, lastly, if I can, are these 17A frigates, the pending order book is INR 11,490 crores. How much of that would be the guaranteed repairs, which we have received...
Capt. Jagmohan: Guaranteed repair, we normally keep 10% of the ship cost.
Sanjeev Zarbade: From the original value?
Capt. Jagmohan: Exact values, I will have to work out -- 10% approximately .
Moderator: The next question comes from the line of Dipen Vakil from Phillip Capital.

Dipen Vakil: Sir, my first question is on the lines of capex . Can you tell us what kind of capex you have incurred so far in the first half? An d what you are expecting to do in the second half? And also an update on the Nhava Sheva capex that you are planning on incurring?
Capt. Jagmohan This full financial year, we are anticipating capex -- in fact, we will have -- we will do a capex of INR 500 cror

es. And that is primarily for the floating dock, which is almost halfway through.
We anticipate that by end of this financial year, we will complete that.
Now, going forward, we will be doing s ome capex on both the Nhava yard as well as the South Yard Annex, which we have leased from Bombay Port Trust. But these will be primarily to remove the bottlenecks that we have in our present production activities.
We are looking at a total capex of arou nd INR 1,000 crores for Nhava and South Yard Annex and another INR 1,000 crores for the infrastructure for 75I submarine. But our main capex going forward for the next 5 years will be approximately INR 5,000 crores for a greenfield shipyard, which we inten d to set up in Tuticorin in Tamil Nadu for commercial shipbuilding.
The government has come out with a slew of measures, incentives, policy measures, which makes commercial shipbuilding attractive and profitable. So we intend to tie up with may be a Korea n or a Japanese shipyard and probably a private player in India to set up this large shipyard, which we intend to complete the first phase with approximate investment of around INR 5,000 crores in the next 4 to 5 years.
Dipen Vakil: Sorry. So this year, we 're expecting a capex of INR 500 crores and INR 5,000 crores over next 3 to 4 years. And sir, this Nhava yard, you mentioned INR 1,000 crores. So that will also be done in, say, this year, next year? Or what would be the time line for that?
Capt. Jagmohan: It's not INR 1,000 crores for Nhava yard. It will be INR 1,000 crores put together for Nhava and the South Yard Annex. So we have already done some work. Close to around INR 75 crores we have already done a capex there.
We will probably do -- it will be ongoing because we have already started to construct two Coast Guard projects there as well as the offshore projects. So, it will be simultaneous investments there while we are undertaking the projects. So it will probably take another 2 to 3 year s.
Dipen Vakil: Got it, sir. Sir, my last question is on provisions, sir. Sir, how do you see provisions going for, say, second half of this year? Do you see any -- so the provisions that you mentioned that you may be receiving, do you expect that to come in this year or you think that it will spill over to next year?
Capt. Jagmohan: We anticipate this year, may be in the last quarter.

Moderator: The next question comes from the line of Harshit Kapadia from Elara Securities.
Harshit Kapadia: Since you have mentioned the INR 5,000 crore s investment in Tuticorin for commercial ships, could you highlight, sir, what type of ships that you are looking at? Is it bulk? Is it crude? Is it related to LNG? Any color on that would be helpful ?

Capt. Jagmohan: It is going to be dual use. In fact, we are looking at both commercial as well as naval applications there. Now, let us say, for example, the -- I'm just giving you an example. Let's say, the Navy comes with the requirement for the third aircraft carrier, so we could -- if the timeline suits, we could make the aircraft carrier there. However, for commercial vessels, we will first -- we will look at the domestic market. And for the domestic market, the Ministry of Shipping has already aggregated the demand from all the oil and natural gas PSUs, approximately 112 vessels. They are primarily -- they will start off with platform support ships and MR tankers. And going forward, we will be looking at very large gas carriers and very large crude carriers.
Moderator: The next question is from the line of Anirudh Murarka from Continental.
Anirudh Murarka : Sir, congratulations on a very stable set of numbers. My question was regarding that how do you near time future look to enhance shareholders' value for a r etail investor?
Capt. Jagmohan: We anticipate to get more orders, execute them efficiently an

d the...
Moderator: Sir, sorry to interrupt, but there is some disturbance in your line.
Anirudh Murarka: Should I repeat my question?
Capt. Jagmohan: I heard you. So, we -- how we reward the shareholders is to perform well, have more orders, execute them efficiently...
Moderator: Sorry, to interrupt, sir, but -- Mr. Anirudh , can you please mute your line? There's some disturbance in your line.
Anirudh M urarka: It's muted.
Capt. Jagmohan: I hope you heard the answer.
Moderator: Anirudh sir, do you have a follow -up question?
Anirudh Murarka: No, that will be all. Okay. I will look at the transcript. No issues.
Moderator: The next question comes from the line of Santhosh, who is an Individual Investor .
Santhosh : On subcontract expense that we see in the document, so can you give some details on this, whether it will be reducing in the upcoming quarters or it will be same to the total percentage of the expenses?
Capt. Jagmohan: You see the subcontract costs are high this quarter, primarily because of the offshore projects. The offshore projects, our execution is virtually turnkey outsourcing. So, therefore, the subcontract pr ices are high. It will depend on the nature of projects.
Now, for example, if we have the 17 Bravo project, the subcontracting will be much lower compared to the order value. So it will depend on project to project on how we bid and what our project manag ement view is for those.

Moderator: The next question is from the line of Naveen Shetty from MLP .
Naveen Shetty: Sorry, if this question was already asked, but just wanted to get a sense on the current order book is around INR 27,000 crores, any outlook that you can give for may be for the next FY '26 for the whole year and may be FY '27?
Capt. Jagmohan: You mean the order book?
Naveen Shetty: Yes.
Capt. Jagmohan: In excess of INR 1 lakh crores.
Naveen Shetty: By which year, sir?
Capt. Jagmohan: By the next financial year, '26 -'27.
Naveen Shetty: FY '27. Okay. Okay, by FY '27. Okay.
Moderator: The next question is fro m the line of Rakesh Roy from Boring AMC.
Rakesh Roy: My first question regarding, sir, government is pursuing commercial shipping, sir. So what is your view because you are new player in this side and we have very few companies in India who make the ships ? So what is your view on this side, sir?
Capt. Jagmohan: See, while we are known as a shipbuilder making destroyers, frigates and submarines, we have a rich legacy in commercial shipbuilding. We have built over 800 ships, probably the shipyard, which has built the largest number of commercial ships in the country. So we are not new to this.
However, yes, in the last few years, we have once again re-entered this, and we started with the

multipurpose vessel, which we are building for our Denmark client. We have also done the acquisition of the Colombo Dockyard with a view of moving into commercial shipbuilding. Thereafter, the government has come out with a lot of incentives and initiatives for commercial shipbuilding. And we, as the largest shipyard an d as extended arm of the government, we feel that it is both strategically as well as makes a lot of business sense to venture into commercial shipbuilding.

We are setting up a large commercial or a large shipyard in Tuticorin, primarily to look at commer cial shipbuilding. Depending upon the types of projects, we could even look at defense projects there.

Rakesh Roy: Okay. Sir, related to the same question, sir, if you look from 7 years now, or for FY '32, so how is revenue mix like in defense or commercia l from -- for next 5 years, 7 years -- after 7 years?

Capt. Jagmohan: Yes, that's a good question. You see we would like to derisk. We do not want to depend on a single large customer like the Indian Navy. Presently, probably 80% to 90% of our order b

ook

comes from the Indian Navy. We have actually started to diversify by moving into offshore.

We have almost INR 7,000 crores worth of orders from ONGC. We intend to have a healthy mix of offshore projects, commercial projects and the defense projects. So the exact percentage will be difficult to say, but we would like to diversify and derisk from depending on very l imited number of customers.

Rakesh Roy: Okay. And sir, last question, sir, Tuticorin, at what weight tonnage up to the next ship, sir, is Tuticorin? Any idea, sir, any guidance?

Biju George : Tuticorin, the plan is to develop it into a greenfield shipyard, where vessels like Very Large Crude Carriers, VLCCs, can be constructed. So...

Rakesh Roy: In terms of weight, sir -- in tonnage, sir?

Capt. Jagmohan: Around 300,000.

Biju George : Yes, 3 lakh deadweight tonnage.

Rakesh Roy: 3 lakhs. Okay.

Biju George : 300 plus, would be the length of the ship.

Rakesh Roy: Okay, 300 is the length of the ship and dead weight age is 3 lakhs.

Biju George : 3 lakhs, yes. So that is a typical VLCC volume.

Rakesh Roy: Yes, 3 lakh is very big, sir.

Moderator: The next question co mes from the line of Shivam Parikh from Value Wise Wealth Management .

Shivam Parikh : So my question was there was an MoU done by Mazagon Dock with Mitsui Shipping Lines of Japan. So could you throw some light on that? And if any potential order flows do come in from Mitsui Shipping Lines, so will it be done at Colombo Shipyard or at your Indian shipyards?

Capt. Jagmohan: I don't recollect any MoU with Mitsui.

Shivam Parikh: Okay. But, sir, there was a recent news like Indian Navy had done some discussions with Japan for ship repair. And in that, it was -- in that news, it was shown that Mazagon Dock had done an MoU with Mitsui Shipping Lines of Japan. Yes.

Capt. Jagmohan: There was a destroyer, but it's very, very early stages of discussion where the Navy is looking at having a common destroyer designed between India and Japan. But these are very, very early stages. We have not signed any MOU.

Moderator: The next question comes from the line of Rupam Jaiswal from Investwell.

Rupam Jaiswal: I wanted to ask a bout the new greenfield shipyard, like the shipyard, which you will be investing in the south of India. So what would be the total capex plan? And like what kind of capacity are you looking out for?

Capt. Jagmohan See, the government is looking at setting up these mega shipbuilding clusters, and they want shipyards of scale with a throughput or a capacity of 1 million to 1.5 million per mega shipbuilding clusters. So we intend to set up one of them in Tuticorin. So we will approximately require a land parce l of 1,000 - 1,100 acres.

And the capex will be actually going forward to set up a large shipyard like this based on data that is available will be anywhere between INR 15,000 crores to INR 18,000 crores. But this will be done in various phases. So the first phase, which we intend to complete, may be in the next 3 to 4 years, will be around INR 5,000 crores.

Rupam Jaiswal: So the total plan is of like this will go for 10 to 12 years, like the full capacity...

Capt. Jagmohan: It will all depend upon how quickly we get government clea rance, environment clearance, those

issues because the trunk infrastructure on land, waterfront, etc, has to be done by the state government. So how quickly they do it, we'll be able to do it -- we'll be able to finish accordingly.
Rupam Jaiswal: Okay, sir . And sir, one more last thing. Like in the LPD side, have we like -- have we got the technical partner with us to bid on this project?
Capt. Jagmohan: Not yet. As answered earlier, we will have to see whether there is a requirement for having a design par tner or not. The ear

lier RFP that the Navy had come out with several years ago required the Indian shipyards to partner with one of the European shipyards who have the LPD already. But I'm not sure that this requirement will be there or not anymore because there's a likelihood because all our shipyards now have the design competence and capability of designing and constructing these ships. So there is probably no requirement for a partner, except what the agreement that we already have with Swan for constru cting these vessels.
Rupam Jaiswal: Yes, sir. Only last question around this only. So like for this order, like the main competitors like L&T, Cochin Shipyard and Mazagon, like all 3 of you will be bidding for it. And the total deal value is, I think, arou nd INR 35,000 crores to INR 40,000 crores for four ships. So what -- like is this order will be given to only one shipyard? Or will this be like L1, L2 kind of thing?
Biju George : So that will become clear once the RFP comes out. Right now, we do not know whether it is going to be executed by one shipyard or it will be split into two.
Moderator: The next question comes from the line of Praveen Desai, who is an Individual Investor .
Praveen Desai : When will the first phase of Tuticorin shipyard will start?
Biju George : We are in discussion with Government of Tamil Nadu. We also have to take some...
Moderator: Sorry to interrupt. Praveen, can you please mute your line?
Biju George : So there are multiple agencies involved. So first is the land has to be allotted to MDL. There is V. O. Chidambaranar Port involved. This is what Tamil Nadu Government is involved, then we are involved, then a foreign partner is involved. So we have to stitch together before we start. So we are in the process. The initial discussions have been completed, and then, we are going ahead with that.

Capt. Jagmohan: We have also signed an MoU with the Tamil Nadu government body Guidance, which is a single window facilitating body for all clearances. So we are seeing the administration is very proactive in Tamil Nadu. We anticipate that we should be able to probably wo rk on the DPR for the shipyard may be in the next 3 to 4 months.
Moderator: Praveen, do you have a follow -up question?
Praveen Desai : No, that was the only question that I have.
Moderator: As there are no further questions, I would now like to hand the con ference over to Ms. Jyoti Gupta for the closing comments.
Jyoti : Thank you so much. On behalf of Nirmal Bang Institutional Equities, we would like to thank the management of Mazagon Dock Shipbuilders Limited for the call, and also, many thanks to the part icipants for joining us on the call. Thank you very much, sir. You may now conclude the call.
Capt. Jagmohan: Thank you.
Moderator: Thank You on behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.